VISEO

DIGITAL MAKERS

SAP Retail and Fashion – Focus on Material Master Data

AGENDA

1. Material master key concepts
2. Retail material inheritance & customizing
3. Material master fields (basic data views)
4. Material master fields (log./fin. views)
5. Material hierarchy
6. Season workbench
7. Assortment and listing
8. Segmentation
9. Material dimensions conversion

01. Material master key concepts

MATERIAL CATEGORIES

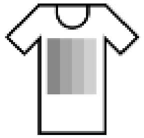
Article categories – Principles (and codes)

Single material (00)

Standard material as sold to the customer.

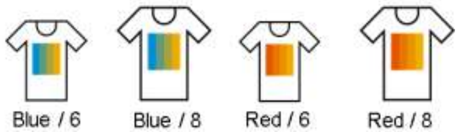
Generic materials

Generic (01)



Generic Articles do not exist physically and cannot be sold. They serve as reference for variants

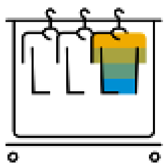
Variants (02)



Variants are materials that differ only in certain characteristics such as color, size. Defining a generic material simplifies the maintenance of variants since you need to enter data that is the same for all variants only once for the generic material.

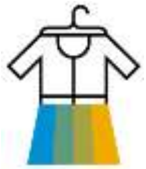
Structured materials

Display (12)



A display is a collection of articles that are, like prepack, bought together and sold individually, including special packaging. The manufacturer delivers the whole figure, the store sells the individual chocolates. Again, this is technically a BOM. Within display articles you are not restricted to use either single articles or variants of different generic articles. Within display articles it is possible to use articles from different Merchandise Categories.

Set (10)



A set is a combination of articles bought individually and sold together. Individual components can have different price, different tax code but will be sold together with one price. Technically, a set is handled as a BOM

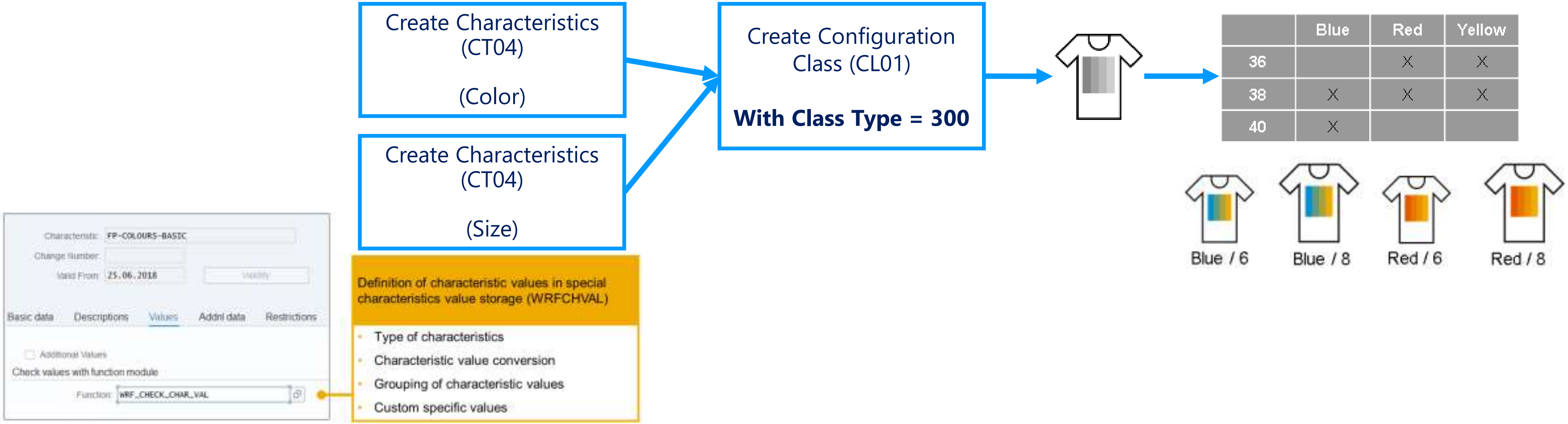
Prepack (11)

A prepack is a collection of articles bought together and sold individually. Shoes would be a good example: they are bought as a collection of shoes with different sizes (e.g. 1 of size 39, 3 of size 40 etc.). From a technical point of view, prepacks are also handled as a BOM. Within prepacks you are restricted to use only variant articles belonging to the same merchandise category.

GENERIC MATERIALS AND VARIANTS CREATION

Relevance of Characteristics

- **Managing a large variety of materials with different sizes and colors can be challenging. Grouping them by shared characteristics makes it easier to find what you need.**
- **For companies with a vast number of options for these characteristics, a dedicated tool is essential. This tool helps with:**
  - **Maintaining characteristic values:** Easily add, edit, and manage the different sizes and colors available.
  - **Grouping similar values:** Create groups for related sizes or color ranges, simplifying navigation and selection.
  - **Improved search help:** A well-organized search with grouped values helps users find the specific materials they're looking for quickly.
- **Using characteristics like "Color," "Main Size," and "Second Size" as grouping criteria makes it intuitive to navigate and select materials.**



FASHION PRODUCT MASTER DATA

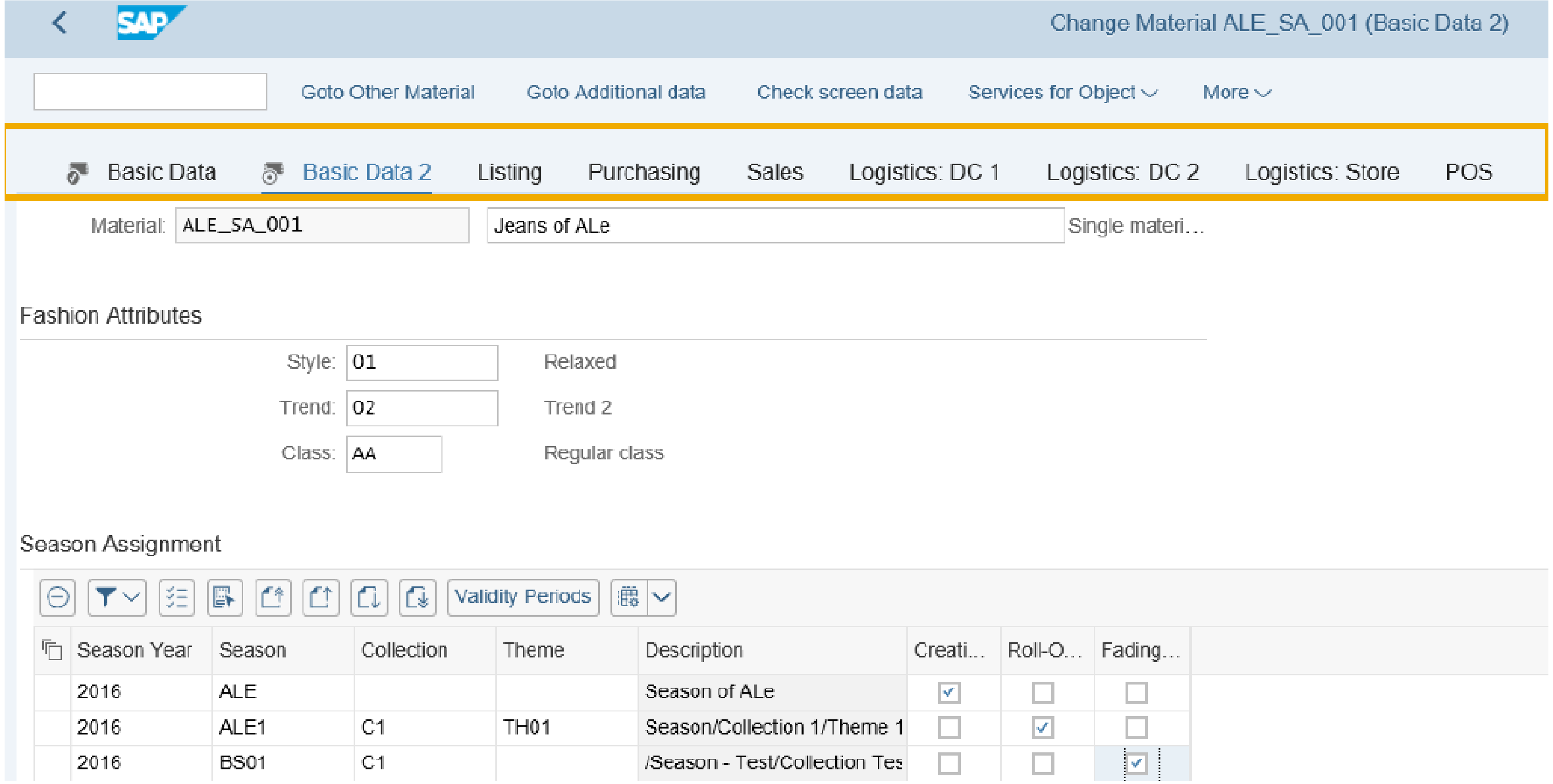
Dedicated tabs for fashion data

Basic Data 2

- Material conversion ID
- Segmentation data
- Fashion attributes
- Season assignment (includes segmentation specific season data)

Logistics DC 2

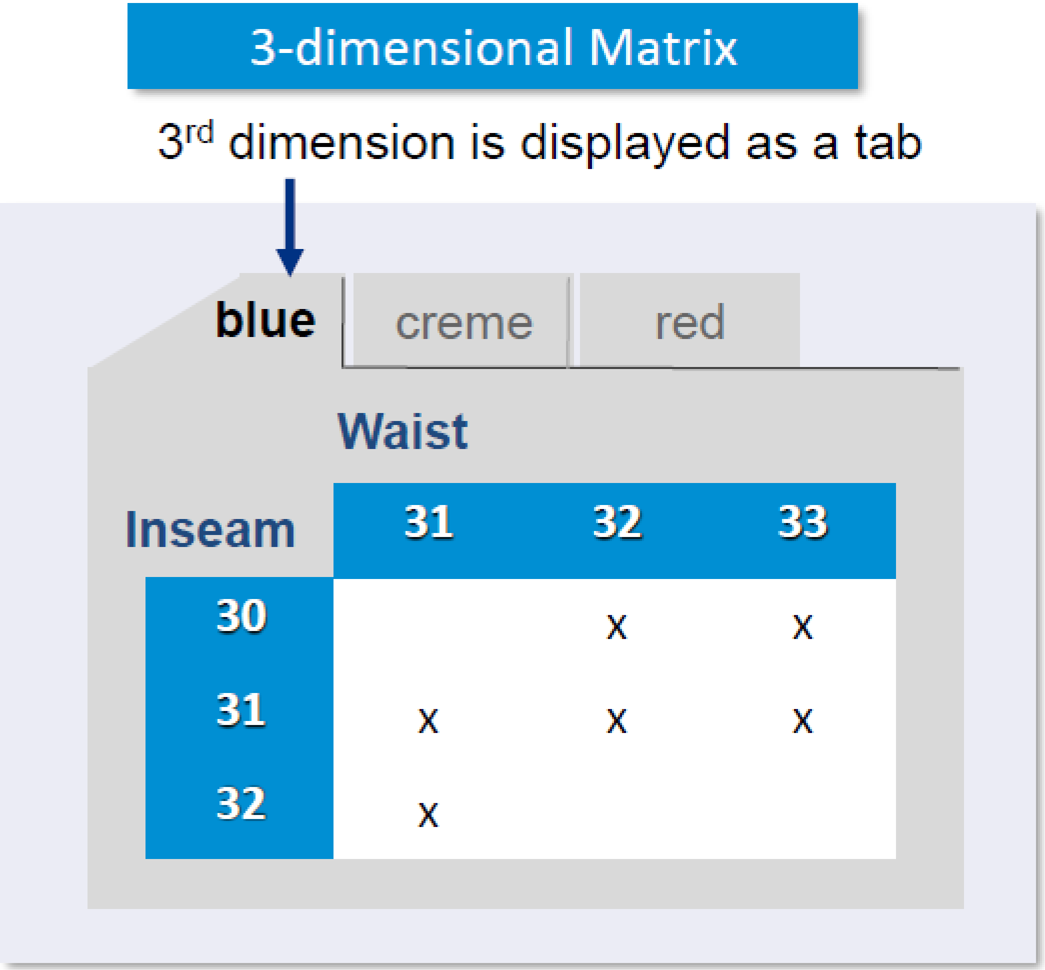
- Segmentation data
- Supply assignment (Arun)
- Batch management
- General control parameters
- Scheduling
- Lot size Data
- BOM Explosion
- Variant group....



FASHION PRODUCT MASTER DATA – ENHANCED DIMENSIONS

Enhanced usability for 3-dimensional variant matrix and usage in documents

- Usage in documents (example):
- **Purchasing:**
  - Purchase order/stock transport order
  - Goods movements
- **Sales:**
  - Sales inquiry
  - Sales quotation
  - Sales order
  - Sales contract
- **Retail specific transactions:**
  - Allocation table



MATERIAL MASTER KEY CONCEPTS – MONO vs MULTI VARIANT DIMENSIONS

Generic & Variants – Principles

- **Scenario 1 : Multi variants**

Generic Article

No color, no size (style)

- Characteristics

Size : XS, S, M, L, XL

Color : Red, Blue, Green, White

- Variants :

Generic Article				
Variants	Red	Blue	Green	Grey
XS	X	X	X	X
S	X	X	X	X
M	X	X	X	X
L	X	X	X	X
XL	X	X	X	X

➔ 1 generic article with 20 variants

- **Scenario 2 : Mono variant**

Generic Articles

No size (colorway)

- Characteristic

Size : XS, S, M, L, XL

- Variants :

	Generic Red	**Generic Blue**	**Generic Green**	**Generic Grey**
XS	X	X	X	X
S	X	X	X	X
L	X	X	X	X
L	X	X	X	X
XL	X	X	X	X

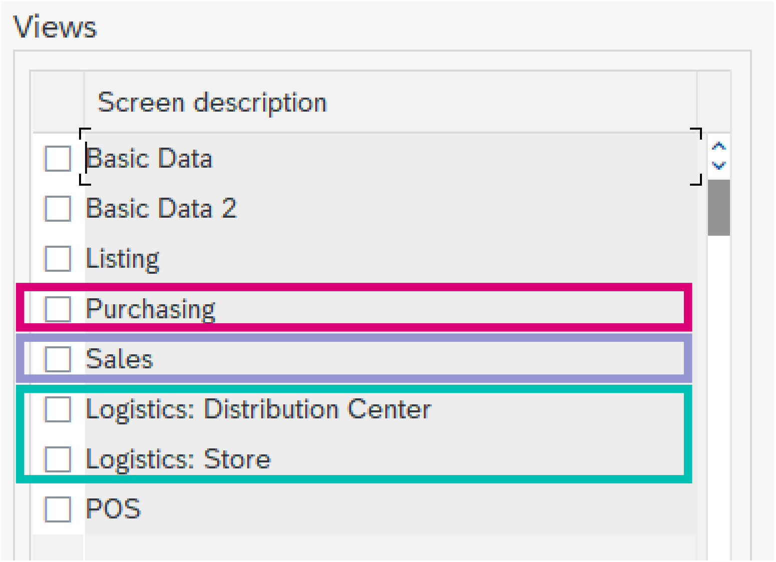
➔ 4 generic articles with 5 variants each

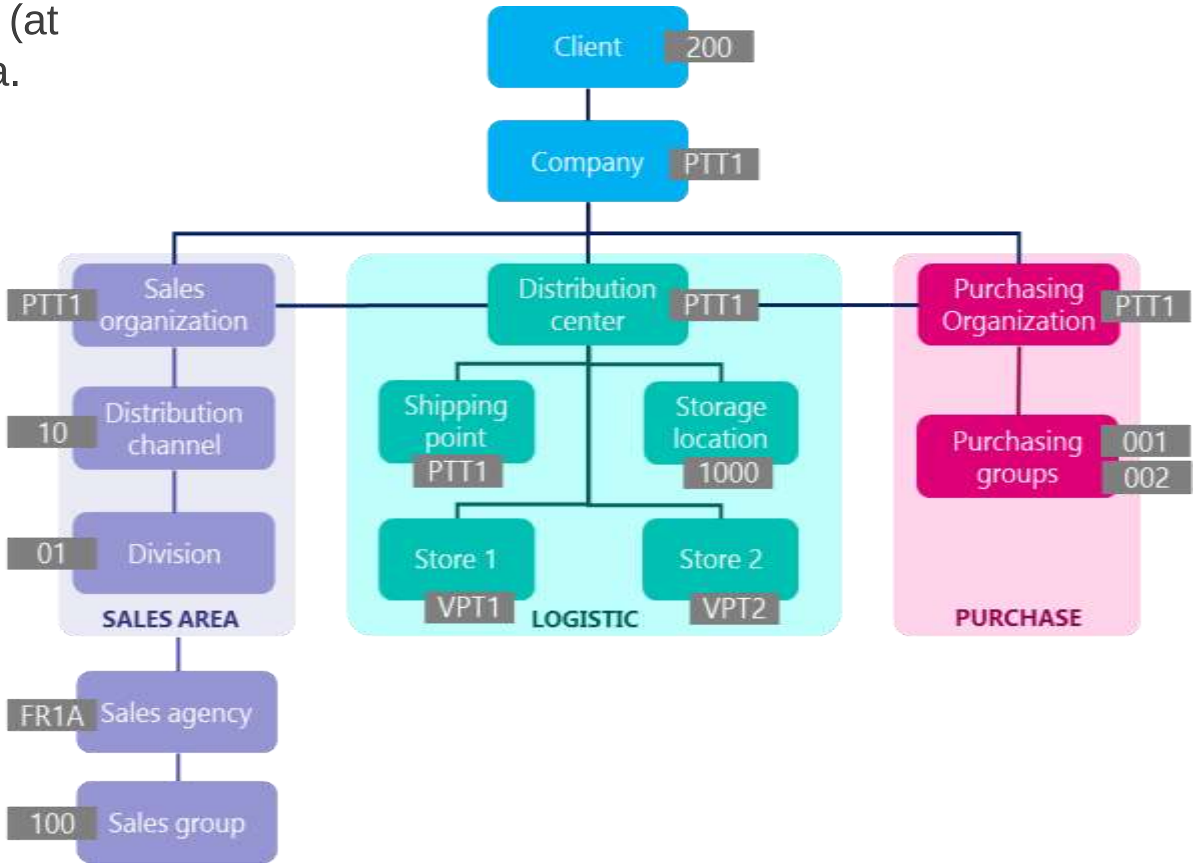
Preferred option in Retail Fashion

MATERIAL MASTER KEY CONCEPTS

Material Master Structure - Principles

- **The Material Master** contains information on all the articles that a company procures or produces, stores, and sells. It is the company's central source for retrieving article-specific data**.**
- The Article Master structure is **broken down by functional or process areas** : Basic data, Listing data, Purchasing data, Sales data (at Distribution Chain level), Platform data, Store data, POS data.





MATERIAL MASTER KEY CONCEPTS

Retail Article Master Structure - Principles

Colorway

BASIC DATA
- Description
- EAN
- Dimensions
- Units of measure
- Status
- Attributes
- Characteristics link
- BOM link
- …

PURCHASING
- Minimum order quantity
- Delivery tolerances
- Transportation chain
- Purchase price link
- …

LISTING
- Listing procedures
- DC Listing
- Store listing
- Assortments
- …

SALES
- Article status in Distrib. Chain
- Sales unit
- Validity dates
- Sales price link
- …

LOGISTIC DC
- MRP data
- Replenishment parameters
- Forecast data
- Segmentation
- Accounting data
- …

LOGISTIC STORE
- MRP data
- Replenishment parameters
- Forecast data
- Consumption
- Accounting data
- …

POS
- Disc. allowed
- Article status
- Cash receipt text
- …

Size

BOM

Purchase price

Sales price

These article views will be created automatically at the time of article listing (in warehouse and stores)

MATERIAL MASTER KEY CONCEPTS

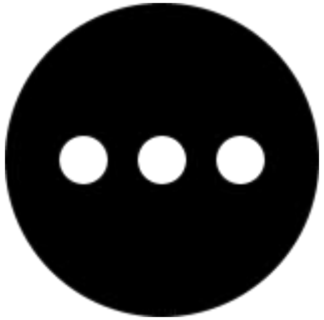
Material type – Principles

- Definition: The material Type allows you to manage different articles in a uniform manner in accordance with your company's requirements. When creating an article master record, you must assign the article to a material type. The SAP material types determine certain attributes of the article and have important control functions.
  - It is a factor determining the screen sequence and field selection in an article master record.
  - You define article number ranges at material type level (For example, Gifts can be configured to always be within the range 199999 to 299999, so it will be easier for the business to distinguish an article just by article number).
  - For each material type you also define whether, for a given site (warehouse or stores), it should be controlled by the system only by quantity or if it should also be controlled by value
  - You can produce a finished material with a BOM of production in SAP Retail. The details of the creation need to be introduced in a dedicated workshop

Trading goods

Gifts

Packaging material

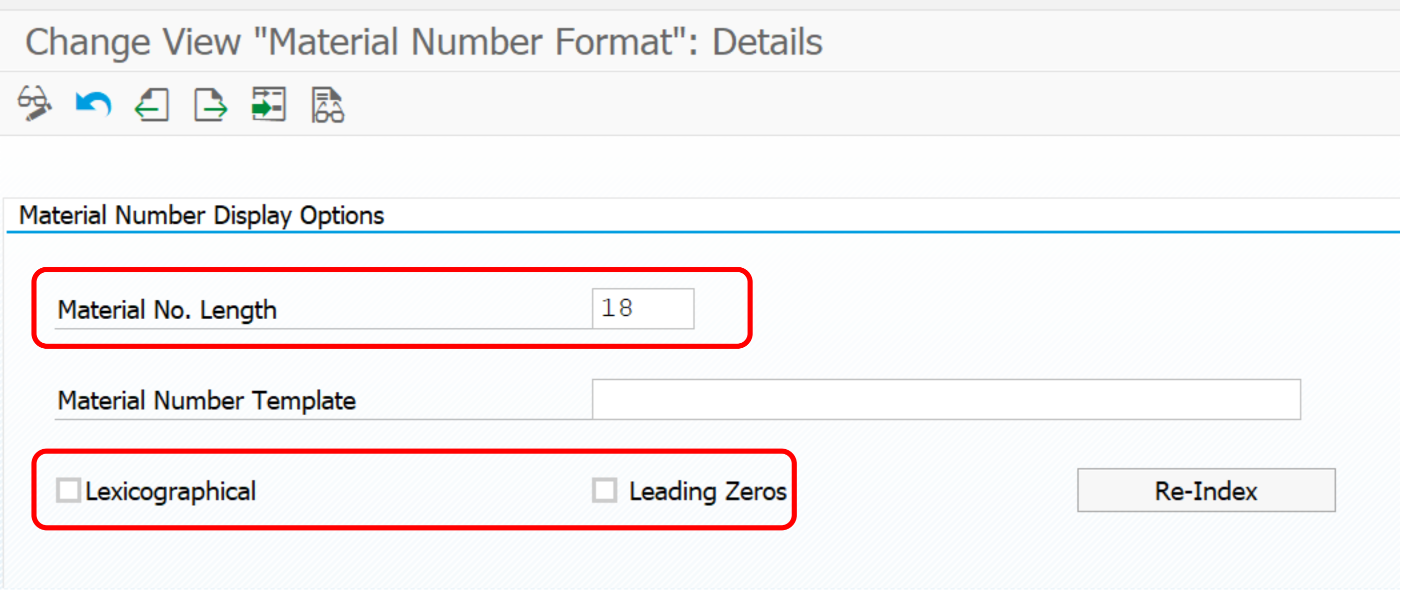


Other material types

02. Retail material inheritance & Customizing

Material number format and length

Material number format and length must be defined at the beginning of the project



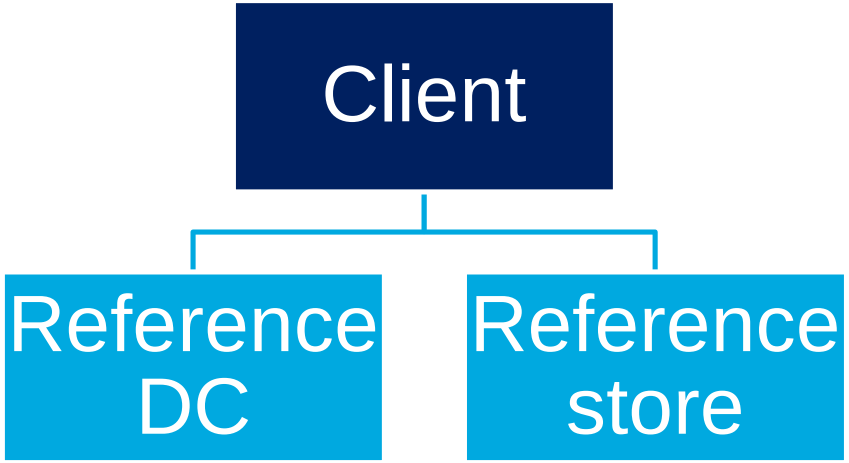
SPRO: Logistics – General > Material Master > Basic Settings > Define Output Format of Material Numbers

- ✓ Material number length could be defined from 18 to 40 characters
- ✓ Lexicographical option will define if external numeric material numbers will be stored with or without leading 0
- ✓ Leading 0 will define if leading 0 will be shown or not for internally created numeric articles
- ✓ **The two first option must be defined at the beginning of the project prior to any configuration and customizing. Changes during the project or after go live could have a huge impact**

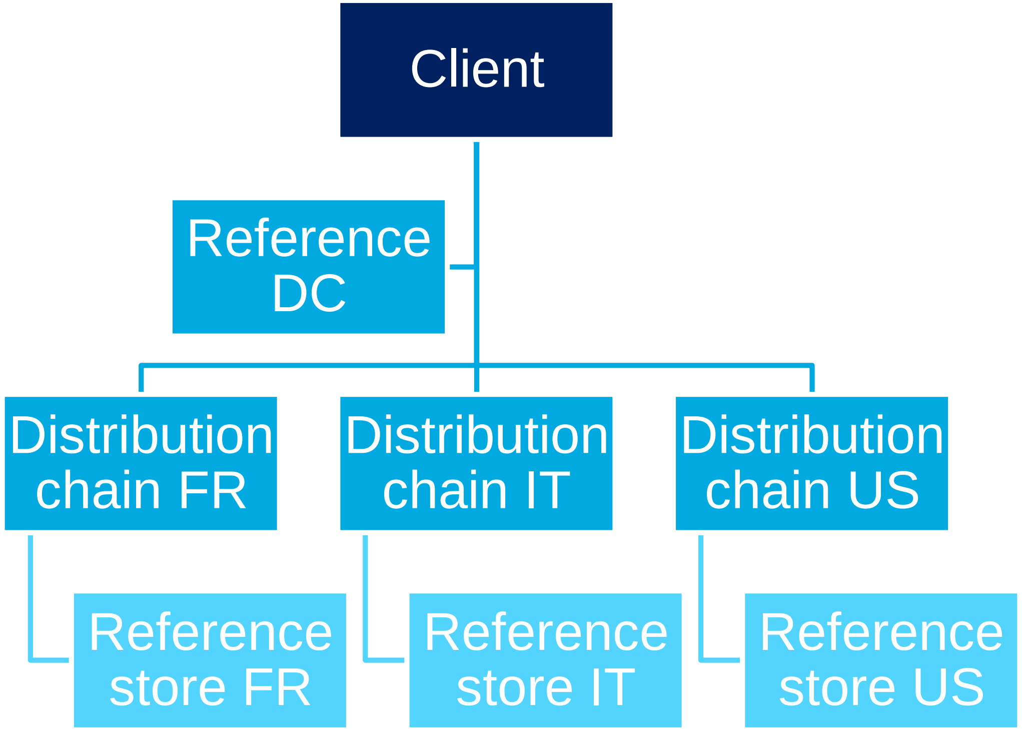
Reference site

Reference site are set up by default at client level, configuration must be adapted at the beginning of the project if needed

Default configuration : reference DC and store at client level

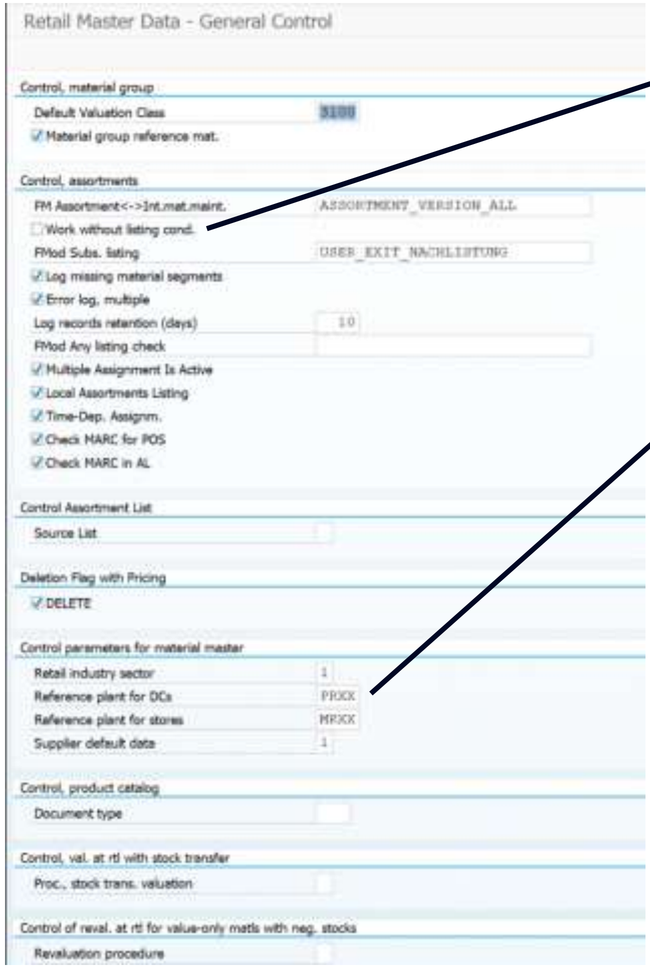


Alternative configuration : reference store at distribution chain level



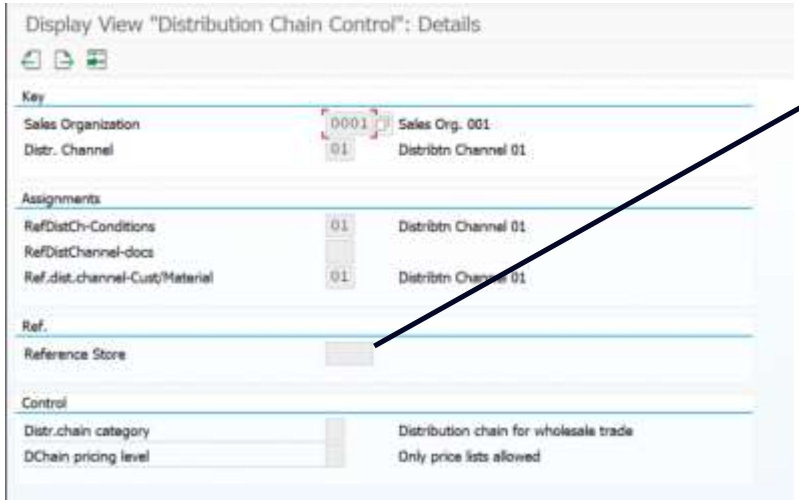
MATERIAL MASTER – KEY CUSTOMIZNG SETTING

Reference site could be setup at client or distribution chain level



This box must remain unchecked

DC and POS reference site at client level

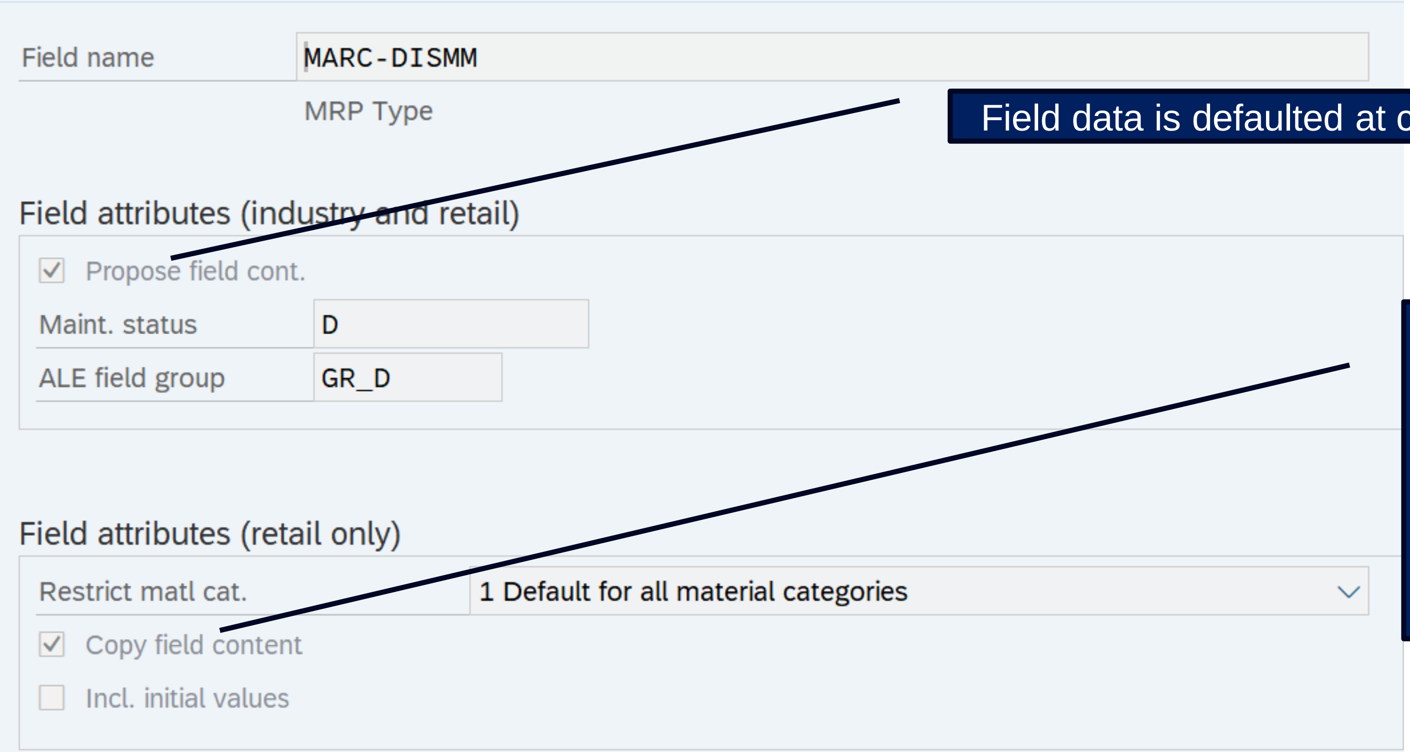


POS reference site at distribution chain level

SPRO: Logistics – General > Basic Data Retail > General Control, Retail Master Data
SPRO: Logistics – General > Basic Data Retail > Distribution Chain Control

Material reference data

Due to the large volume of data involved in Retail article maintenance, reference data is available when creating article master records.



Field data is defaulted at creation

Field data is copied at modification:
- ✓ From the generic material to the variants
- ✓ From the reference plant to the dependent plants
- ✓ From client level to lower areas of validity for the same material

- ✓ Each field can be configured to be defaulted at creation and at modification. Standard configuration is delivered

SPRO: Logistics – General > Material Master > Field Selection > Assign Fields to Field Selection Groups

Material reference data

Reference data is used according the following priority sequence

Priority

1 - Supplier master
2 - Reference site
3 - Same article
4 - Generic article
5 - Reference article
6 - Customizing
7 - Constants

- ✓ In a Retail system volume of data in article maintenance could be very large, especially for distribution center and store local views
- ✓ To ease article master data maintenance SAP introduced the concept of inheritance and reference data
- ✓ This concept apply in the following cases:
  - ✓ Model / variant article creation
  - ✓ Model / variant local views opening (DC, store)
  - ✓ Model / variant local views modification

Material reference data

Supplier-Related Reference Data

Purchase Info record
Confirmation control key
Country of origin
Currency
Evaluated receipt settlement
Goods-receipt-based invoice verification
Planned delivery time
Pricing date category
Purchasing group
Region of origin
Rounding profile
Salesperson
Salesperson's telephone number
Units of measure group

- ✓ Reference data from the supplier master record is relevant when maintaining purchase info record from article master
- ✓ If purchasing data has been maintained for the reference article for the same supplier, this data is also proposed when you create purchasing data from the article master record. However, this data has a lower priority than that in the supplier master record.

Material reference data

Supplier-Related Reference Data

Logistic data
Delivery cycle
Planned delivery time
Planning cycle
Purchasing group
Rounding profile
Stock planner
Units of measure group

- ✓ When you maintain logistics data for an article and for a site, the system proposes supplier-specific data from the user department Purchasing. If this data has not yet been maintained, it is proposed from the supplier master record of the regular supplier.
- ✓ This requires the system to determine the regular supplier for each site (source determination).

Material reference data

Same article Reference Data

Defaulted from basic data to	Field
Accounting	Valuation class
	Valuation margin
Listing	Listing period (proposed from the fields Valid-from and Valid-to)
	Selling period (proposed from the fields Valid-from and Valid-to
Logistics: Distribution Center / Store	ABC indicator
	Batch management requirement indicator
	Country of origin
	Loading group
	Purchasing group
	Region of origin
	Sales unit (only stores)
	Source of supply (only stores)
	Unit of issue (only distribution centers

- ✓ The beside data can be maintained for an article in the Basic Data view (that is, at client level).
- ✓ When data is created for a lower area of validity / local view, this data is proposed as outlined in the table.

Material reference data

Same article Reference Data

Defaulted from basic data to	Field
Purchasing	Base unit of measure
	Merchandise category
	Order unit
	Purchasing group
	Purchasing value key
	Unit of issue
	Variable order unit
Sales	Pricing reference article
	Product hierarchy
	Sales unit (only distribution chains for stores)
	Unit of issue (only distribution chains for distribution centers)

- ✓ The beside data can be maintained for an article in the Basic Data view (that is, at client level).
- ✓ When data is created for a lower area of validity / local view, this data is proposed as outlined in the table.

Material reference data

Reference data from the generic article to the variants

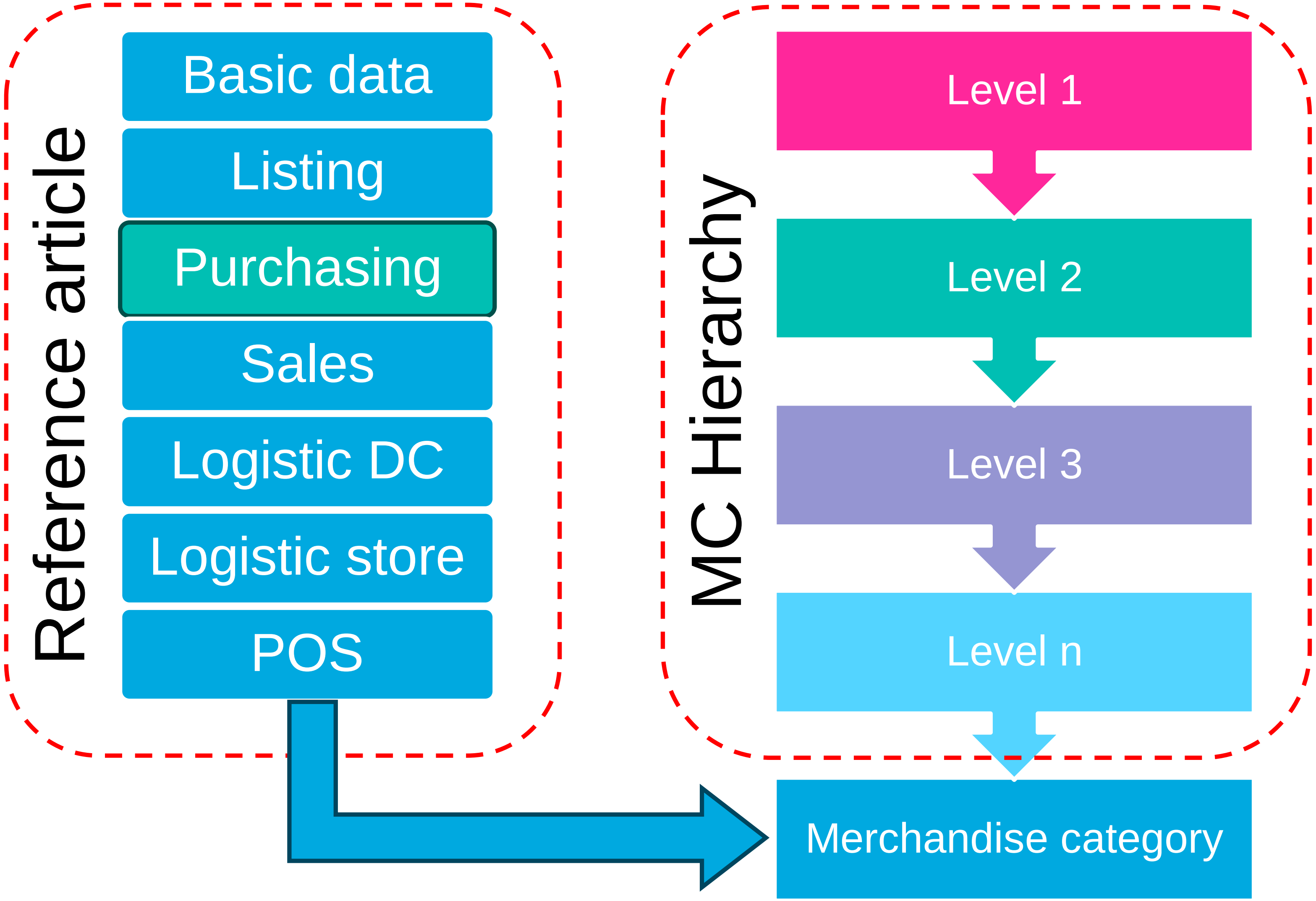
- ✓ Data is proposed from the generic article for all variants, except for EANs, consumption values, and forecast values.
- ✓ Changes to the generic article are copied to the corresponding fields for the variants if the fields have not been maintained differently. This saves you having to maintain separate purchasing info records and/or prices for the variants in particular.
- ✓ If you do maintain this data separately, changes for the generic article are not copied anymore to the variants.

- ✓ Data is proposed and changes copied from the generic article to the corresponding fields for the variants only if the system is configured accordingly in Customizing (cf slide Article reference data)

- ✓ The descriptions of the variants are created automatically from the description of the generic article and from the characteristic values of the variant-creating characteristics.

Merchandise category / material group and reference article

Merchandise category and reference article are a key concept in article master data maintenance



- ✓ Reference article is assigned to merchandise category
- ✓ When a new article is created it must be assigned to a merchandise category, if the merchandise category has been assigned a reference article, default data could be used
- ✓ Data from reference article are defaulted at article creation

Material reference data

Reference articles are used to default data when creating and extending an article master record

- ✓ All data defined for the reference article is proposed, except for EANs, consumption values and forecast values, and prices and conditions (purchasing and sales).
- ✓ The generic article is always used as the reference article for the variants.
- ✓ **Subsequent changes to reference articles are not copied to the articles created from them.**
- ✓ There are two types of reference articles:
  - ✓ Reference article on the initial screen : You enter the reference article in the Reference article field on the initial screen.
  - ✓ Merchandise category reference article (cf slide Key concept – merchandise category / material group and r...)
- ✓ It is not possible to use both types of reference articles at the same time. If you have entered a reference article on the initial screen, it has precedence over a merchandise category reference article. If you have created an article master record using a reference article, you can extend it using a merchandise category reference article, and vice versa.

Material reference data

Some reference data are defaulted from Customizing or from constant

- ✓ Some data are defaulted directly from customizing, complete list can be found here : Articles: Reference Data from Customizing
- ✓ Some data are defaulted directly from constants, complete list can be found here : Articles: Reference Data from Constants

Material master data – useful transactions

Important transactions to deal with Retail material master data

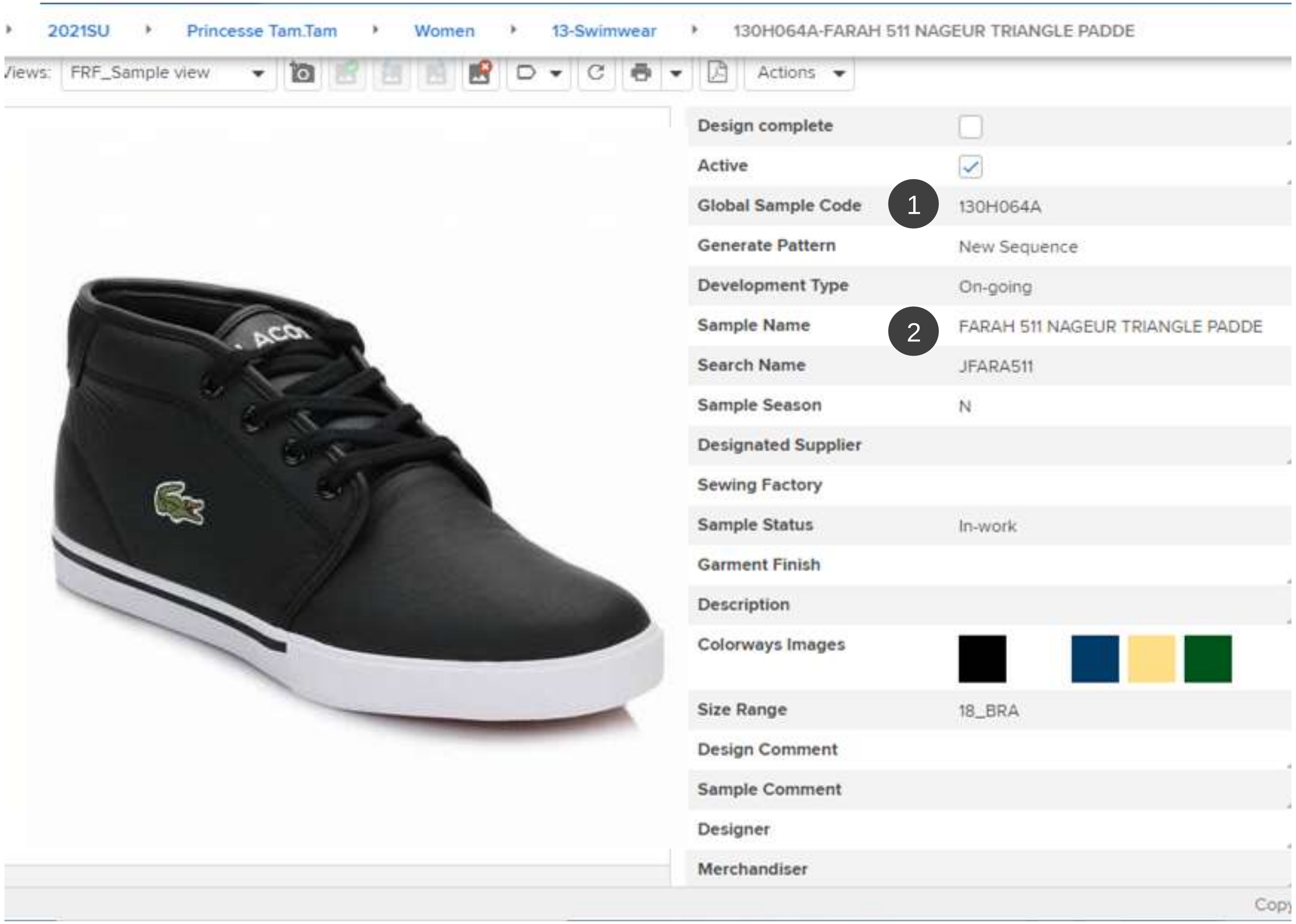
Transaction	Description
W*	Retail transactions
FSH*	Fashion transactions
W10M	The SAP Retail menu for Merchandise management, much more useful than S000
MM41-42-43	Retail material master data maintenance
WG21-2-4	Material groups maintenance
CLWM-N-O	Material groups hierarchy maintenance
CLWE-F-G	Characteristic profile maintenance
CT04	Characteristic management
CL01-02-03	Class management
WSOA1-2-3	Retail assortments management
WSP4	Individual material listing
WSM3	Mass listing
FSH_SWB	Season workbench
RWBE	Retail stock display

03. Material master fields (basic data views)

MATERIAL MASTER FIELDS (BASIC DATA VIEWS)

Item Code and Item Description

BASIC DATA



SAP Material Code: 1

- Limited to 40 characters
- Number range definition at material type level

Material Description: 2

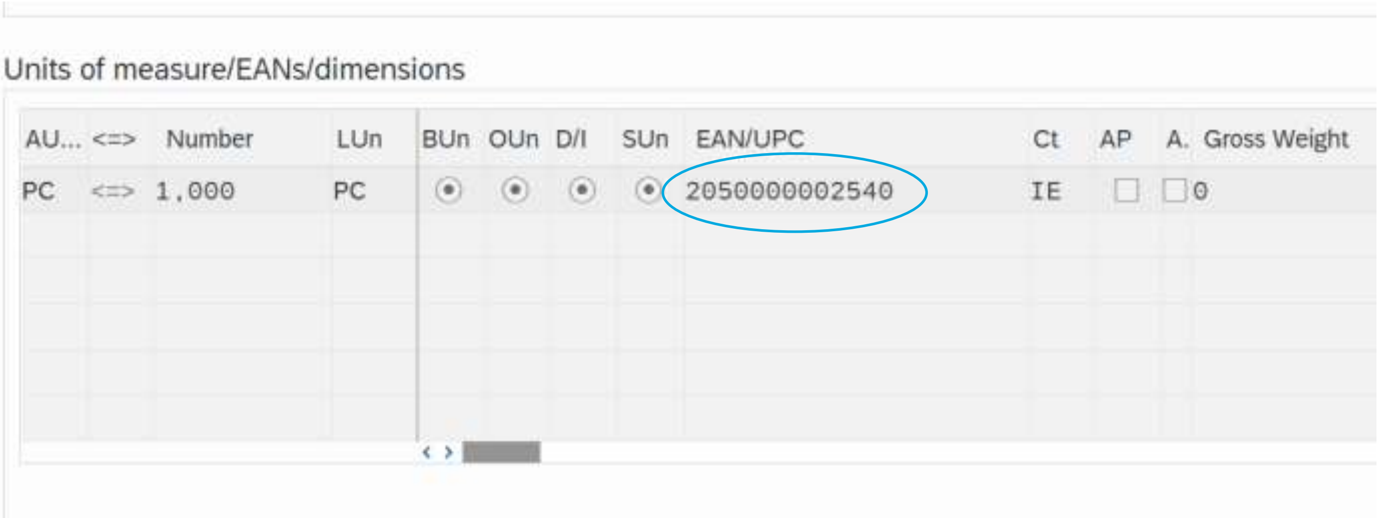
- Limited to 40 characters
- Can be maintained in different languages

MATERIAL MASTER FIELDS (BASIC DATA VIEWS)

EAN

BASIC DATA

- The EAN (International Article Number), equivalent to the UPC (Universal Product Code) of the United States, **is an international standard number for identifying a material**, which SAP allows you to assign (done in the 'Eng./Design or Units of Measure' screen) to the materials
- EANs in SAP S/4:



In SAP, you can assign multiple EANs (and EAN categories) to one single article:

- Example 1: one EAN at piece level and one at packaging level
- Example 2: use of EAN + UPC for the US market
- EAN could also be managed at segment level

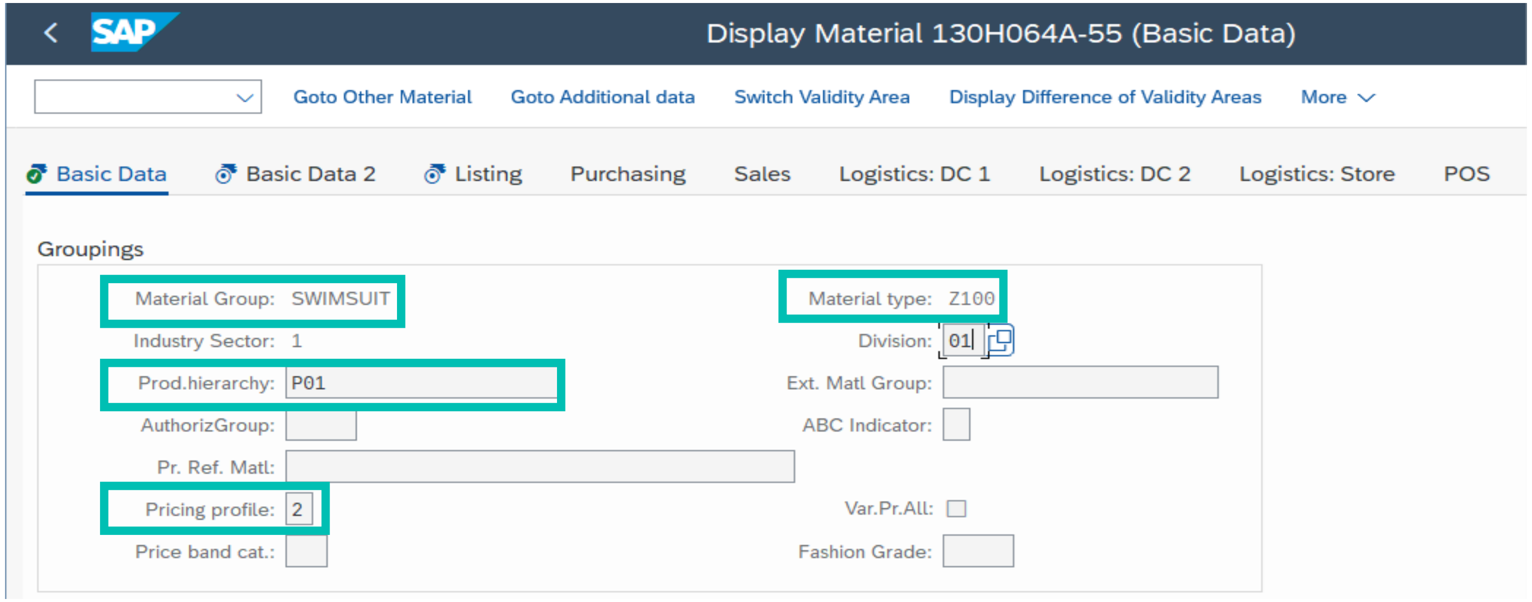
MATERIAL MASTER FIELDS (BASIC DATA VIEWS)

Groupings

BASIC DATA

- Material Group: A material group is a grouping of articles with similar characteristics

- Product Hierarchy: The product hierarchy is an alphanumeric character string allowing to classify products. A product hierarchy can be created with up to three levels, each with a specific number of characters.



- Material Type: The Material Type allows you to manage different articles in a uniform manner in accordance with your company's requirements. The SAP material types determine certain attributes of the article and have important control functions (for more information, please refer to “BD01-01 - Article Master – Presentation of Key Concepts”)
- Pricing Profile: Specifies how you maintain the sales prices of the variants of a generic. You have the following options:
  - The sales prices of the variants correspond to that of the generic material.
  - The sales prices of the variants differ from that of the generic material.

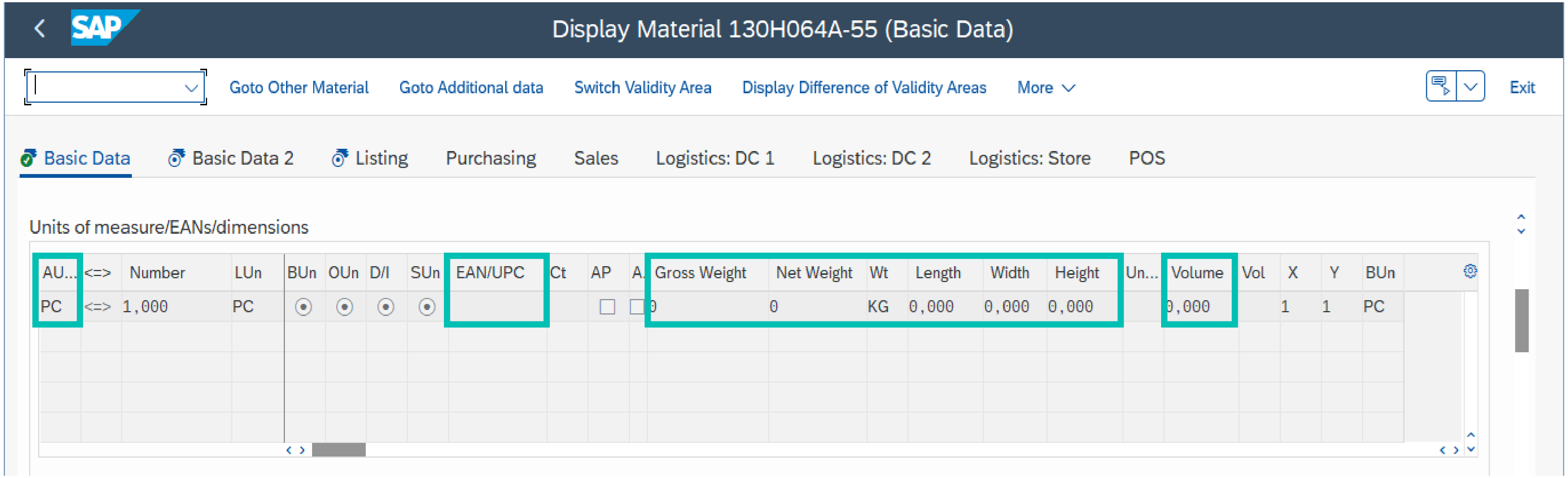
MATERIAL MASTER FIELDS (BASIC DATA VIEWS)

UOMs and other dimensions **BASIC DATA**

- Units of measure: Besides the base unit of measure of an article, you can also specify alternative units of measure. If you specify an alternative unit of measure, you must specify the factor for converting it to the base unit of measure. You can flag individual units of measure as the sales unit, unit of issue (or delivery unit), and/or order unit as required.

- EAN: You can create an International Article Number (EAN) for each unit of measure

- Dimensions: You can enter dimensions, volume, and weight for each unit of measure



MATERIAL MASTER FIELDS (BASIC DATA VIEWS)

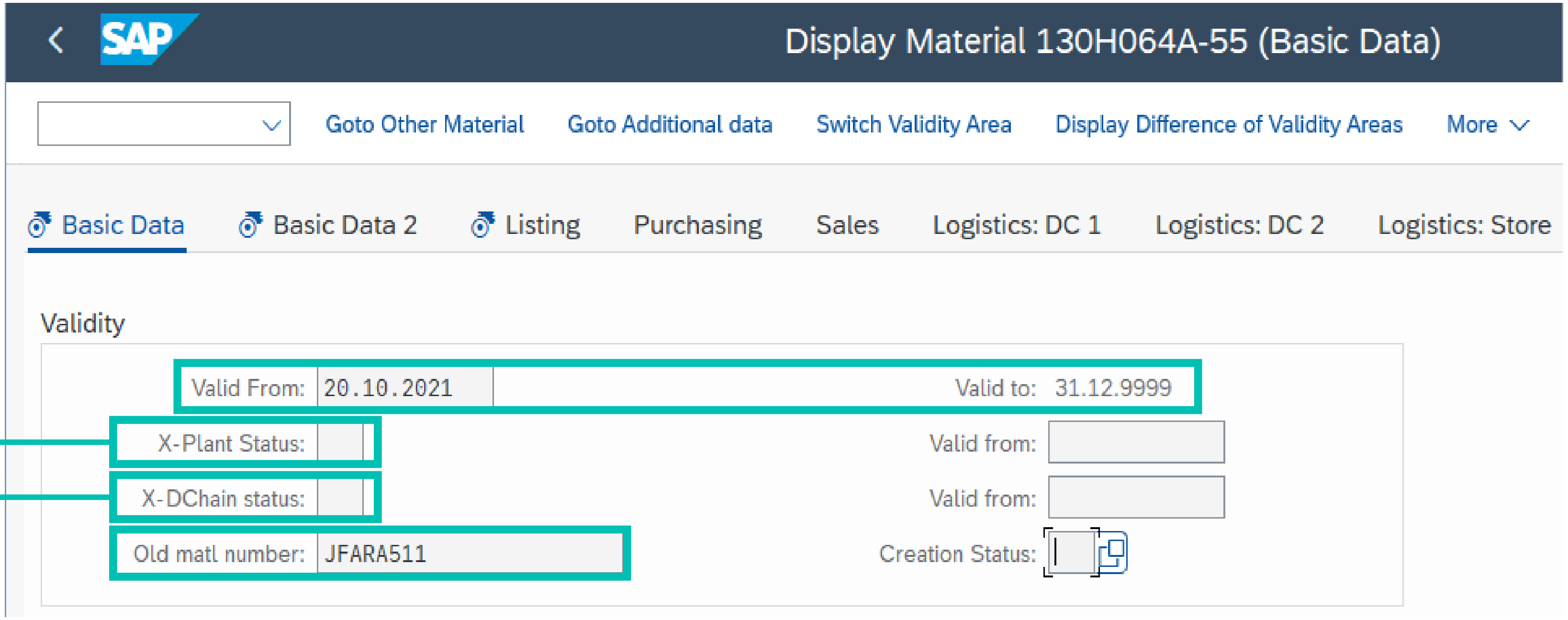
Material validity

BASIC DATA

- Valid from/to: validity period of the article
- Old material number: old article code reference (Legacy material code for example)
- X-Plant/Dchain status: article status to manage the article lifecycle
  - ✓ An article can have a general status (example: "Blocked" or "Validated")
  - ✓ We can also maintain statuses applicable for all distribution chains

St	Description
01	Discontd w/o Replace
02	Discontd w Replacemt
03	Technical Defect
04	Test Part
11	Under Development
GG	Returns Only
Z1	In Preparation
Z3	Blocked For Sales
Z4	Purchasing Blocked
Z5	End Of Life Puchase

MS	Description
01	Blocked for procment/whse
02	Blocked for task list/BOM
81	MPN: Blocked f.BOM header
Z1	In Preparation
Z2	Validated
Z4	Blocked For Purchasing
Z5	Enf Of Life Purchasing
Z6	End Of Life

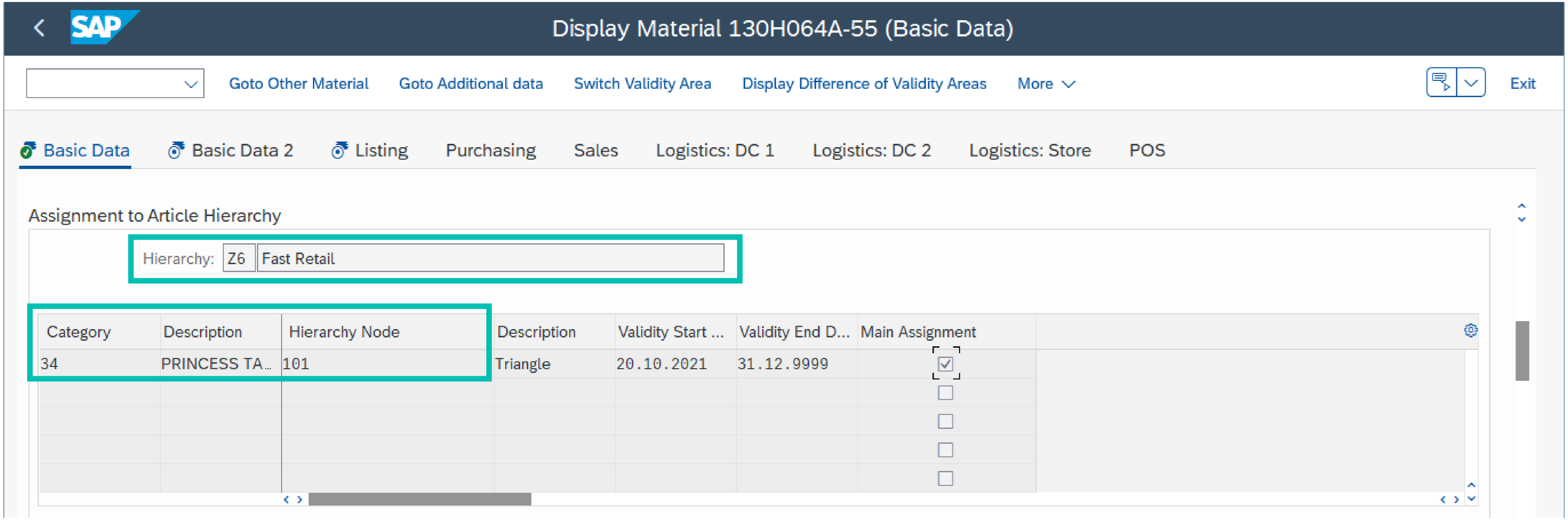


MATERIAL MASTER FIELDS (BASIC DATA VIEWS)

Assignment to Article Hierarchy

BASIC DATA

- Hierarchy code: Article hierarchy code to which the article is assigned
- Hierarchy name: Short description of the article hierarchy
- Hierarchy node: Hierarchy node codification to which the article is assigned

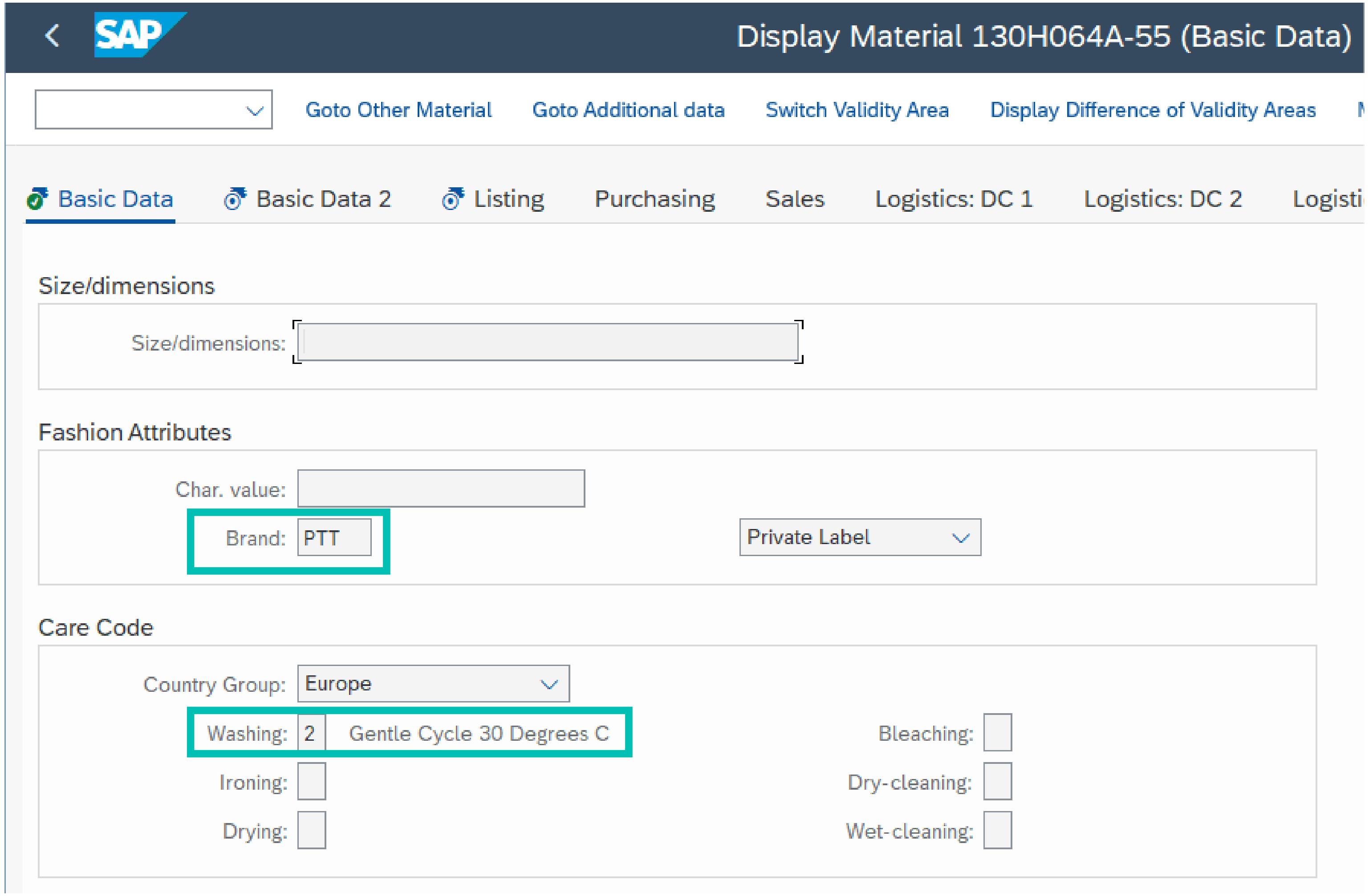


MATERIAL MASTER FIELDS (BASIC DATA VIEWS)

Fashion Attributes

BASIC DATA

- Brand :
  - Limited to 4 characters + description
- Care Code :
  - Limited to 1 character (with description)
  - Examples of care codes:
    - ❑Washing
    - ❑Ironing
    - ❑Drying
    - ❑…



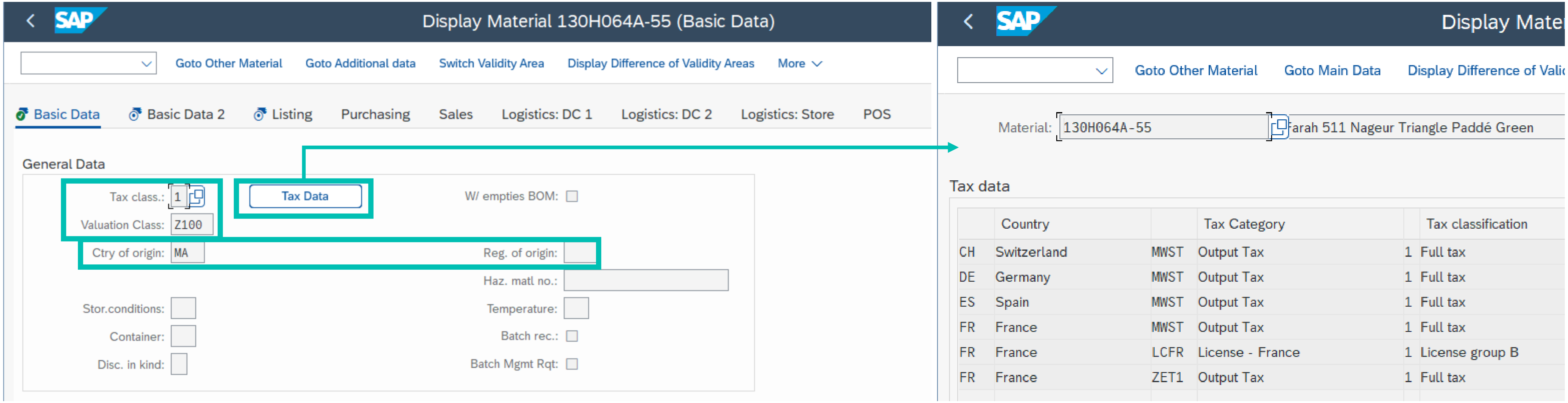
MATERIAL MASTER FIELDS (BASIC DATA VIEWS)

Tax Data

BASIC DATA

- Tax class: Key that identifies the sales tax classification of a material
- Valuation class: Default value for the valuation class for valuated stocks of this material
- Country of Origin: Country in which the article has been produced

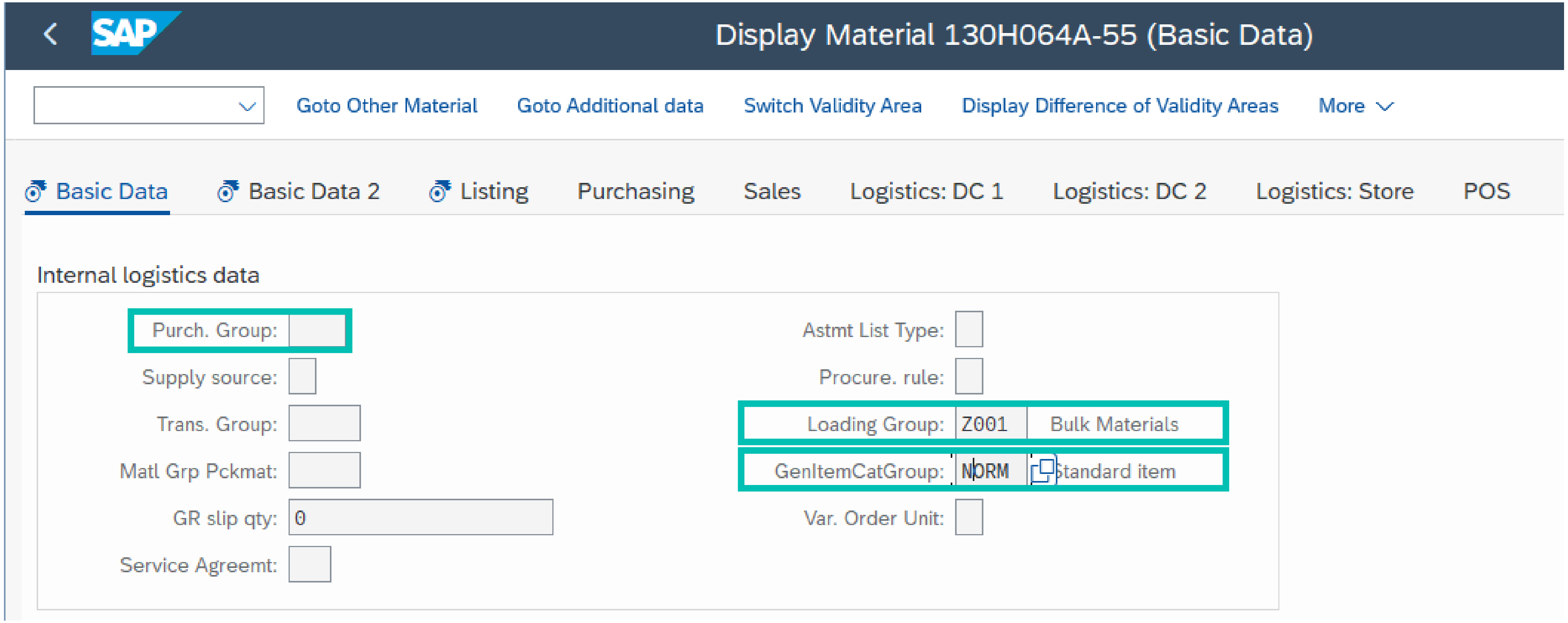
- In the « Tax data » tab: Tax classification entered against various countries



MATERIAL MASTER FIELDS (BASIC DATA VIEWS)

Internal Logistics Data **BASIC DATA**

- **In Basic data view, on “Internal logistics data”, we can find:**
  - Purchasing group: Key for purchasing statistics
  - Loading group: It is use as well as the shipping conditions and the delivering plant, to automatically determine the item's shipping point.
  - General item category group: Article grouping that helps the system to determine item categories during sales document processing.

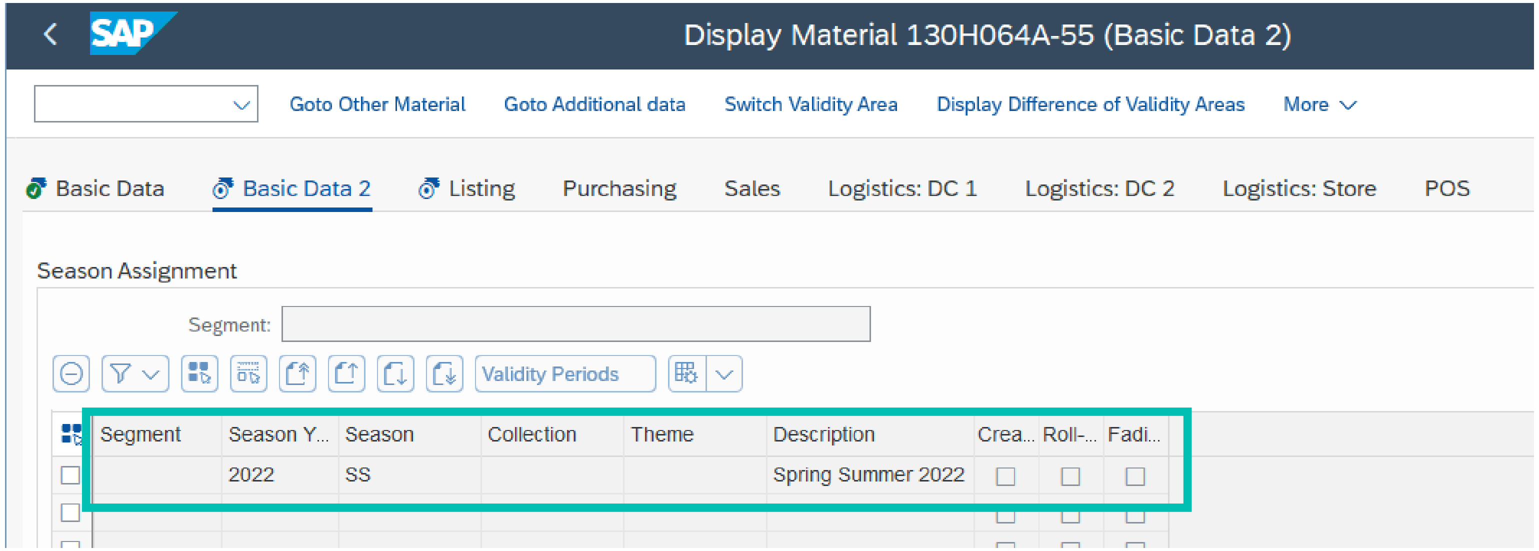


MATERIAL MASTER FIELDS (BASIC DATA VIEWS)

Season Assignment

BASIC DATA 2

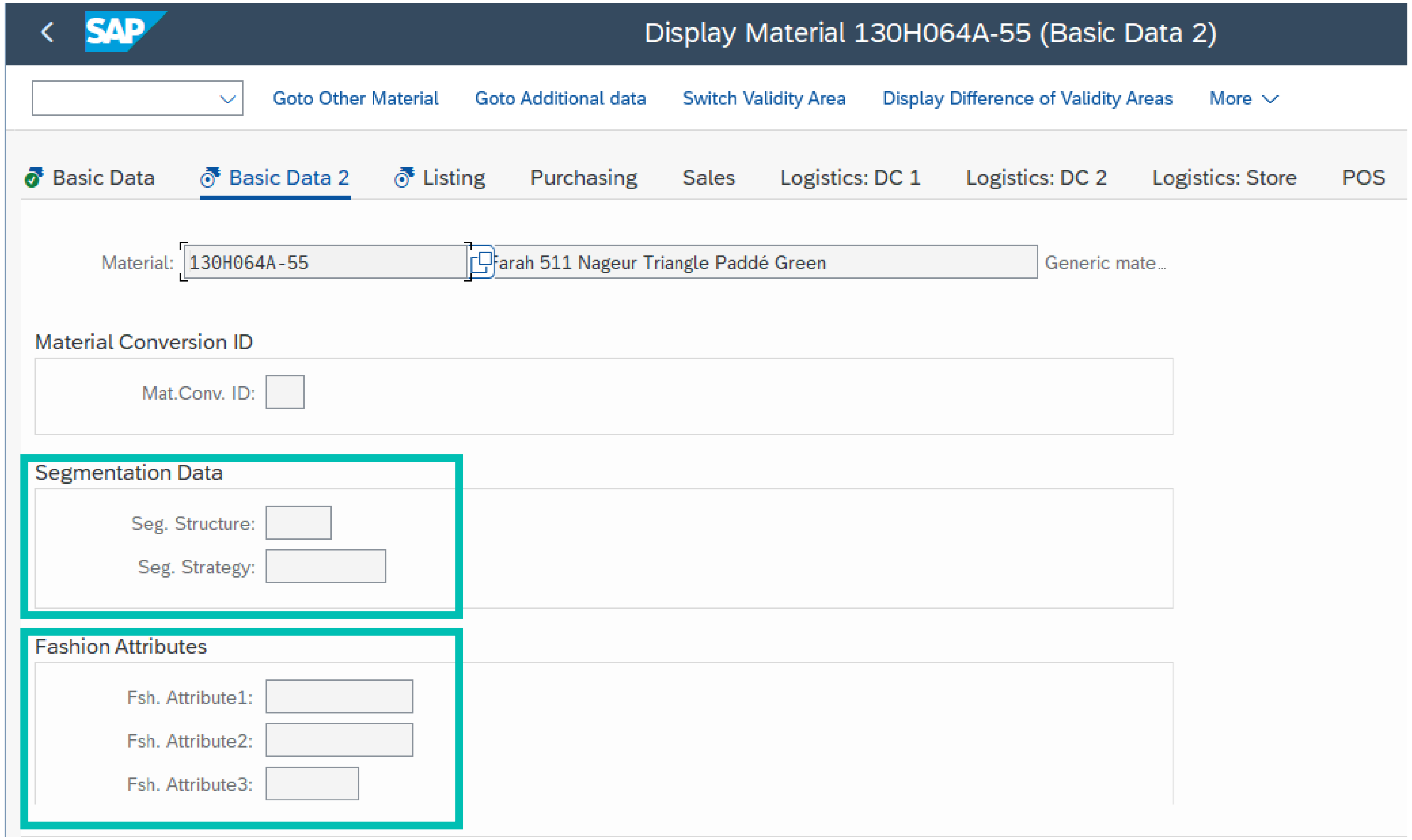
- Season & Season year: Seasonal period in which a fashion article is available. Examples of a seasons: SS (Spring Summer, FW (Fall Winter), etc. A season I assigned to a season year.
- Collection: This defines the collection to which the fashion article belongs. This field is optional
- Theme: This defines the theme to which the fashion article belongs This field is optional
- Season Types (optional):
  - Creation season: Check this flag to indicate this is the article’s starting season
  - Roll-Out season: Check this flag to indicate the article is renewed for another season
  - Fading season: Check this flag to indicate this is the article’s last season



MATERIAL MASTER FIELDS (BASIC DATA VIEWS)

Segmentation & Fashion attributes **BASIC DATA 2**

- Segmentation structure:
  - Configurable and activable, the segmentation structure contains all stock segment and requirement segment values valid for your article
- Segmentation Strategy:
  - It’s a collection of business rules defining which stock materials should satisfy which demand objects (mapping between stock segment and requirement segment values)
  - These business rules apply to processes such as MRP, ATP, planned independent requirements, and so on.
- Fashion Attributes:
  - An attribute describes a characteristic of a Fashion article
  - You can add up to 3 attributes

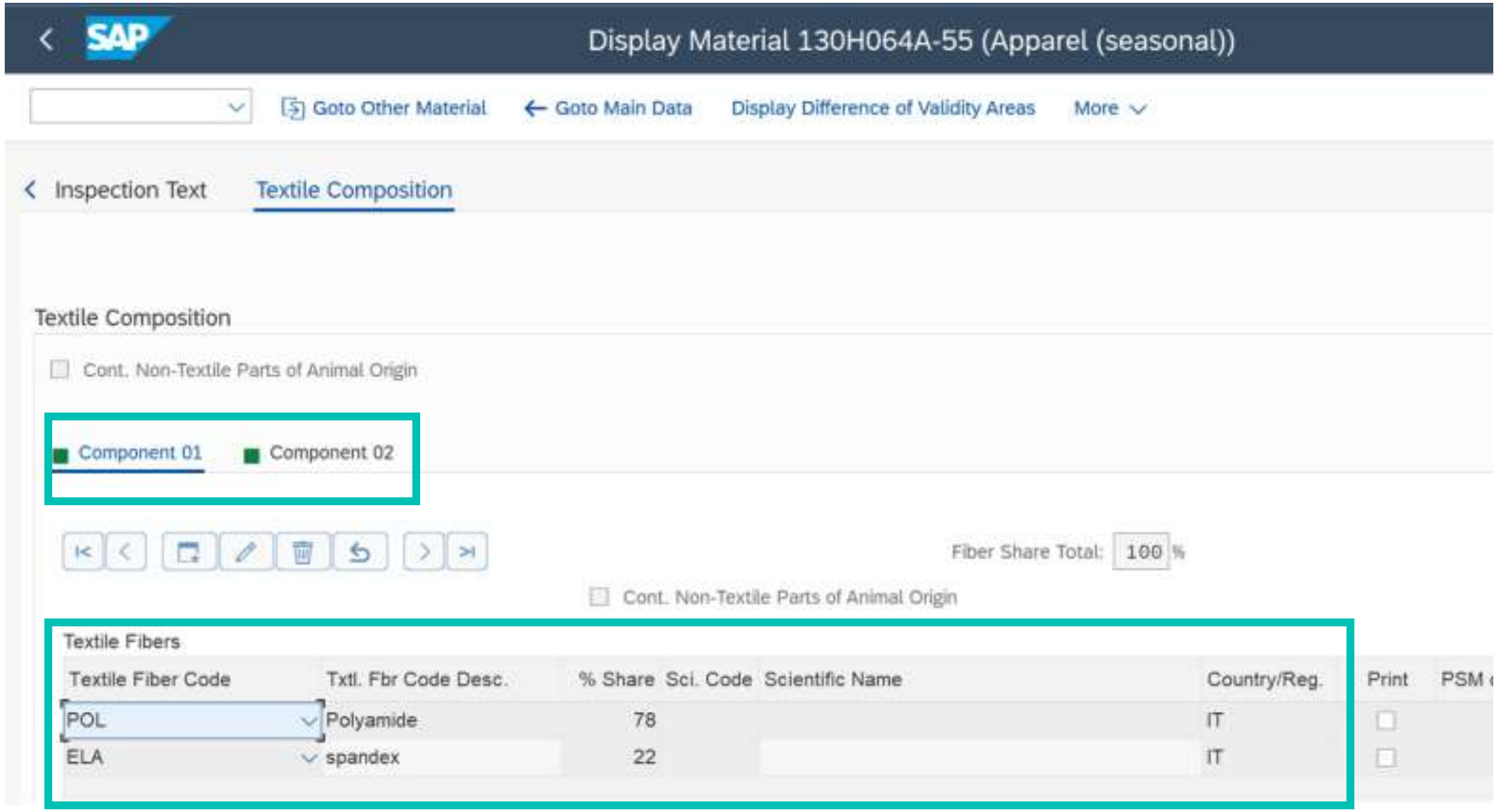


MATERIAL MASTER FIELDS (BASIC DATA VIEWS)

Textile Composition

ADDITIONAL DATA

- This function implements the legal requirements of an EU Regulation on textile fiber names and related labeling and marking of the fiber composition of textile products. Fibers for multiple textile components of an article can be processed (for example: outer fabric and lining
- Components:
  - You can process fiber compositions for multiple textile components in article maintenance.
  - If necessary, you can assign meaningful names to the individual components
- Fiber Codes:
  - Here, assign fiber codes (3 characters + description) to components and indicate their share in %
  - If necessary, you can add further information such as: its country of origin, its PSM code (if applicable), …



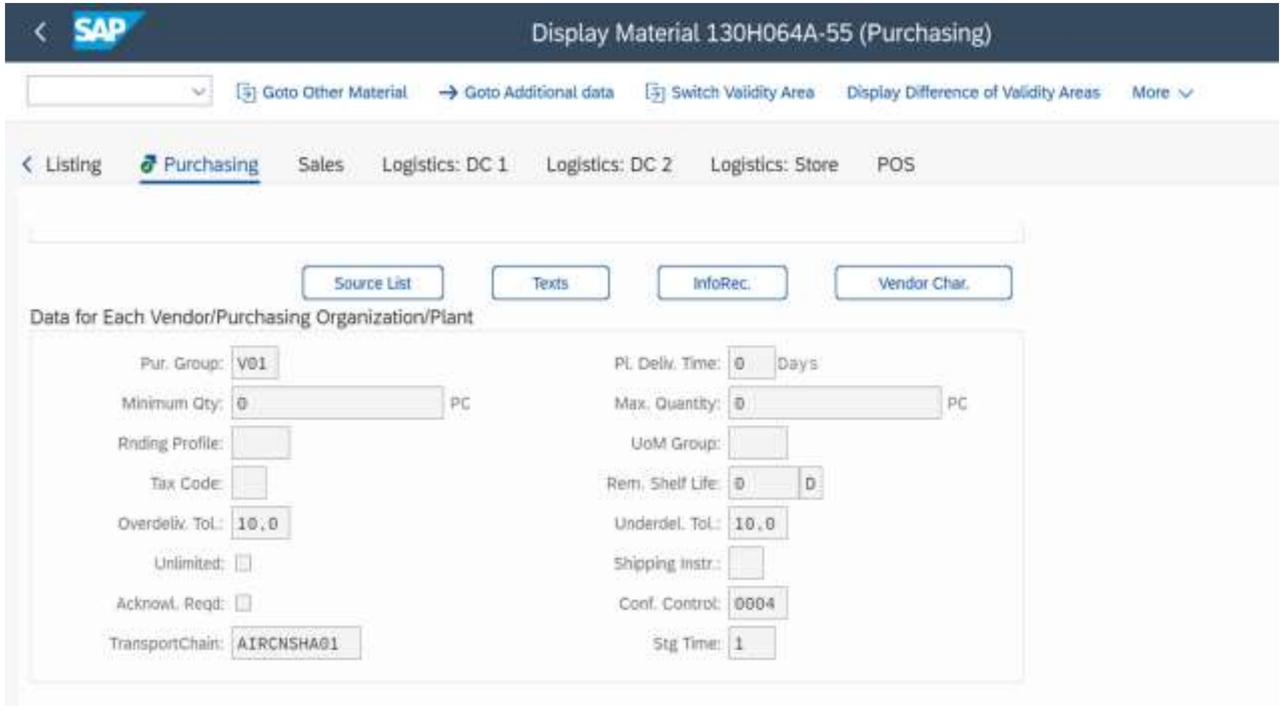
04. Material master fields (logistics/financial views)

MATERIAL MASTER FIELDS (LOGISTICS/FINANCIAL VEWS)

Fields and attributes - Principles

PUCHASING VIEW

- **This section discusses purchasing-specific master data and describes how to enter and maintain material and vendor data relating to purchasing**
- Purchasing-specific master data are maintained at **Purchasing Organization / Vendor level**
- From this article view, you can directly access some other Purchasing Master data objects such as the **Source List** and the **Purchase info Record**
- Examples of data provided by Purchasing for an article:
  - **Purchasing group (group of buyers),**
  - **Order unit,**
  - **Net Price**
- Article Purchasing Data is defaulted from the Vendor Master
- Any Article Purchasing Data change automatically triggers the update of the article purchase info record

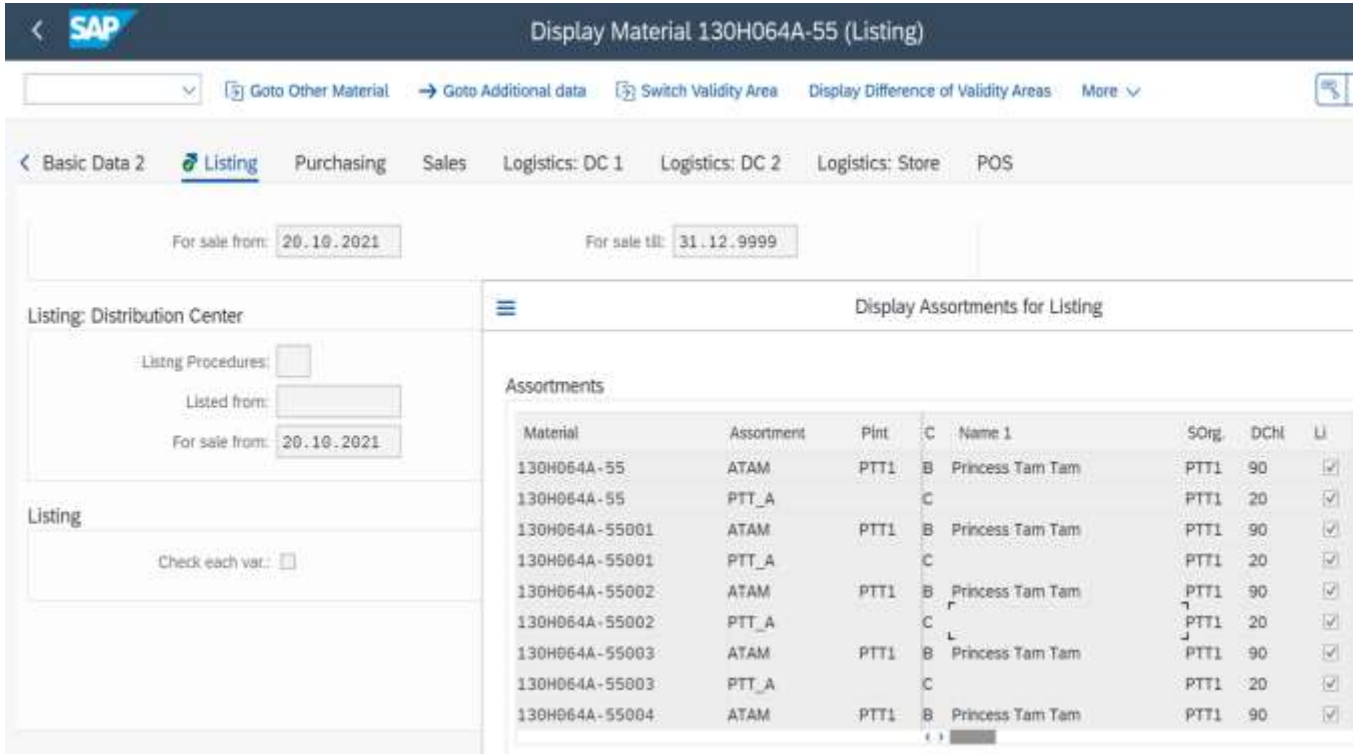


MATERIAL MASTER FIELDS (LOGISTICS/FINANCIAL VEWS)

Fields and attributes - Principles

LISTING VIEW

- **Listing is nothing but allowing the article to be purchased, distributed or sold in a Distribution Center or a Store.**
- The listing operation is the creation of a link between an article and an assortment
  - The full listing process is described in BD01-04 section
- From this article view, you can directly see the list of distribution chains and assortments to which your article is assigned to
- Examples of fields and attributes in the Listing View:
  - **Listing procedures:** determine how the system checks the assignment of articles to assortments (and thereby to the stores, customers, or distribution centers using those assortments).
  - **Listing From and To dates:** These are active Listing dates
  - **For sale from and TO dates:** These are sales validity dates



Management Rules

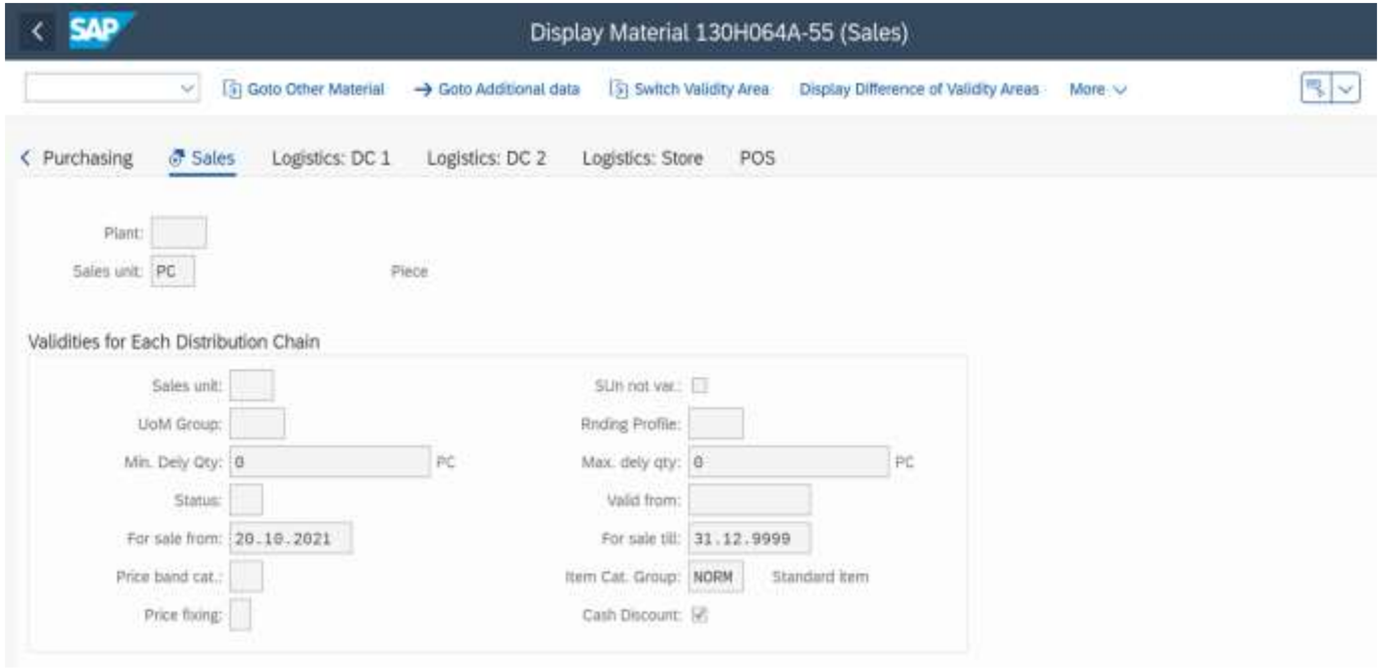
- The listing operation in distribution centers and stores could be triggered by the assortment assignment to assortment modules or material groups
- The listing view (in the article master) will be automatically generated at the time of the listing operation

MATERIAL MASTER FIELDS (LOGISTICS/FINANCIAL VEWS)

Fields and attributes - Principles

SALES VIEW

- **The SAP Sales View contains information specific to a sales organization and a distribution channel. It allows you to control, enter and monitor sales data within a company**
- Examples of fields and attributes in the Sales View :
  - **Sales unit – Unit of measure** in which the material is sold.
  - **Distribution-chain-specific material status-** Indicates whether, for a specific distribution chain, the material may be used in individual functions in Sales and Distribution.
  - **Date from which sold in the store** – Date from which the material is sold in the stores.
  - **Item category group from material master** – A grouping of materials that the system uses to determine item categories during the processing of sales documents



Management Rules

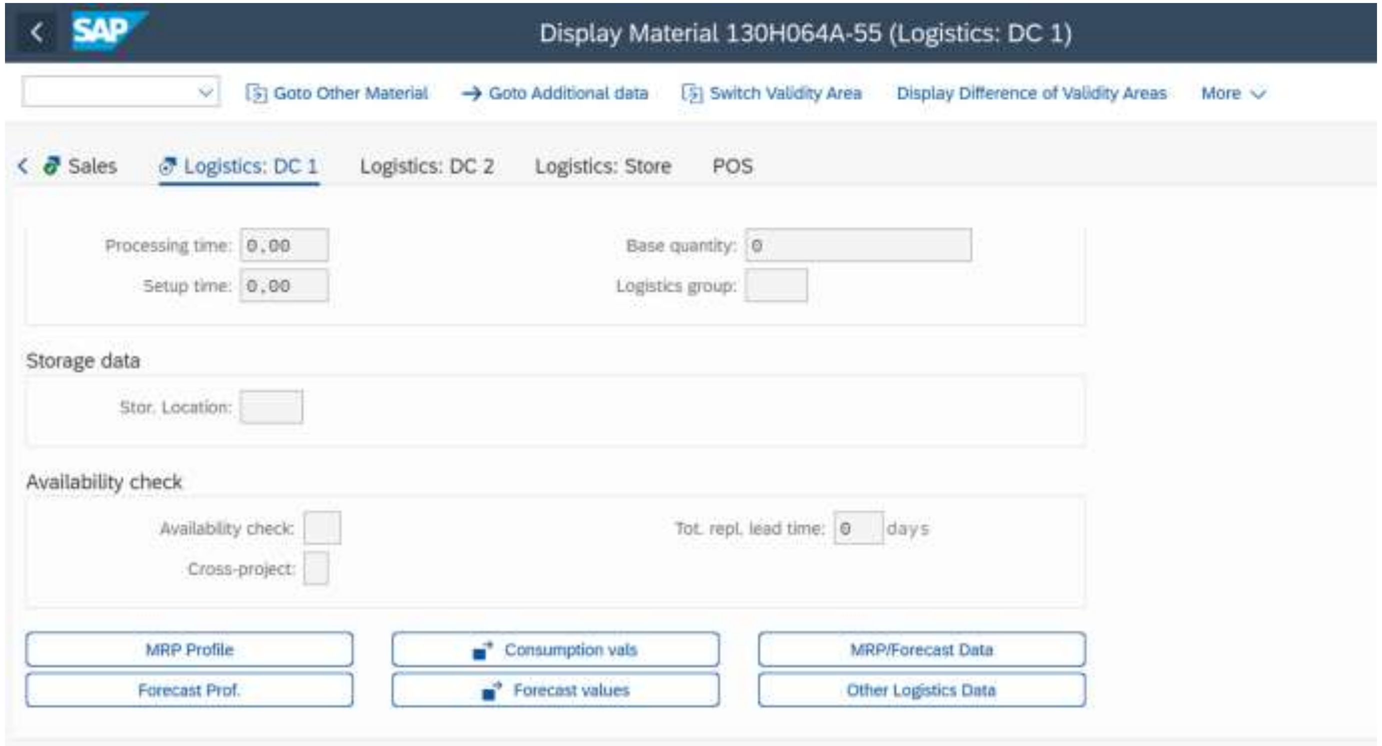
- The sales view (in the article master) will be automatically generated at the time of the listing operation
- This view will be generated with a certain number of fields and attributes being defaulted based on pre-defined business rules (e.g. Item category group). Some other fields might have to be managed manually afterwards

MATERIAL MASTER FIELDS (LOGISTICS/FINANCIAL VEWS)

Fields and attributes - Principles

LOGISTIC DC VIEW

- **The SAP Logistic DC and DC 2 Views contain information specific to a Distribution Center. It allows you to control, enter and monitor logistics data within this Distribution Center.**
- With the help of a **reference site**, it's possible to default some of the Article Master's Logistics DC data
- Examples of data entered at DC level:
  - MRP Parameters
  - Replenishment Data
  - Forecast Parameters
  - Segmentation Data
  - Lot size Data
  - Accounting Data



Management Rules

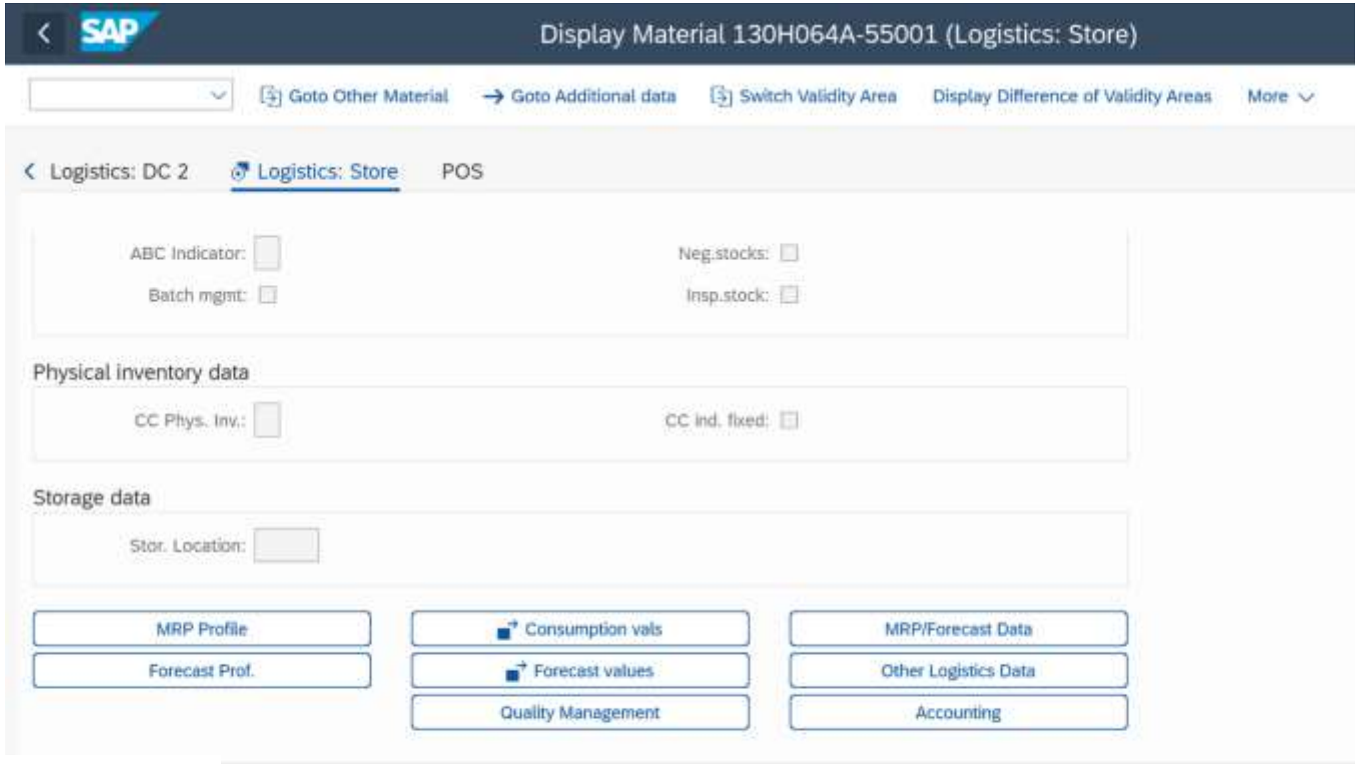
- The logistics DC and DC 2 views (in the article master) will be automatically generated at the time of the listing in the Distribution Center (local or general assortment)
- This view will be generated with a certain number of fields and attributes being defaulted based on pre-defined business rules (e.g. segmentation data). Some other fields might have to be managed manually afterwards

MATERIAL MASTER FIELDS (LOGISTICS/FINANCIAL VEWS)

Fields and attributes - Principles

LOGISTIC STORE VIEW

- **The SAP Logistic Store View contain information specific to a Store. It allows you to control, enter and monitor logistics data within this Store.**
- With the help of a **reference site**, it's possible to default some of the Article Master's Logistics Store data
- Examples of data entered at Store level:
  - MRP Parameters
  - Replenishment Data
  - Forecast Parameters
  - Consumption Values
  - Accounting Data



Management Rules

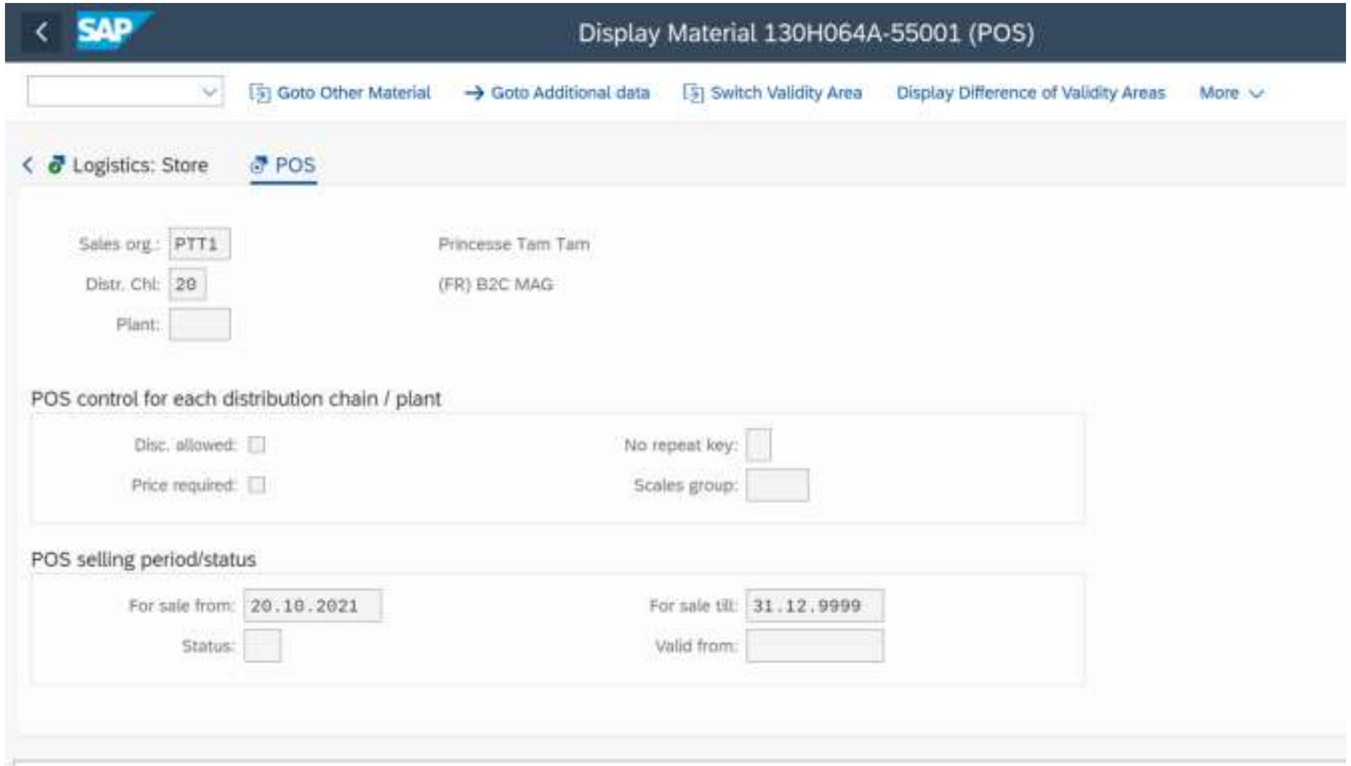
- The logistics store view (in the article master) will be automatically generated at the time of the listing in stores (general assortments)
- This view will be generated with a certain number of fields and attributes being defaulted based on pre-defined business rules (e.g. MRP type, forecast profile, …). Some other fields might have to be managed manually afterwards

MATERIAL MASTER FIELDS (LOGISTICS/FINANCIAL VEWS)

Fields and attributes - Principles

POS VIEW

- **You can define special article data required for communicating with point-of-sale (POS) systems. The data always relates to a single distribution chain for the article. You have the option of restricting validity by specifying a store.**
- Examples of data entered at POS level:
  - **Disc.allowed**: Indicates that in POS interface-inbound processing, no (cash register receipt) discount can be granted for this material.
  - **Price required**: Indicates that the price must be entered by hand at the POS system, in the case of materials that are priced according to weight, for example.
  - **Status**: Distribution-chain-specific material status
- The Point-of-Sales article view will be maintained in **lot 2**



Management Rules

- The Point-of-Sale view (in the article master) will be automatically generated at the time of the listing in stores (general assortments)
- This view will be generated with a certain number of fields and attributes being defaulted based on pre-defined business rules (e.g. MRP type, forecast profile, …). Some other fields might have to be managed manually afterwards

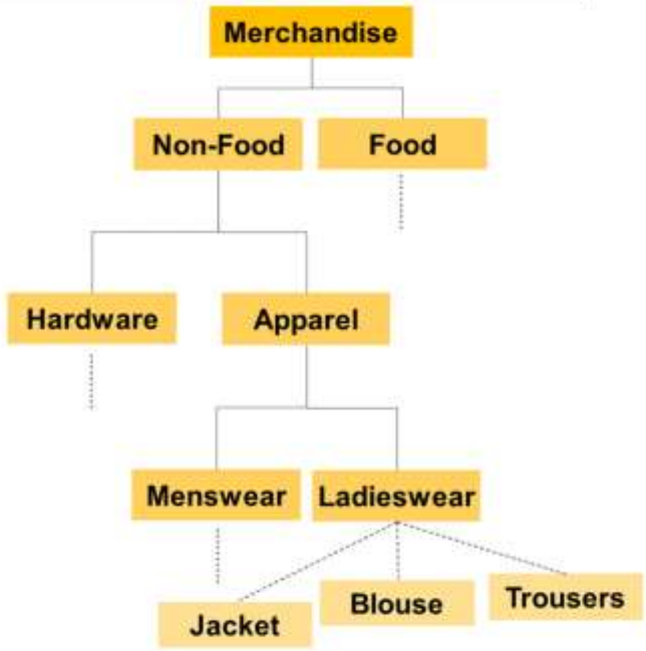
05. Material hierarchy

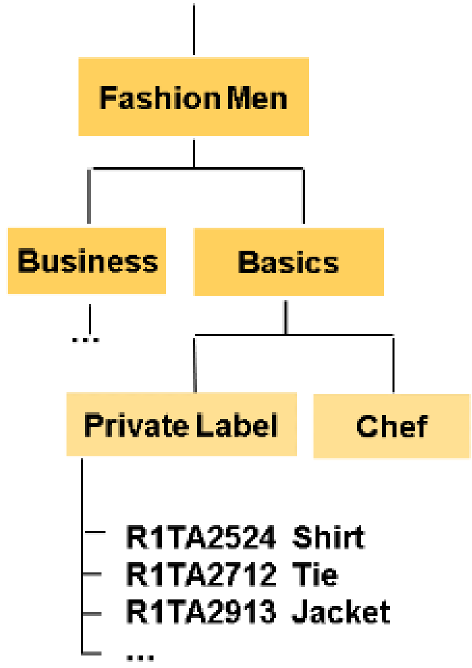
EXPLAINING HIERARCHIES

Enable a sufficient selection, reporting and maintenance

› Material Group Hierarchy

Material groups represent a thematic goods-related structure, which is portrayed by the material group hierarchy. Materials can therefore be grouped, for example, from procurement points of view according to merchandise categories and displayed as a merchandise category hierarchy.



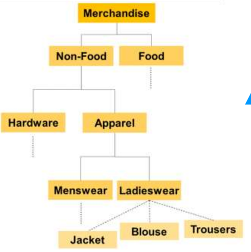


› Article Hierarchy

In the Article hierarchy, you group your materials in a consumer-oriented structure with as many hierarchies as you want. You can use this hierarchy to display very clearly how, and according to what requirements the consumer makes his purchasing decisions.

MATERIAL GROUP HIERARCHY

Helps you categorize and organize your fashion products



Structure:

- Material Group: Represents a broad category of goods, like "Dresses" or "Shoes." Each material can only belong to one "base material group."
- Merchandise Category Hierarchy: This visualizes the relationships between material groups, showing how they're nested within each other (e.g., "Dresses" under "Women's Apparel").

Benefits:

- Easier Management:
  - ✓ Groups materials for procurement based on category.
  - ✓ Reduces data to manage (e.g., pricing information).
  - ✓ Allows inheritance of characteristics (like color and size) to lower levels.
- Enhanced Control:
  - ✓ Simplifies monitoring company activities.
  - ✓ Enables value-based inventory management at group and hierarchy levels.

REMEMBER

Material groups offer a way to categorize and manage fashion products efficiently within SAP

The structure simplifies data handling and provides inheritance for product characteristics.

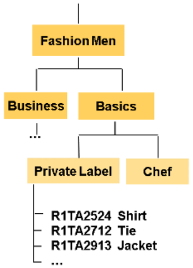
Additional Features:

- Material Group Reference Material: An existing product record used as a template for creating new materials within a group.
- Material Group Value-Only Material: A special type of material used for managing inventory value at the group or hierarchy level, not for individual products.
- Characteristic Inheritance: Characteristics can be assigned at higher levels and automatically apply to lower levels in the hierarchy.

Key Point for Fashion:

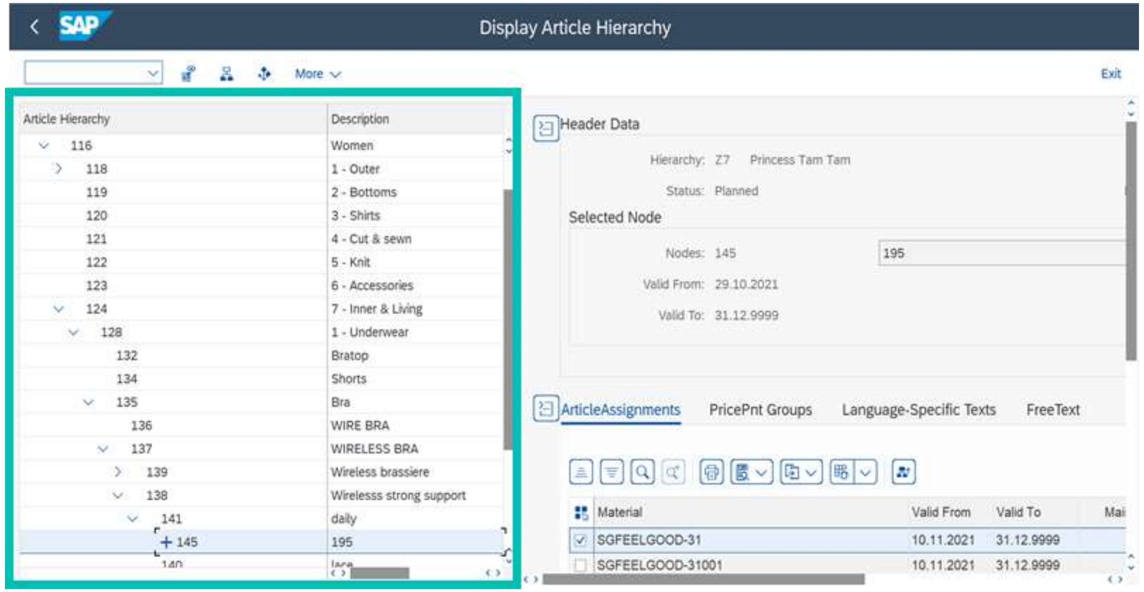
- Variant-building characteristics (color, size) should be assigned via a characteristic profile to the base material group.
- Mandatory, and unique article assignment possible

ARTICLE HIERARCHY



Optional – Group materials using a customer-oriented structure – **Think of it as a customer decision tree**

- Key Differences from Material Groups:
  - <u>Focus</u>: Material groups focus on physical attributes (e.g., dresses, shoes). Article hierarchies focus on the sales perspective (e.g., activewear, party dresses).
  - <u>Benefits</u>:
    - ✓ Improved planning, operations, and reporting based on customer preferences.
    - ✓ Ability to extract data for analysis in SAP BW (business warehouse).
- Key Features:
  - **Multiple Hierarchies**: Define one for the whole company or one per distribution chain.
  - **Activation**: Only active hierarchies can be used in operations or reporting.
  - **Time-Dependent**: You can create hierarchies that change over time (scheduled hierarchies).
  - **Multiple Material Assignments**: Articles can be assigned to several article hierarchies
  - **Flexible Structure**: You can easily reorganize categories and subcategories within the hierarchy.
  - **Material Assignment**: Assign new materials to existing hierarchies directly.
  - **Data Analysis**: Extract hierarchy data to Datawarehouse for analyzing trends and planning.
  - **Workflow Communication**: Use workflows to notify others about changes to the hierarchy.
  - **Substructure Copying**: Copy entire sections of one hierarchy to another for efficiency.



REMEMBER

Overall, Article Hierarchies provide a customer-centric way to organize your fashion products in SAP, streamlining planning, operations, and reporting.

06. Season workbench

SEASONS IN FASHION

Concept

- **Seasons are a key element in the fashion industry's product lifecycle.** Clothes are designed and produced with specific seasons in mind, reflecting the needs and preferences of consumers during that time.
  - **Seasonal Demand:** People's clothing needs change throughout the year. For example, warm woolen garments are naturally more popular in winter, while lighter, breathable fabrics are preferred in summer.
  - **Collections and Themes:** Each season typically features collections of clothing that follow a particular theme or style.
  - **Season Validity:** Seasons have a defined timeframe within the fashion year.
- Customizing is necessary to define the season types and activate the season determination within sales and purchasing documents
- The Season workbench is used to create and manage seasons. You use the workbench to not only define, change, and delete season year, season, collection, and theme, but also to maintain sales and purchasing views for seasons and assign materials to the relevant seasons.

Season Workbench

- Season definition
- Material Assignment
- Sales view
- Purchasing view
- Display options (full, tree, grid)

Season Usage

- Season types
- Multiple seasons per Material possible

Season Determination

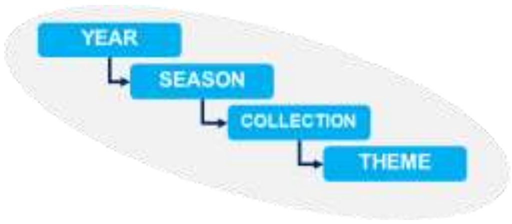
- Season in sales documents
- Season in purchase documents
- Season re-determination

MANAGING SEASONS IN FASHION

Efficiently organize your fashion products and track them based on seasonal trends.

Creating Seasons:

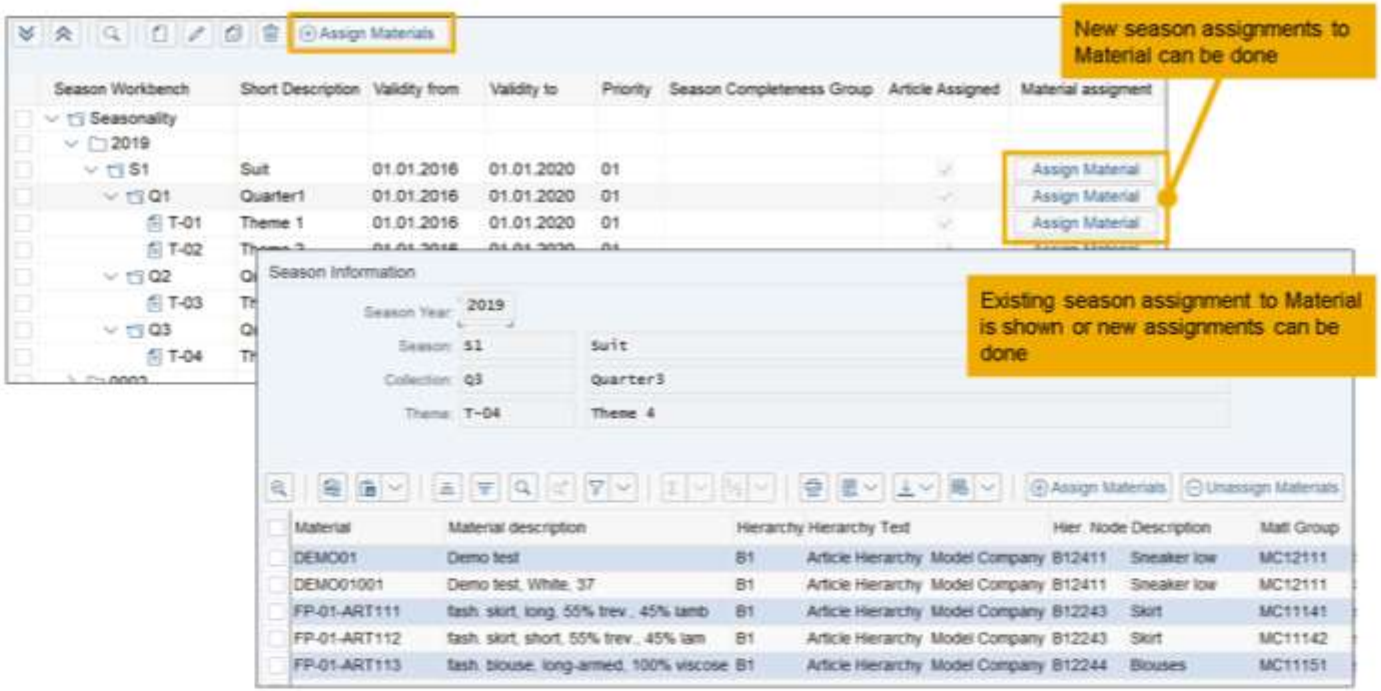
- You can create new seasons for a specific year, then assign collections and themes to them.
- There are two ways to create a season:
  - **Start Fresh:** Enter all new information for the season.
  - **Copy Existing:** Copy details from an existing season to save time.



Assigning Seasons to Materials:

- Link seasons to materials using the material number and its category.
- You can assign a material to a season at three levels:
  - **Season Year & Season (Broadest):** e.g. Spring/Summer 2025
  - **Collection:** e.g. "Beach Vibes" collection within Spring/Summer 2025
  - **Theme:** e.g. "Floral prints" theme within the "Beach Vibes" collection

Bonus: A material can belong to multiple seasons at once!



The seasons workbench can be accessed via the transaction FSH_SWB

MANAGING SEASONS IN FASHION

Purchasing & Sales View

Managing Sales & Purchasing:

- Define timeframes for:
  - **Sales:** Order, delivery, and sales windows

Sales periods can be maintained on combinations of
- Sales Organization
- Distribution Channel
- Country
- Region
- Customer Group
- Sales District
- Customer

Delivery date: Time interval where delivery from DC to customer/ store is possible

Order date: Time interval where customer can place orders (sales order creation date)

Sales date: Time interval where delivery from DC to store is allowed (default value for sale from store)

Sales View

Undo | Add new line | Delete line | Copy line | Adjust Date | Expand

SeasonYe	Seas	Collecti	The	SOrg	D	Ctr	Rg	C	Customer	DelDatFrom	Deliv. Date To	OrdDatFrom	Order Date To	Sales From	Sales Store To	P	C	Start Date ATP
2019	03	01	01							01.06.2019	30.09.2019	30.11.2018	30.09.2019	01.07.2019	31.12.2019			
2019	04	01	01							01.06.2019	30.09.2019	30.11.2018	30.09.2019	01.07.2019	31.12.2019			
2019	04	01	01							01.09.2019	31.12.2019	31.03.2019	30.11.2019	01.10.2019	28.02.2020			

  - **Purchasing:** Order and delivery windows

Purchasing periods can be maintained on combinations of
- Purchasing organization
- Purchasing group
- Vendor

Delivery date: Time interval where delivery from vendor to DC is allowed

Order data: Time interval where ordering at vendor is possible (purchase order creation date)

Purchasing View

Undo | Add new line | Delete line | Copy line | Adjust Date | Expand

SeasonYe	Seas	Collecti	The	POrg	PGr	Vendor	DelDatFrom	Deliv. Date To	OrdDatFrom	Order Date To
2018	0001						01.01.2018	31.12.2018	01.11.2017	30.06.2018

The seasons workbench can be accessed via the transaction FSH_SWB

SEASON DETERMINATION IN DOCUMENTS

Configuring automatic season determination streamlines the season management process

Key points:

- **Functionality:** You can configure automatic season determination for various documents:
  - Sales documents
  - Purchase order documents
  - Stock transport orders
- **Data Source:** The system checks purchasing and sales dates from the **season workbench**.
- **Automatic Assignment:** Based on these dates, the system can automatically assign a season to the document.

Customization Options:

- You can configure the system to display warnings, errors, or informational messages if no season is found during automatic determination.

Benefits:

- Improves data accuracy and consistency by automatically assigning seasons to documents.
- Saves time and effort by eliminating manual season selection.
- Enhances data integrity by ensuring all relevant documents are associated with the correct season.

SEASON – MASS PROCESSING

The tool for managing seasons across various documents

What is transaction FSH_SRED?

- A report specifically designed for bulk processing of seasons in various documents.

Mass Season Processing Activities:

Through FSH_SRED, you can perform two main actions on multiple documents (purchase orders, sales orders, stock transport orders):

1. **Re-determine Seasons:** This triggers a recalculation of seasons based on the latest information in the season workbench, potentially updating existing season assignments.
2. **Manually Assign Seasons:** You can manually assign a specific season to multiple documents at once.

Important Note:

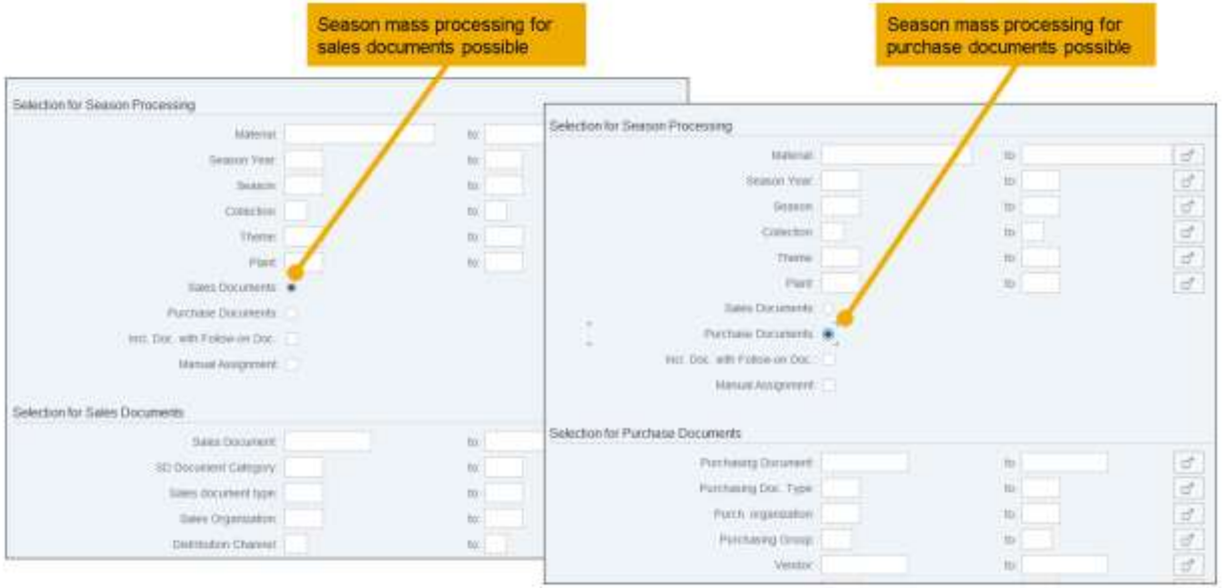
- These activities are mutually exclusive. You can only perform one action (re-determine or manually assign) at a time within the same execution of FSH_SRED.

Additional Considerations:

- FSH_SRED can be used for already created documents, regardless of their current season determination status.

Benefits:

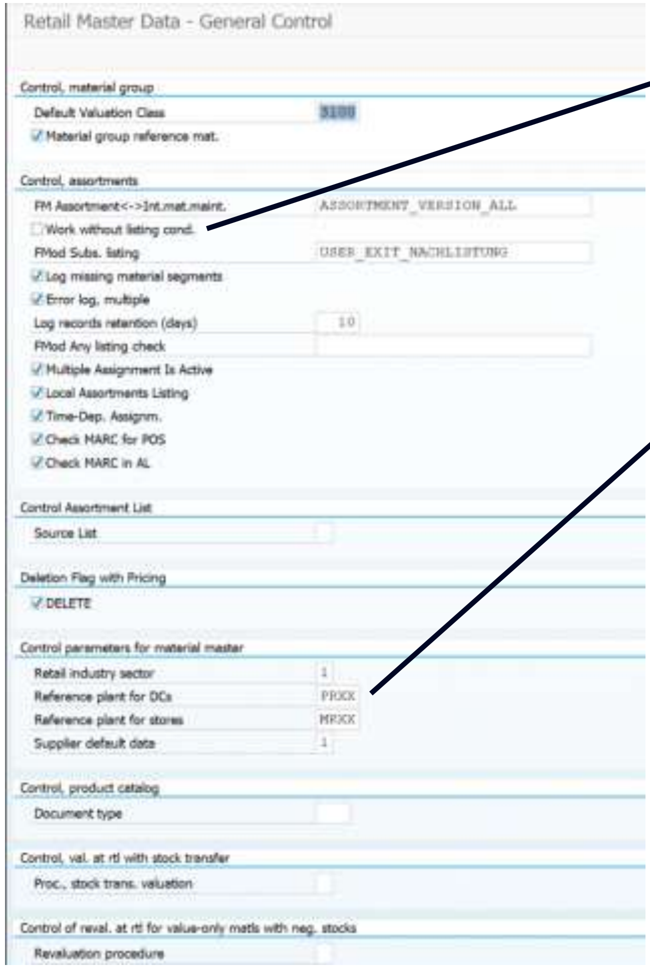
- Saves significant time and effort compared to manually changing seasons for numerous documents.
- Enhances efficiency by allowing bulk updates based on changing business needs.
- Promotes data consistency by ensuring all documents reflect the most recent season information.



07. Assortment and listing

ASSORTMENT – KEY CUSTOMIZNG SETTING

General Retail master data control is key for Retail processes



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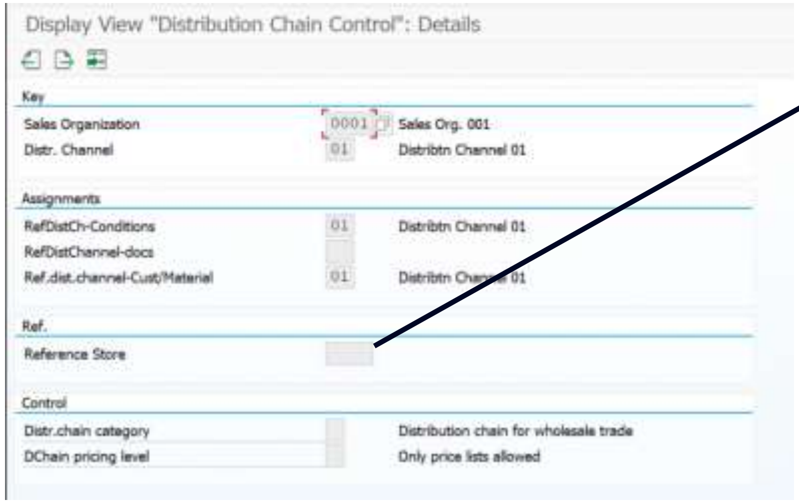
DC and POS reference site at client level



POS reference site at distribution chain level

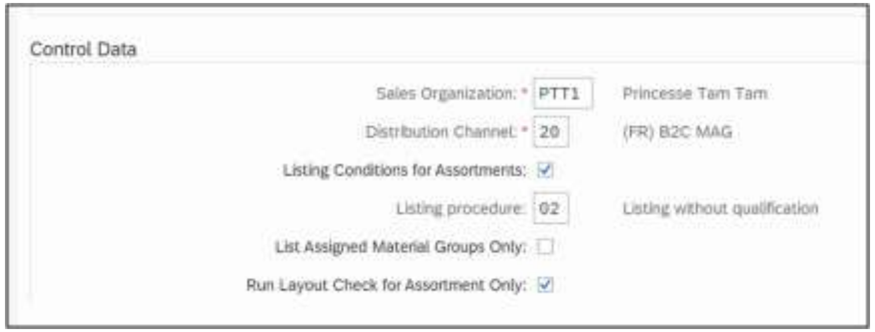
SPRO: Logistics – General > Basic Data Retail > General Control, Retail Master Data
SPRO: Logistics – General > Basic Data Retail > Distribution Chain Control

ASSORTMENT – KEY ELEMENTS

Ensures stores and distribution centers have the right materials based on demand

Key Concepts:

- **Assortment:** A collection of materials (products) designated for a particular sales channel, customer group, or validity period.
- **Listing:** The process of assigning materials to an assortment for a specific timeframe.

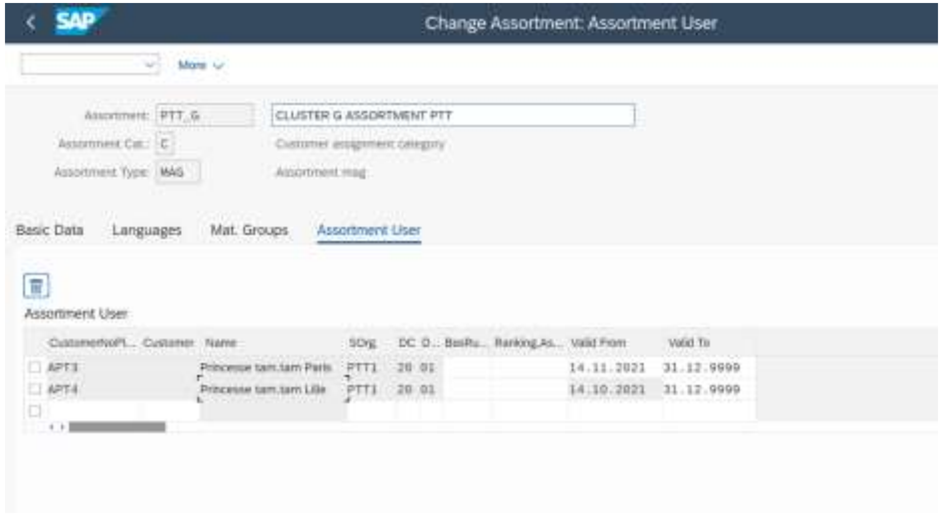


Assortment Management Tools:

- **SAP Element Assortment:** The core functionality for managing assortments.
- **Listing Function:** Assigns assortments to stores, customers, or distribution centers.
- **Assortment Assignment Tool:** Used to assign assortment users (stores/customers) to general assortments.

Objectives of Assortment Management:

- Define which materials can be purchased and sold by a plant (store or distribution center) based on validity periods.
- Manage which materials are included in customer assortments.



Assortment Management Tasks:

- Adding materials to a store's distribution center assortment.
- Specifying distribution centers for supplying stores from the warehouse.
- Defining stores authorized to sell specific materials.
- Determining materials included in customer assortments.

ASSORTMENT – TYPES

Make informed decisions about product availability, leading to optimized inventory levels, increased sales, and satisfied customers

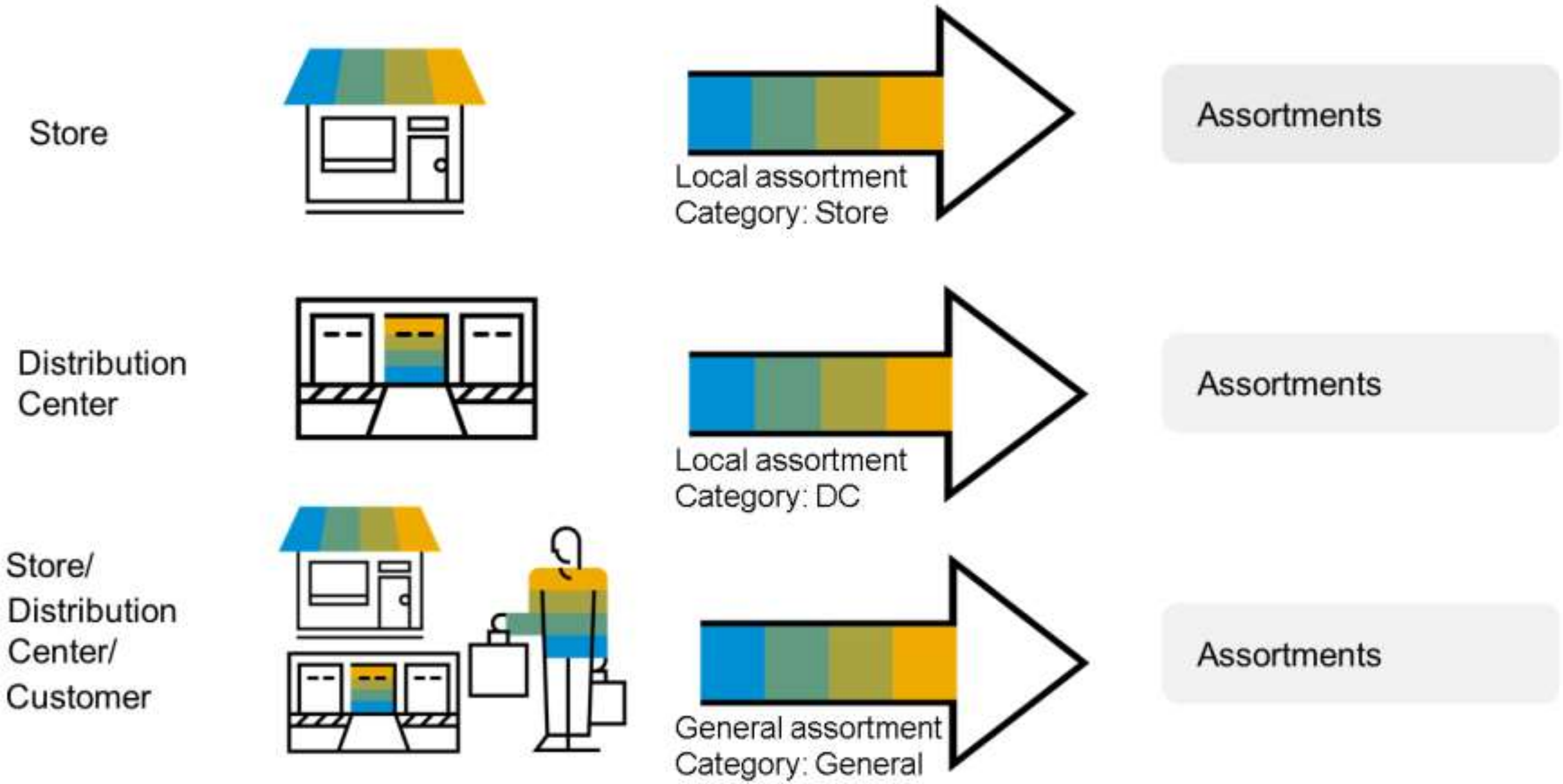
- **Types of Assortments:**

1. Local Assortments:

1. Automatically created and assigned to each plant (store or distribution center).
2. Plant-specific and cannot be assigned to another plant.
3. Type A for stores, Type B for distribution centers.

2. General Assortments:

1. Assignable to multiple customers, stores, or distribution centers (with specific customizing settings).



LISTING – KEY ELEMENTS

Ensures stores and DCs have the correct materials based on assortment assignments

Key concepts:

- Listing refers to the process of assigning materials to an assortment for a specific timeframe.
- This essentially determines which materials are available for:
  - Stores to sell.
  - Distribution centers to stock and distribute.
  - Customers to purchase (based on customer assortment).

Assortments and Listing:

- An assortment acts as a container for listed materials.
- Materials become relevant for specific users (stores, DCs, customers) only after being assigned to an assortment.

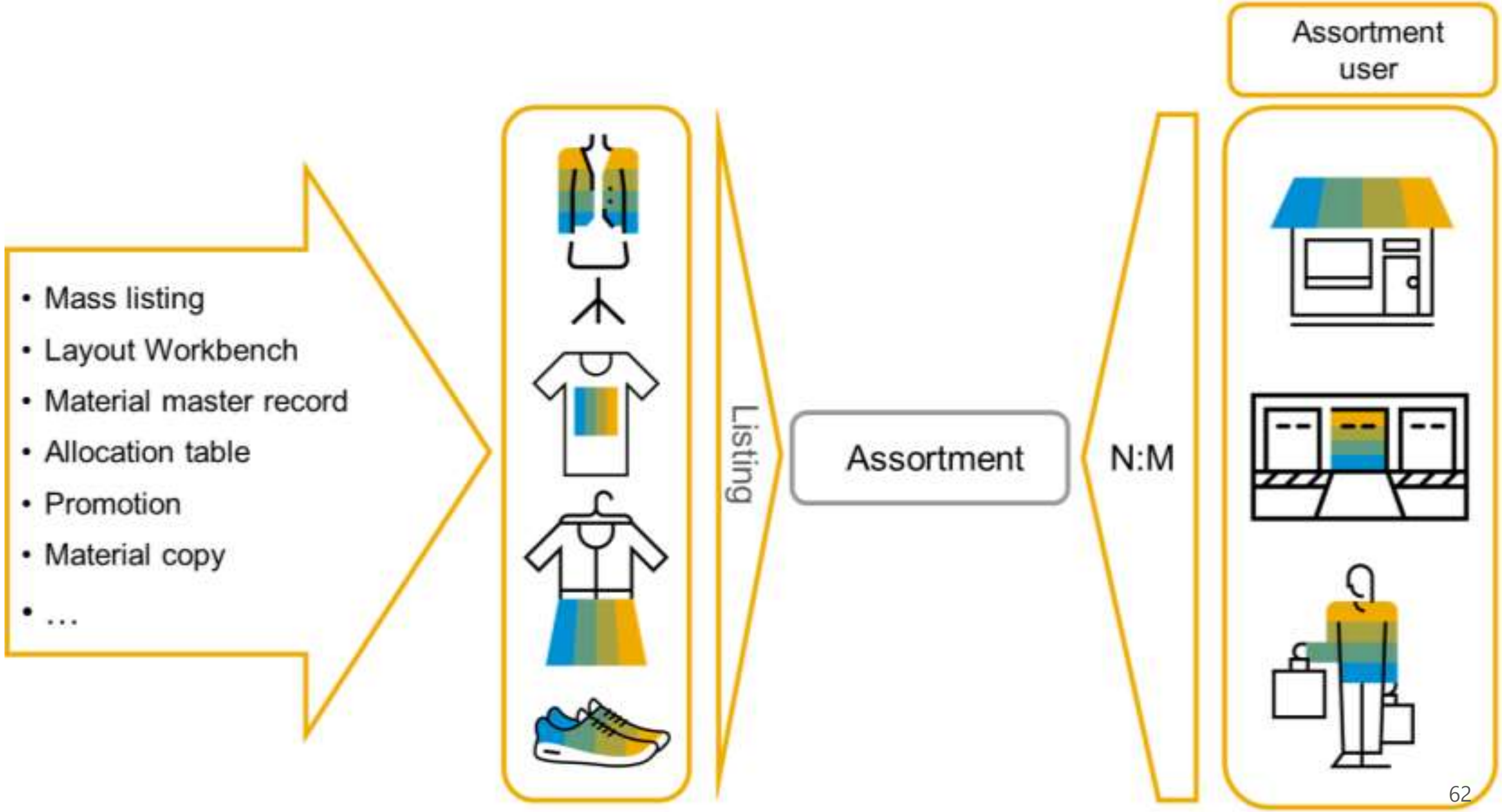
LISTING – ASSIGNMENT

Only listed materials are available for sales transactions, preventing errors

- **Listing Conditions:**
  - Assigning materials to assortments generates listing conditions.
  - These conditions serve as the foundation for various evaluations within the system.

- **Automatic Material Assignment:**
  - Materials can be automatically assigned to assortments during material or assortment maintenance.
  - Listing procedures define the rules for this automatic assignment.
  - These procedures offer flexibility in managing assortment composition.

- **Impact of Listing on Users –** The type of assortment user determines how they can utilize the listed materials:
  - Stores can sell them.
  - Distribution centers can manage stock and distribute them to stores.
  - Customers can purchase them if included in their customer assortment.



ASSORTMENT & LISTING – MODULES (1/2)

Principles

- You would generally create assortment modules to group together articles that are fairly uniform enterprise-wide or that need to be grouped together for a specific purpose (such as a promotion).

- The following are examples:
  - Core assortment of brand-name coffees ("all stores")
  - Extended version of that assortment ("only in large stores")
  - Special coffee assortment ("only in specialty stores")

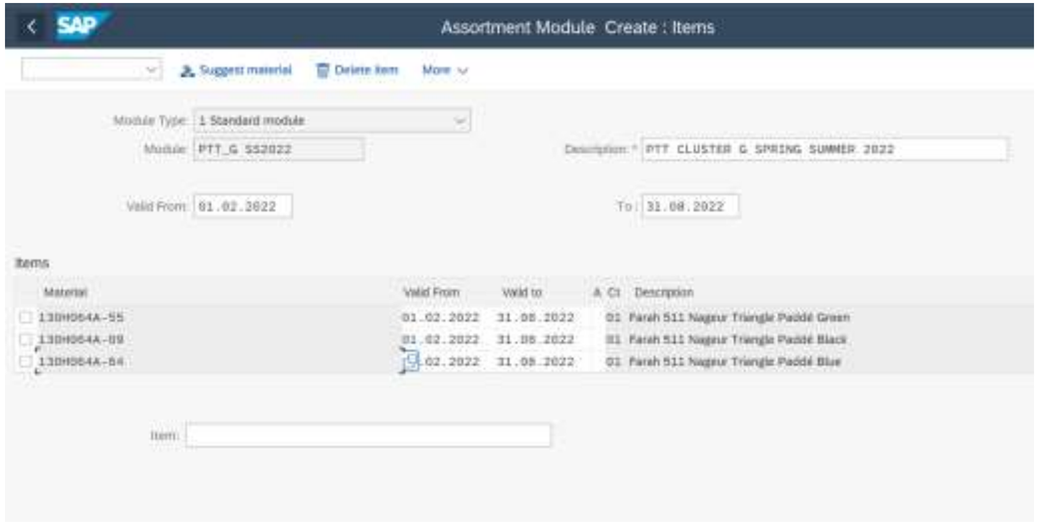
- The following assortment module types exist

Modules with automatic assignments of articles	Modules with manual assignments of articles
Profile modules are created automatically during the article maintenance for each assortment and merchandise category	**Standard modules** contain any articles from any merchandise categories. It contains the regular long-term rule assortment and is created manually
Shelf modules are generated during the maintenance of layout modules that are assigned to the assortments	**Local modules** are only valid for one site and is therefore the local assortment
Promotion modules contain the articles that are to be dealt with together in a promotion or a theme	**Exclusion modules** to exclude articles from the existing assortment for a certain period of time
	Rack jobber modules are modules for which vendors deliver and present articles in stores themselves. This is related to PRICAT and VMI processing
	Value contracts – you can also use these modules for assortment functions in Sales and Distribution in contracts processing

ASSORTMENT & LISTING – MODULES (2/2)

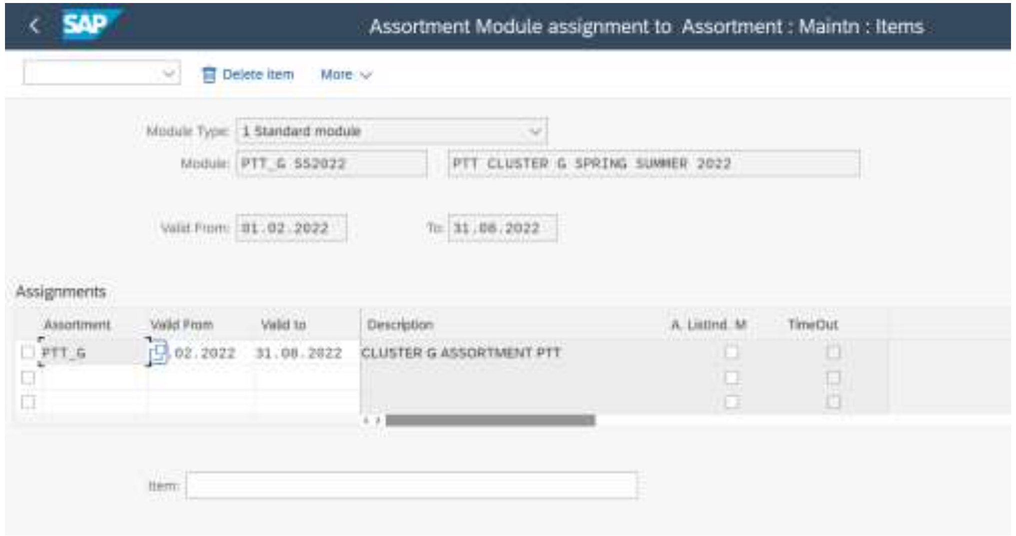
Create & assign

1 Module Creation



- 3 Steps:
  - Enter a module code and a module description
  - Enter its validity period
  - Assign articles to the modules (assignment can be performed at generic level)

2 Module assignment to Assortments



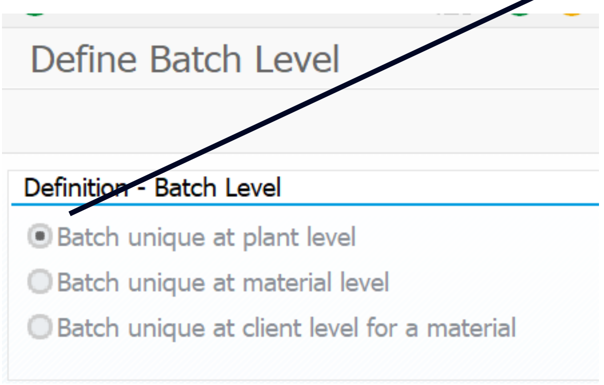
- 2 Steps:
  - Select the assortment module you created before
  - Assign assortments (i.e. store clusters) to the modules
- As a result:
  - Automated article listing creation in stores in the defined period

08. Segmentation

SEGMENTATION – KEY CUSTOMIZNG SETTING

Stock segmentation is supported by batch and managed at DC level only (not POS level)

Batch management must be setup at plant level



Default batch level is material, it must be changed prior any batch data creation

SPRO: Logistics – General > Batch Management > Specify Batch Level and Activate Status Management (transaction OMCE – Table TCUCH)

SEGMENTATION – WHY DO CUSTOMERS NEED IT?

Manage additional product differentiation beyond basic variants

The Challenge:

- In fashion retail, basic attributes like color and size (article variants) aren't always enough to differentiate products for customers.

Customer Needs:

- **Quality Levels:** Customers may want to distinguish between different quality tiers (e.g., A, B) for the same article.
- **Country of Origin:** Knowing the origin (e.g., France, China) might be important for some customers.

The Problem:

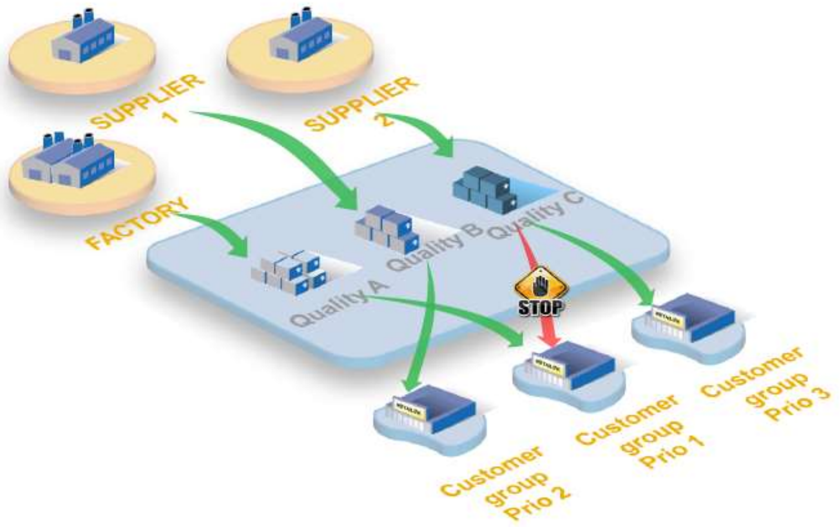
- Creating separate master data entries for each combination (color, size, quality, origin) would be cumbersome and inefficient.

Desired Solution:

- A system that allows for further distinction without creating excessive data.

Possible Solutions:

- **Characteristic Management:** Utilize characteristics within the existing master data structure to define quality levels and origin as separate attributes.
- **Classification Systems:** Implement a classification system to categorize articles based on quality or origin, without creating new master data entries.



SEGMENTATION REASONS

Segment demand or stock elements in a structured way, without creating additional material master data

- Segmentation provides a strategic approach to organizing fashion business, enabling smarter decision-making across various areas

- **What it Does:**
  - **Categorizes Demand:** Group customer needs based on specific criteria (e.g., style preference, price range).
  - **Categorizes Supply:** Organize your stock by relevant attributes (e.g., material type, season).
  - **Optimizes Matching:** Improve efficiency by matching customer demand with the most suitable stock based on your defined segmentation logic.

- **Benefits:**
  - **Reduced Data Complexity:** Avoids creating endless material data for every possible segmentation value.
  - **Enhanced Inventory Management:** Categorized stock allows for better organization and planning.
  - **Targeted Marketing:** Segment customer data to personalize marketing efforts and promotions.
  - **Improved Logistics:** Optimized matching between demand and supply streamlines logistics processes

SEGMENTATION – ELEMENTS

Terminology & structuration

- Technically there is no difference between physical and logical reasons for segmentation.

- Several segmentation characteristics can be combined into a segmentation structure.

- **Segmentation Characteristics**

Defines segments to be used, i.e. quality, channel, country of origin, etc.…Specifies possible values for each segment.

- **Segmentation Structure**

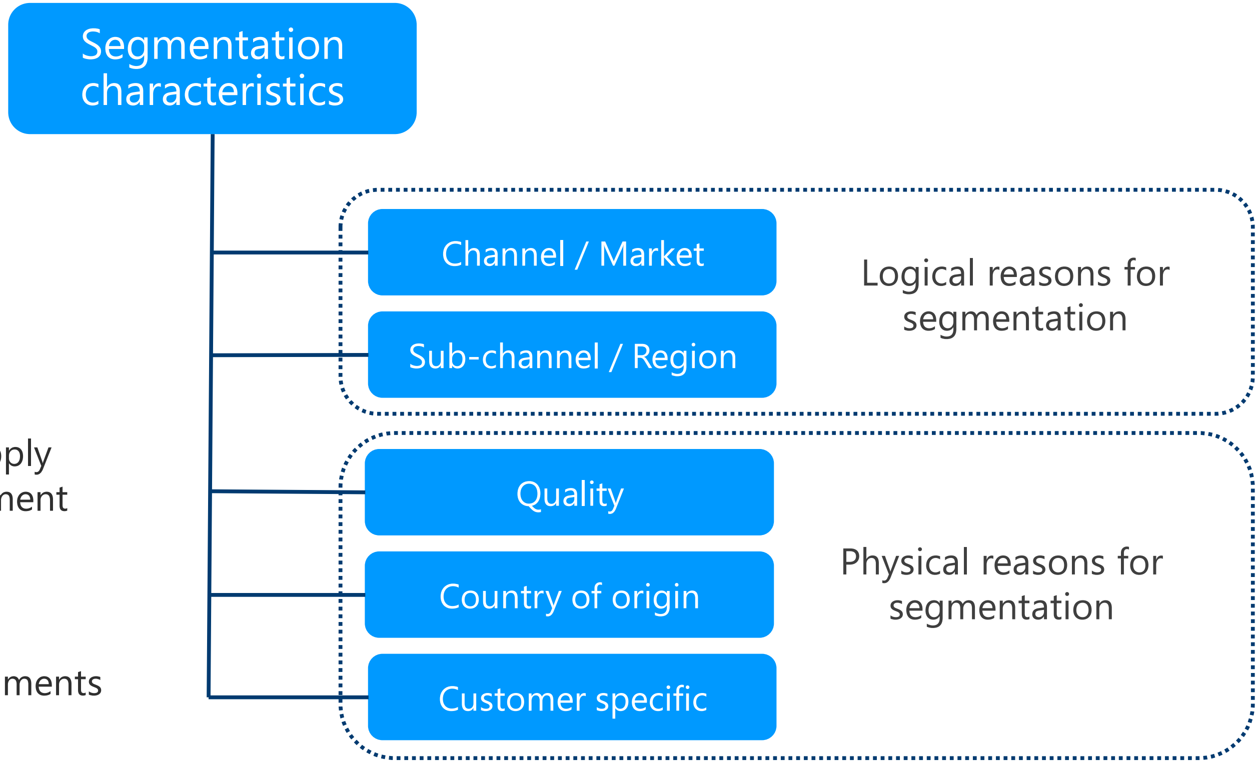
One or more segmentation characteristics combined.

- **Segmentation Strategy**

Define how segments are handled in different situations, e.g., MRP supply proposal, Arun handling of sales orders, planned independent requirement consumption.

- **Segmentation Scope**

Defines relevancy of segmentation for both requirement and stock segments or requirement only.



SEGMENTATION EXAMPLES

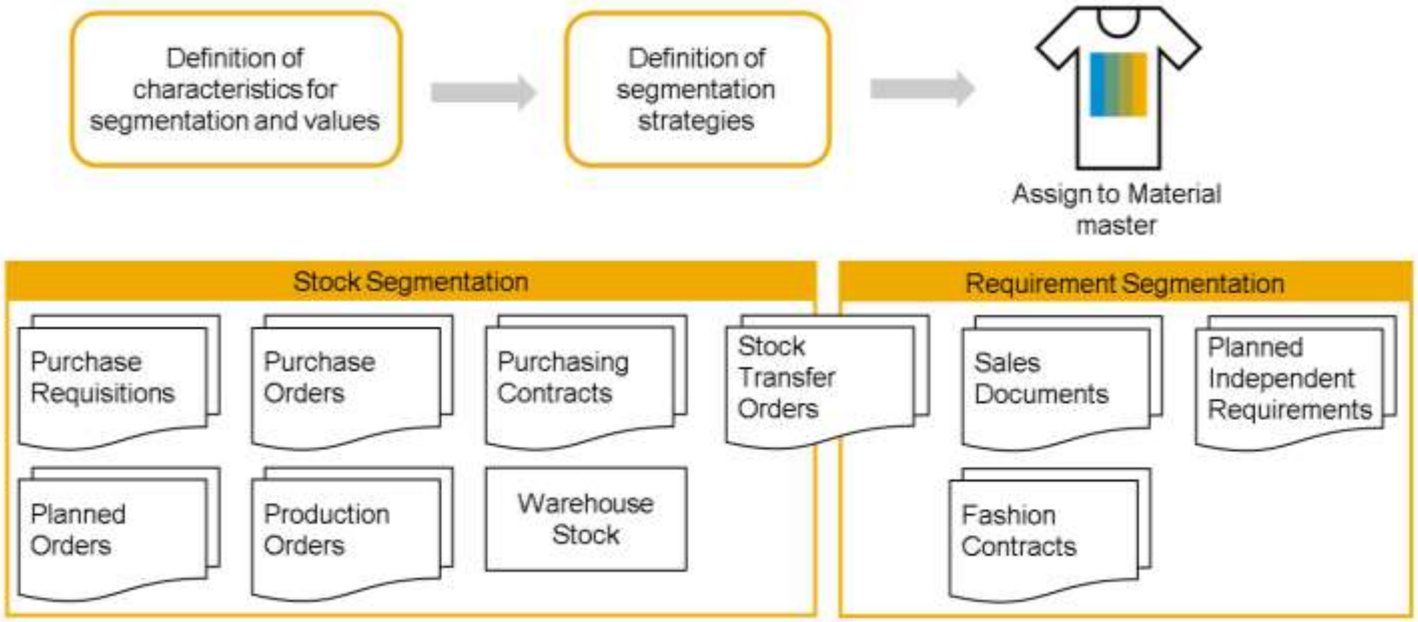
Acts as a data thread that connects various logistics activities, ensuring information consistency for efficient stock management

Key Points:

- **Widespread Impact:** Segmentation typically affects all stages of the logistics processes.
- **Data Flow:** Segmentation information (like requirement and stock segments) is carried through relevant documents depending on the process (supply or demand) and its stage.

Segmentation and Stock Transfers:

- **Segmented to Segmented Locations:** Stock transfer orders (STO) can carry both requirement and stock segment information. This ensures consistent segmentation practices throughout the supply chain.
- **Segmented to Non-Segmented Locations:** When transferring stock from a segmented location to a non-segmented one, the STO can only carry the requirement segment information. This is because the receiving location might not use segmentation or have different segmentation structures.



SEGMENTATION STRATEGY

A well-defined segmentation strategy acts as the invisible conductor, orchestrating the flow of information and materials

Key Function:

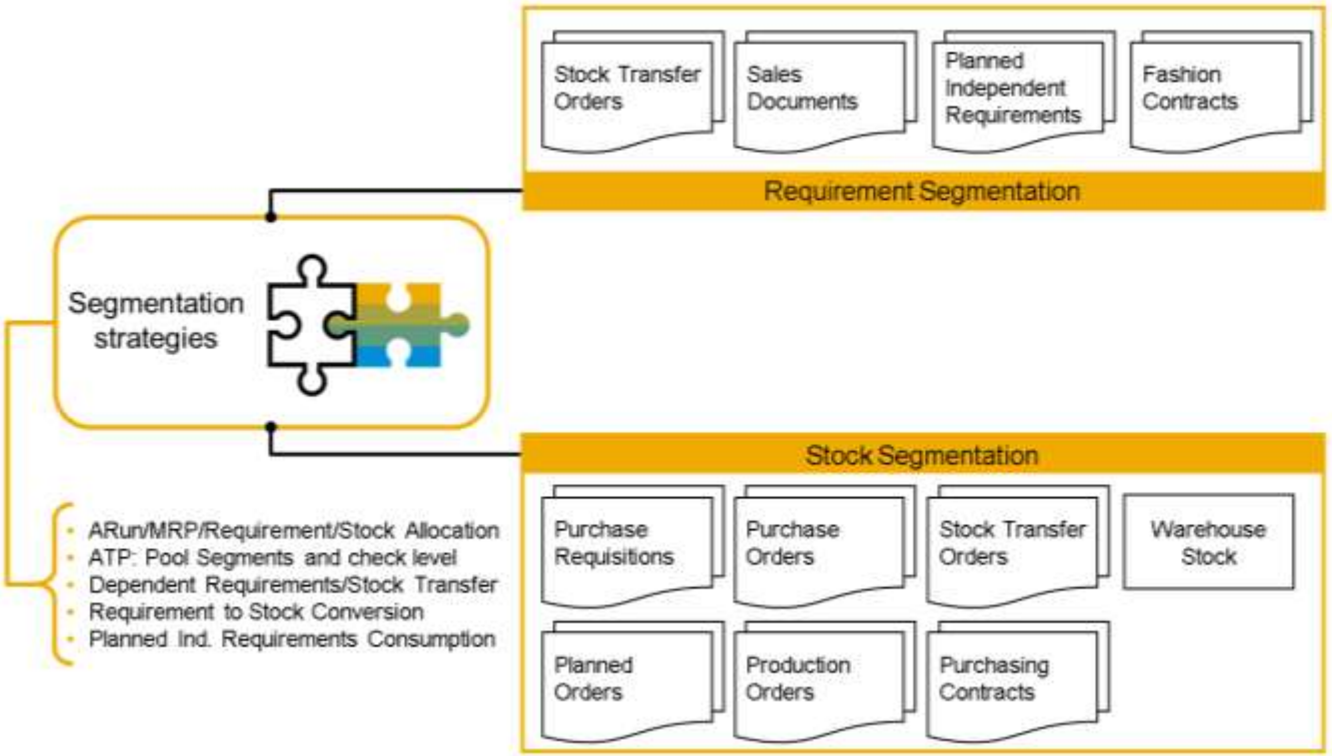
- A segmentation strategy defines how different stock segments (based on quality, origin, etc.) can fulfill customer requirements categorized by their own segments.

Matching Mechanisms:

- **ARun/MRP/Requirement/Stock Allocation:** These processes rely on the segmentation strategy to determine how to allocate specific stock segments to fulfill particular requirement segments.
- **ATP (Available-to-Promise):** ATP checks stock availability while considering the segmentation strategy. It can include optional pooling logic to combine different stock segments if they can all satisfy a requirement.

Additional Considerations:

- **Dependent Requirements/Stock Transfer:** Segmentation plays a role in managing stock transfers between facilities, ensuring the transferred stock aligns with the receiving location's requirements.
- **Requirement to Stock Conversion:** The strategy dictates which stock segments MRP generates to fulfill requirements.
- **PIR Consumption:** When planned independent requirements (PIRs) are used, the strategy defines how their segments are consumed by actual demand segments from sales orders etc.



SEGMENTATION STRUCTURE CREATION

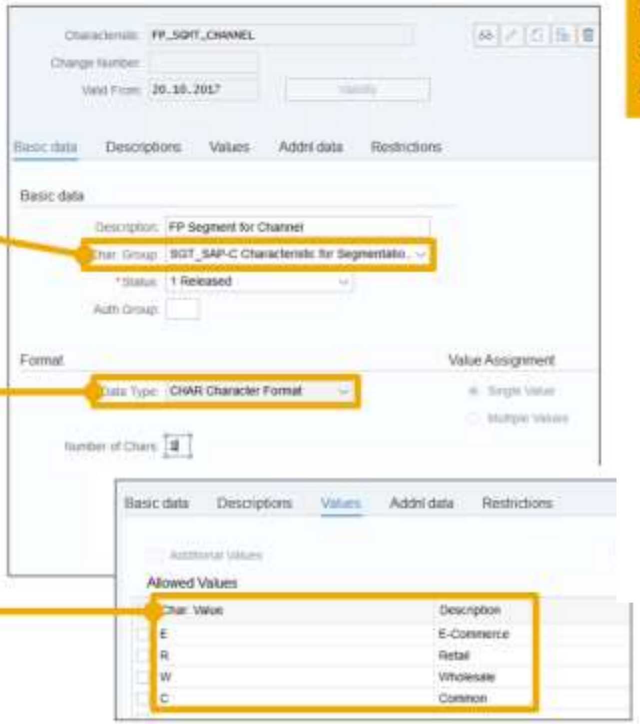
All centralized within transaction CT04

- Segmentation characteristics are defined in transaction CT04

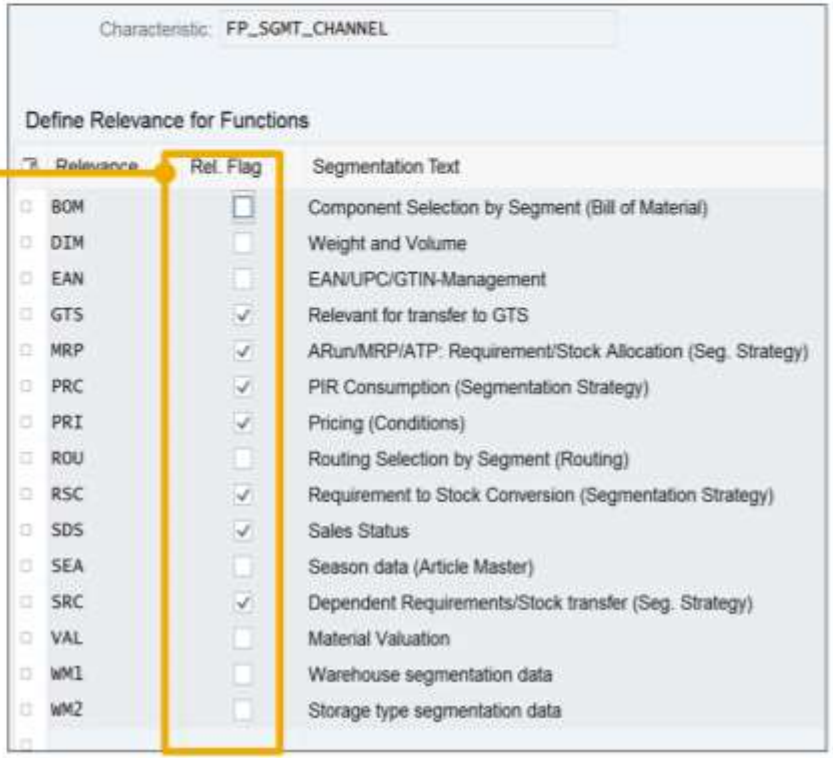
The characteristic must be assigned to characteristic group:
SGT_SAP-C Segmentation Characteristic

Only characteristic with data type **CHAR** are supported

Characteristic values are defined together with descriptions



Relevance for various applications can be defined for segmentation characteristics



- Relevance are defined under additional data in transaction CT04.

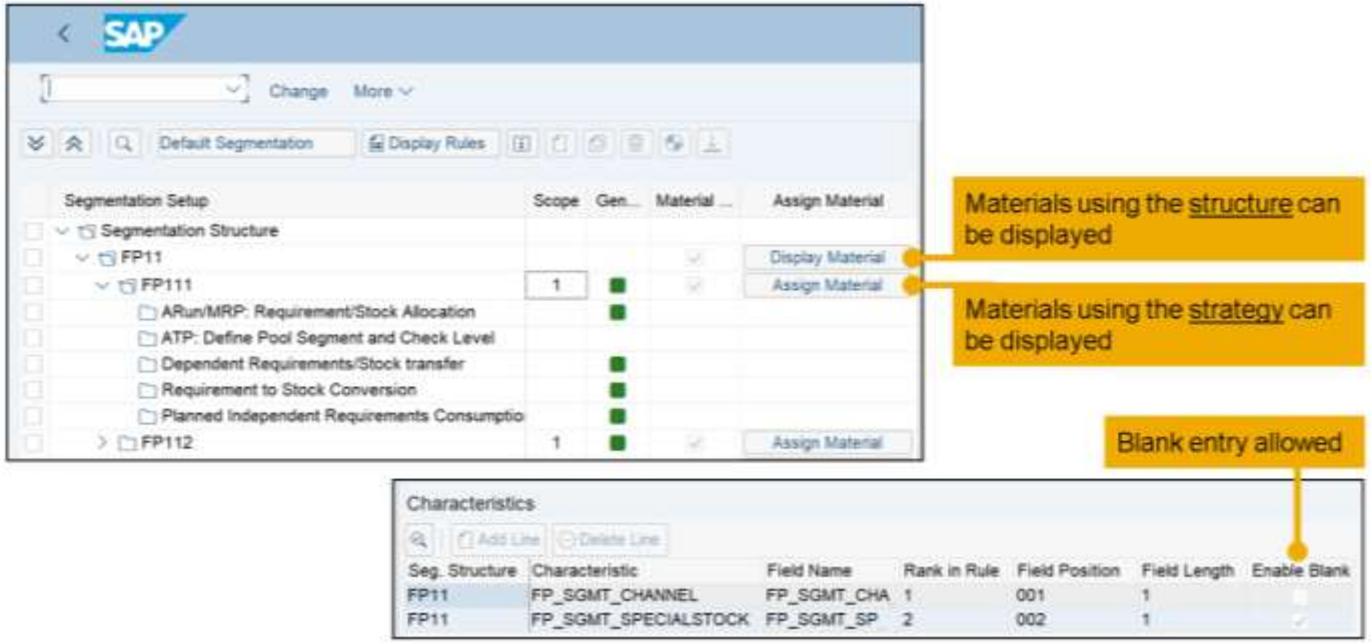
- Flagging allows additional master data maintenance or enables additional functionality

SEGMENTATION SET UP

Comprehensive approach to defining and managing segmentation structures, catering to both data accuracy and user convenience

Key Points:

- **Relevant transaction: SGT_SETUP - Segmentation Setup.**
- **Segmentation Structure:** You define a structure with a name to categorize your products or customers based on specific characteristics.
- **Adding Characteristics:** Within the structure, you can add relevant characteristics (e.g., quality level, origin) in a defined sequence to create a hierarchical classification system.
- **Mandatory Segmentation:** When segmentation is active, the system requires a valid segment value for the corresponding field in various documents like sales orders.



Enabling Blank Entries:

- The "Enable Blank" option allows you to permit blank entries during document creation, even though segmentation is active.
- In the example, "blank" for the special stock segment actually represents "normal stock" as defined in the structure test. This allows users to leave the field empty while still adhering to the overall segmentation logic.

Benefits of Enabling Blank Entries:

- Provides flexibility during data entry, especially for scenarios where segmentation might not always be immediately applicable.
- Reduces potential errors by allowing users to leave the field blank instead of forcing an irrelevant segment selection.

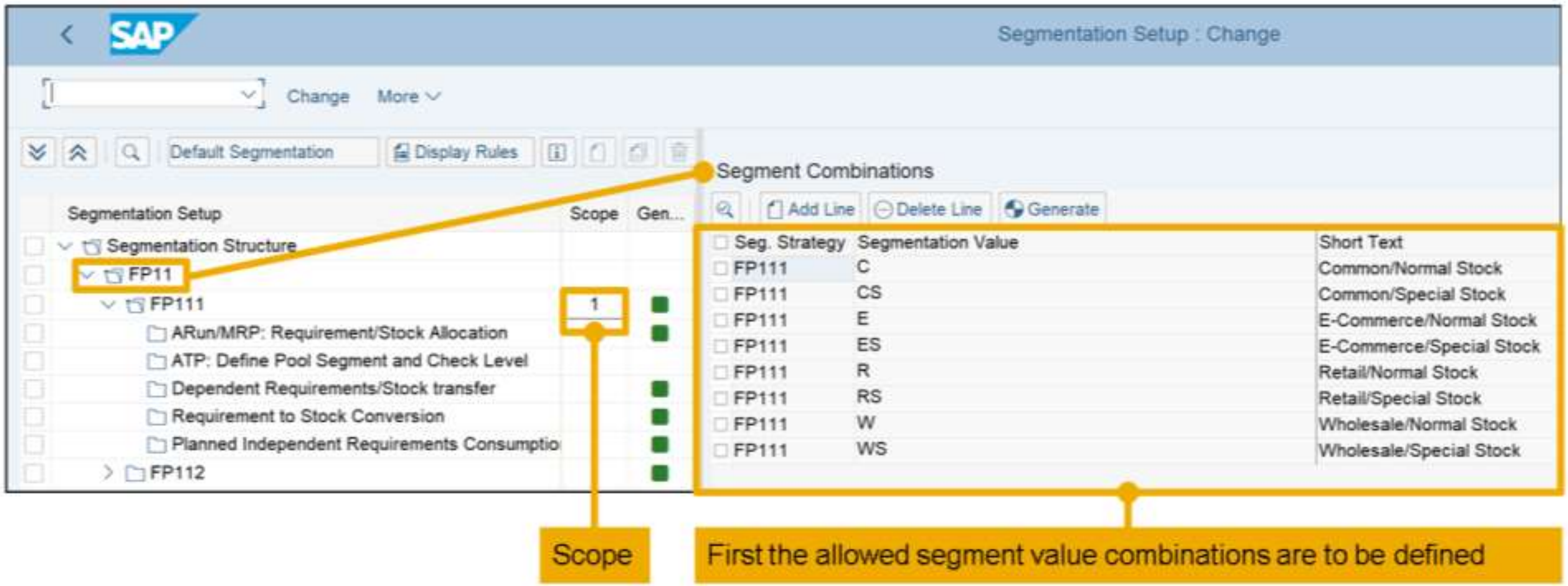
Important Consideration:

- Overuse of blank entries can decrease the effectiveness of segmentation in managing your inventory and customer data. It's crucial to find the right balance between flexibility and maintaining data integrity.

SEGMENTATION STRATEGIES – SCOPE & VALUE COMBINATION (1/2)

Segmentation strategy scope allows to tailor MRP processes to optimize inventory management and fulfillment

- A segmentation strategy can have different scopes depending on how it interacts with MRP:
  - **Scope 1:** (Requirements & Stock Segments)
    - Both requirement segments and stock segments are maintained and considered during MRP.
    - MRP uses the strategy to determine which stock segments can fulfill specific requirement segments.
    - This offers the most granular control over stock allocation based on segmentation.
  - **Scope 2:** (Requirements Segments Only)
    - Only requirement segments are maintained, and stock segments are not used in MRP.
    - MRP identifies the segment of the requirements (e.g., source channel) but assumes all requirements can be fulfilled by common stock.
    - Procurement would then be triggered for this common stock.



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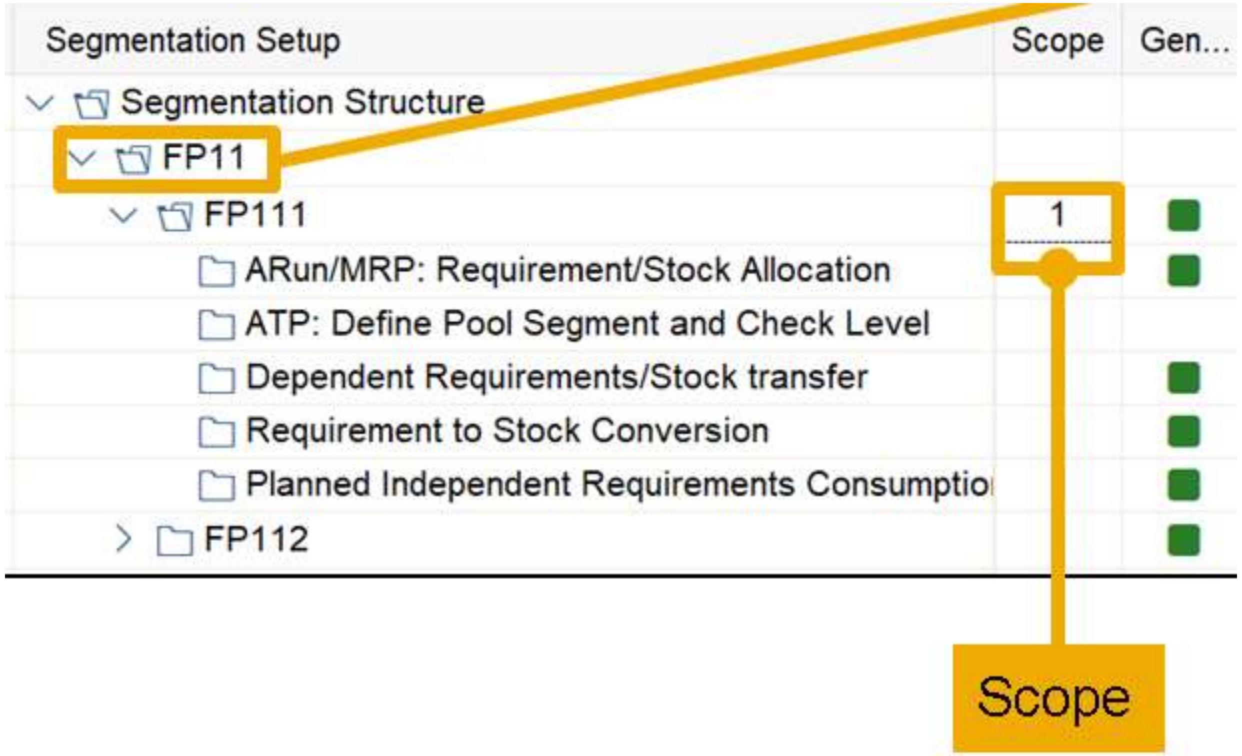
SEGMENTATION STRATEGIES – SCOPE & VALUE COMBINATION (2/2)

Choosing the right scope

The appropriate scope depends on specific needs:

- **Scope 1:** Ideal for scenarios where precise allocation based on both requirement and stock segments is crucial (e.g., differentiating quality levels).
- **Scope 2:** Suitable for situations where segmentation is primarily used for demand categorization (e.g., tracking sales channel) and a single stock type is sufficient.

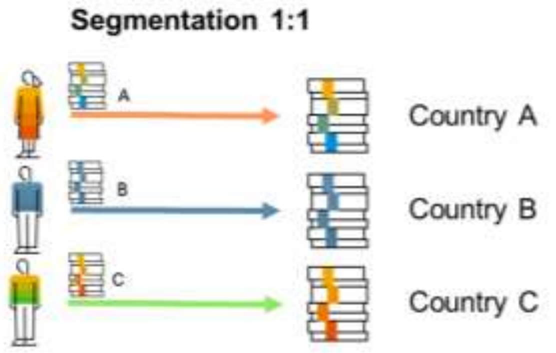


Benefits:

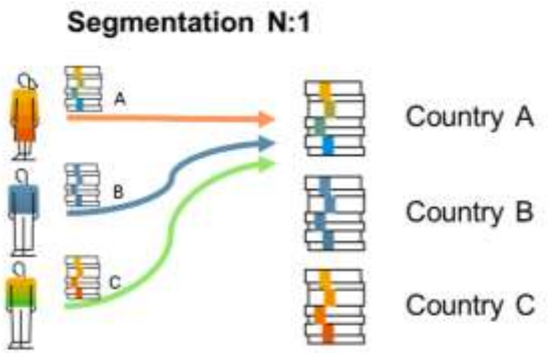
- **Scope 1:** Provides the highest level of control over stock allocation based on segmentation.
- **Scope 2:** Simplifies the segmentation process by focusing on requirement categorization.

SEGMENTATION STRATEGIES – SUPPORTED USE CASES

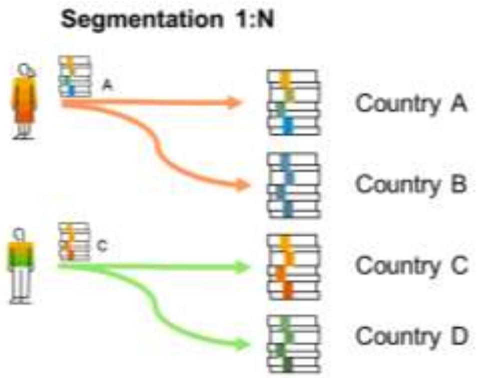
Supported use cases to map DEMAND : SUPPLY



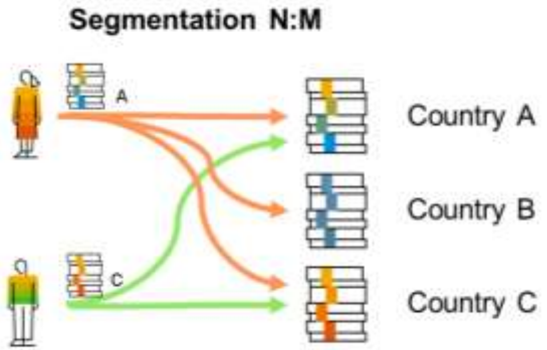
- A particular requirement segment can be mapped to a particular stock segment.
- The particular stock segment is mapped to a particular requirement segment.



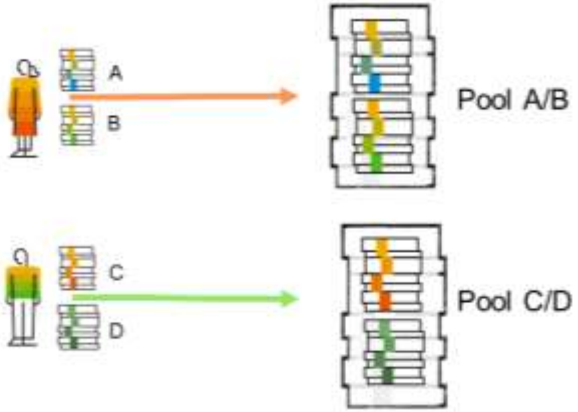
- Any requirement segment can be mapped to a particular stock segment.
- The particular stock segment is mapped to a certain set of requirement segments.



- A particular requirement segment can be mapped to a certain set of stock segments.
- The particular stock segment is mapped to a particular requirement segment.



- Any requirement segment can be mapped to a certain set of stock segments.
- A certain set of stock segments is mapped to a any requirement segment



- The Pool segment specifies an individual or a combination of valid requirement segments or stock segments.
- All requirement segments from a pool are mapped to all stock segments (n:n).

SEGMENTATION STRATEGIES – CREATION

Available activities to create segmentation strategies

For a structure, various strategies can be created

- FP111
  - ARun/MRP: Requirement/Stock Allocation
  - ATP: Define Pool Segment and Check Level
  - Dependent Requirements/Stock transfer
  - Requirement to Stock Conversion
  - Planned Independent Requirements Consumption
- FP112
  - ARun/MRP: Requirement/Stock Allocation
  - ATP: Define Pool Segment and Check Level
  - Dependent Requirements/Stock transfer
  - Requirement to Stock Conversion
  - Planned Independent Requirements Consumption

	Description	Possible mapping
ARun/MRP: Requirement/Stock Allocation	Specify how the requirement segments use the stock segments during the material requirements planning run and ARun	1:1 N:1 N:M
ATP: Define Pool Segment and Check Level	Define stock segments that can be used as pools to confirm requirements against	1:1 Pools
Dependent Requirements/Stock transfer	Define the assignment of stock segments to requirements segments between two sites (plants). The assignment in this table is used when a dependent requirement is generated	1:1 N:1
Requirement to Stock Conversion	Define the stock segment to be proposed for a specific requirement when the system creates new proposals	1:1 N:1
Planned Independent Requirements Consumption	Define the requirements segments of the PIRs and the requirements segments of customer requirements that consumes the requirement segments of the PIRs	1:1 N:1

SEGMENTATION – DEFAULT VALUES IN DOCUMENTS (1/2)

Segmentation defaults can enhance efficiency and accuracy

Key Points:

- **Transaction:** SGT_DEFAULT is used to configure segmentation settings.
- **Defaulting:** You can define a default value for a specific segment based on a field in a relevant table.

Applicable Transactions:

This functionality can be used to set segment defaults for various transactions in your fashion business, including:

- Sales Order
- Purchase Order (Stock & Requirement Segment)
- Purchase Requisition (Stock & Requirement Segment)
- Planned Order
- Production Order
- Safety Stock
- Outline Agreement
- Planned Independent Requirements

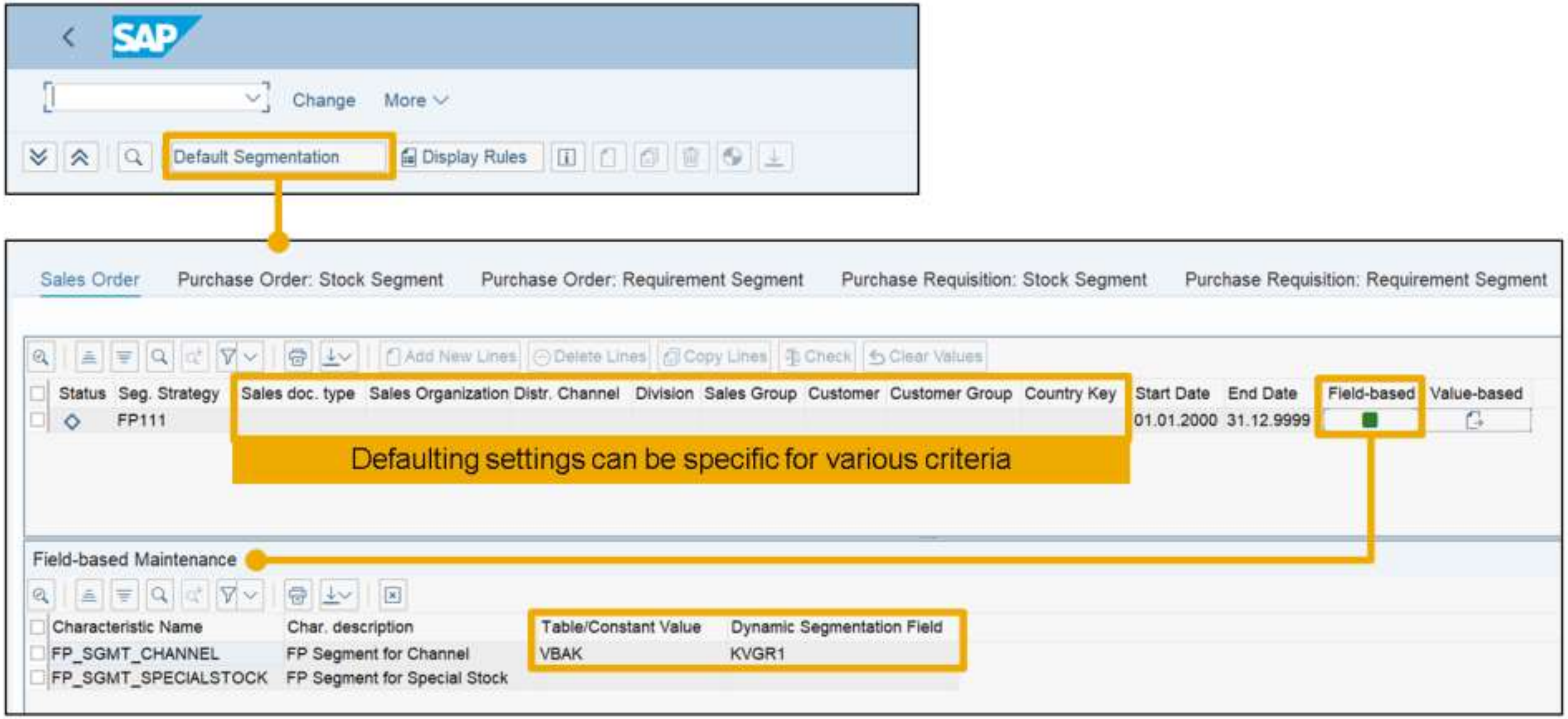
Benefits:

- Streamlines data entry by automatically populating segment values based on existing data.
- Improves data consistency by ensuring default values align with other information in the transaction.
- Saves time for users by reducing manual entry of segment information.

SEGMENTATION – DEFAULT VALUES IN DOCUMENTS (2/2)

Concrete example

- The system checks field KVGR1 (sales channel) from table VBAK (sales order header) during sales order creation. If a value exists, it's used as the default value for the "channel" segment.

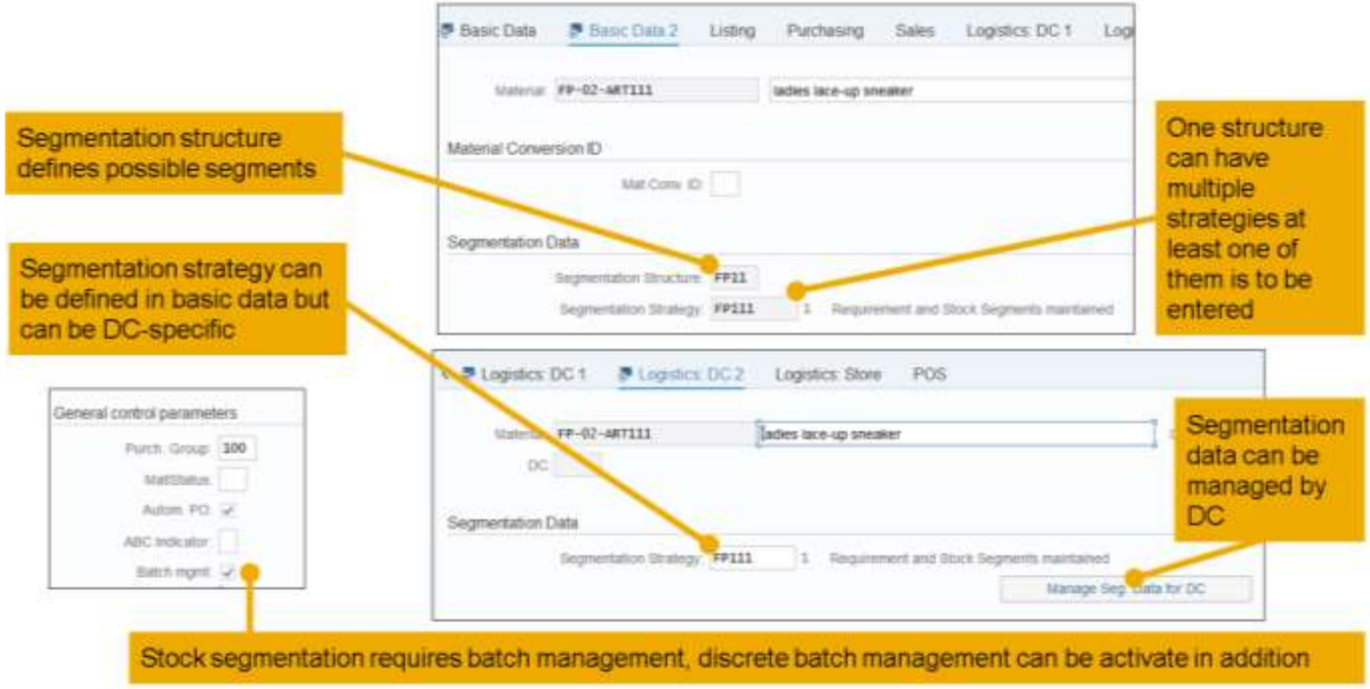


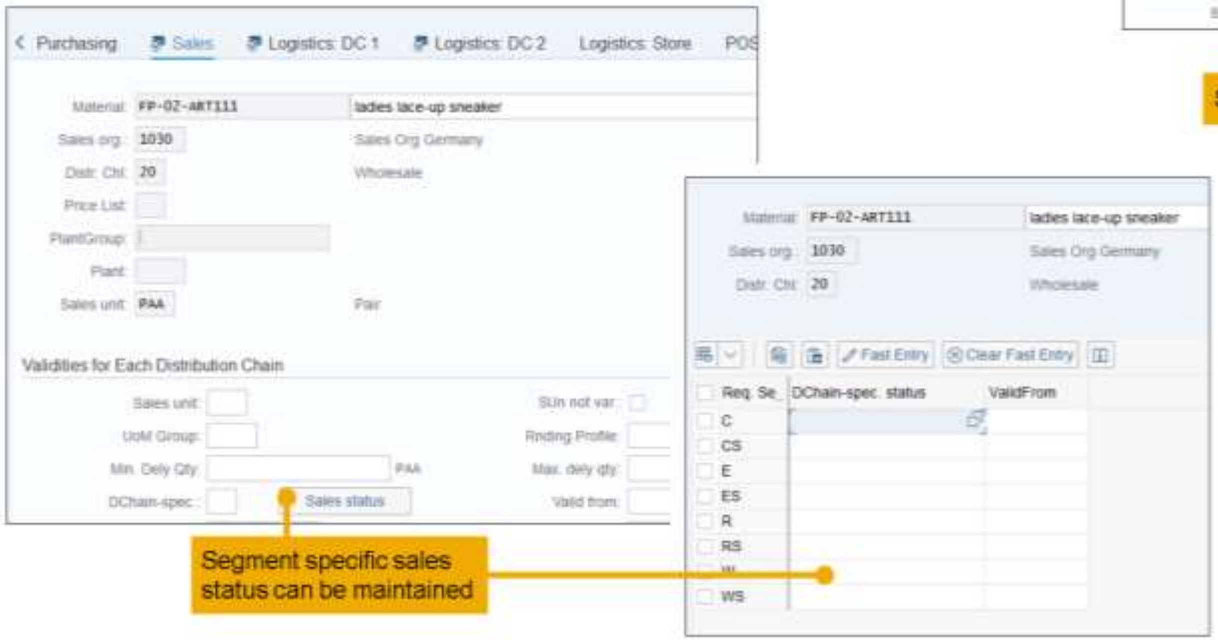
MATERIAL MASTER SEGMENTATION

Organize and manage materials segmentation assignment

Key Points:

- **Assignment Location:** Segmentation structures are assigned to materials in the material master views "Basic Data 2" (MM41) and "Logistics DC 2" (MM42).
- **Immutability:** Once assigned and the material is in use, segmentation structures cannot be changed (ensuring data consistency).





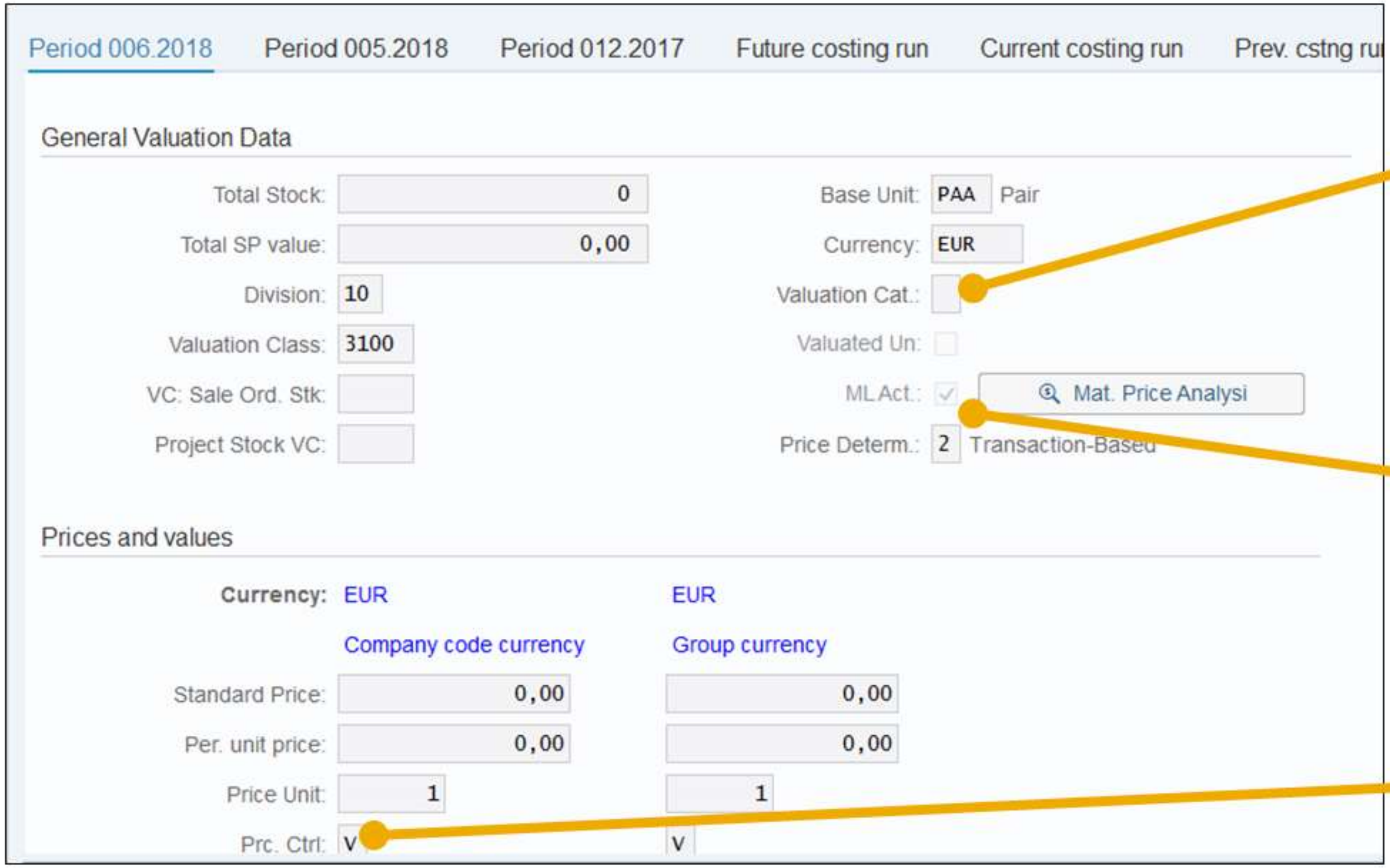
Benefits of Segmentation:

- **Granular Material Data Management:** By defining segment characteristics relevant to specific business areas (like Sales), you can maintain additional material master data based on segmentation values.
- **Example: Sales Status by Segments:** The example illustrates how the sales status can be maintained not just for a material/variant, but also for specific combinations of segmentation values.

MATERIAL MASTER SEGMENTATION – VALUATION

Material Ledger and split valuation work together to provide a comprehensive costing and valuation framework

- Accurate costing
- Enhanced control
- Improved decision making



Split Valuation – Individually value various stocks of a particular material within a valuation area.

- A material subject to split valuation is managed as multiple partial stocks, each valued separately.
- All valuation-relevant transactions (goods receipt, issue, invoice receipt, physical inventory) are executed at the partial stock level.
- Specifying the impacted partial stock during transactions ensures only that stock is affected by value changes.
- Total stock reflects the sum of stock values and quantities from all partial stocks.

Material Ledger (ML) – Calculates actual material costs and allows for parallel valuations in various currencies.

Key Functionalities:

- Calculates actual cost for materials, semi-finished, and finished goods.
- Enables costing based on multiple valuations (legal, group, profit center).

Data Significance:

- ML data forms the foundation of actual costing.
- Manages valuation prices in multiple currencies and valuations.
- Supplements the material master record.
- Applicable to materials in sales order and project stock.

Price control "V", moving price is to be used

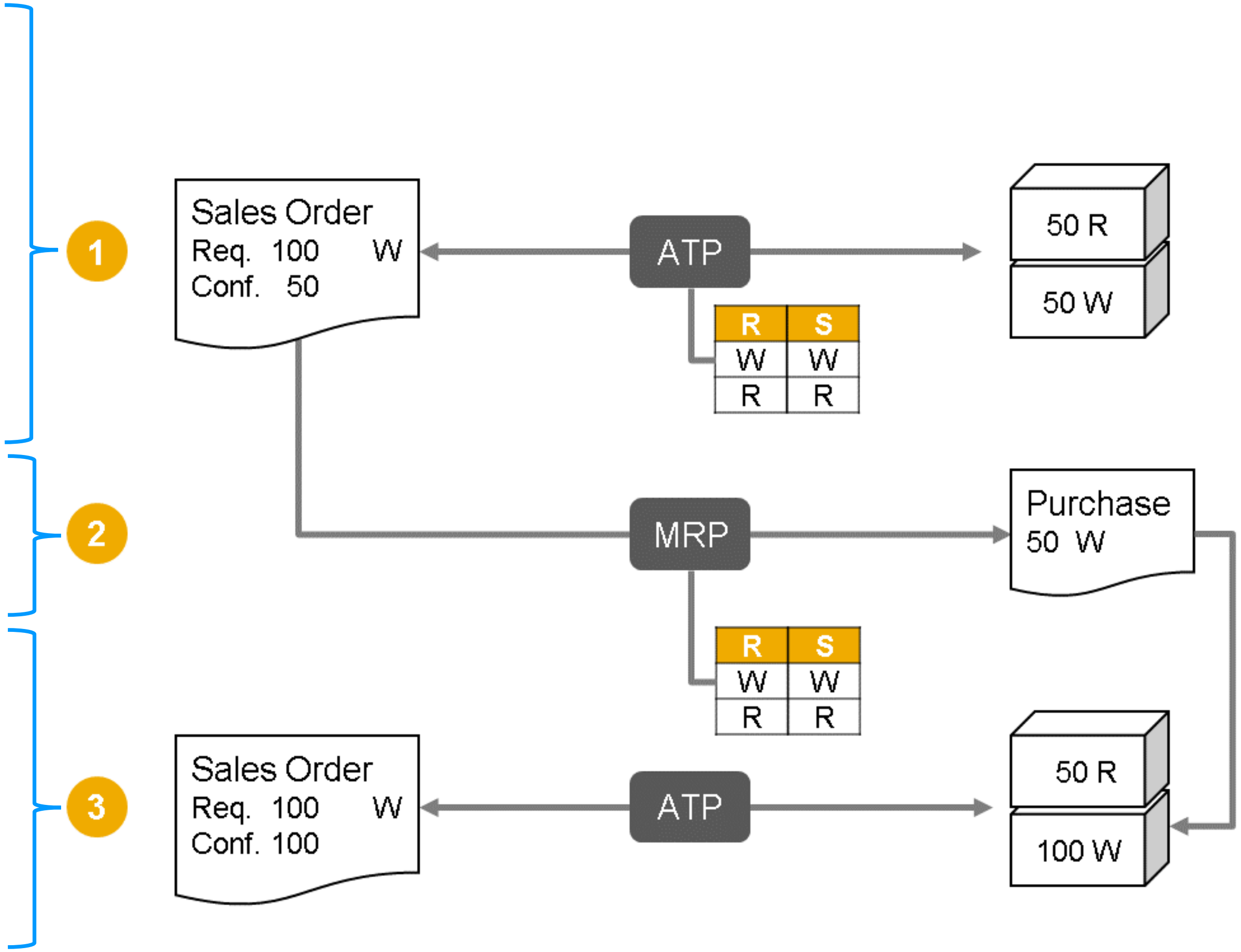
SEGMENTATION – EXAMPLE 1

Segmentation mapping in details

1. **Sales Order:** A customer orders 100 units, categorized as requirement segment "W" (e.g., high-quality material).
2. **ATP Check:** The system finds 50 units of stock segment "W" and 50 units of "R" (e.g., regular quality) available in the warehouse.
3. **Segmentation Strategy:** The defined strategy states that "W" requirements can be covered by "W" stock and "R" requirements by "R" stock.
4. **Partial Confirmation:** Due to limited "W" stock, the sales order is partially confirmed for 50 units.

5. **MRP Trigger:** The remaining open demand (50 units) triggers MRP to initiate procurement.

6. **Segmentation Strategy (Procurement):** The strategy specifies that for "W" demand, purchase stock segment "W" should be procured.
7. **Stock Replenishment:** More "W" stock is received.
8. **ATP Confirmation:** With sufficient stock, a new ATP check can now fully confirm the sales order.

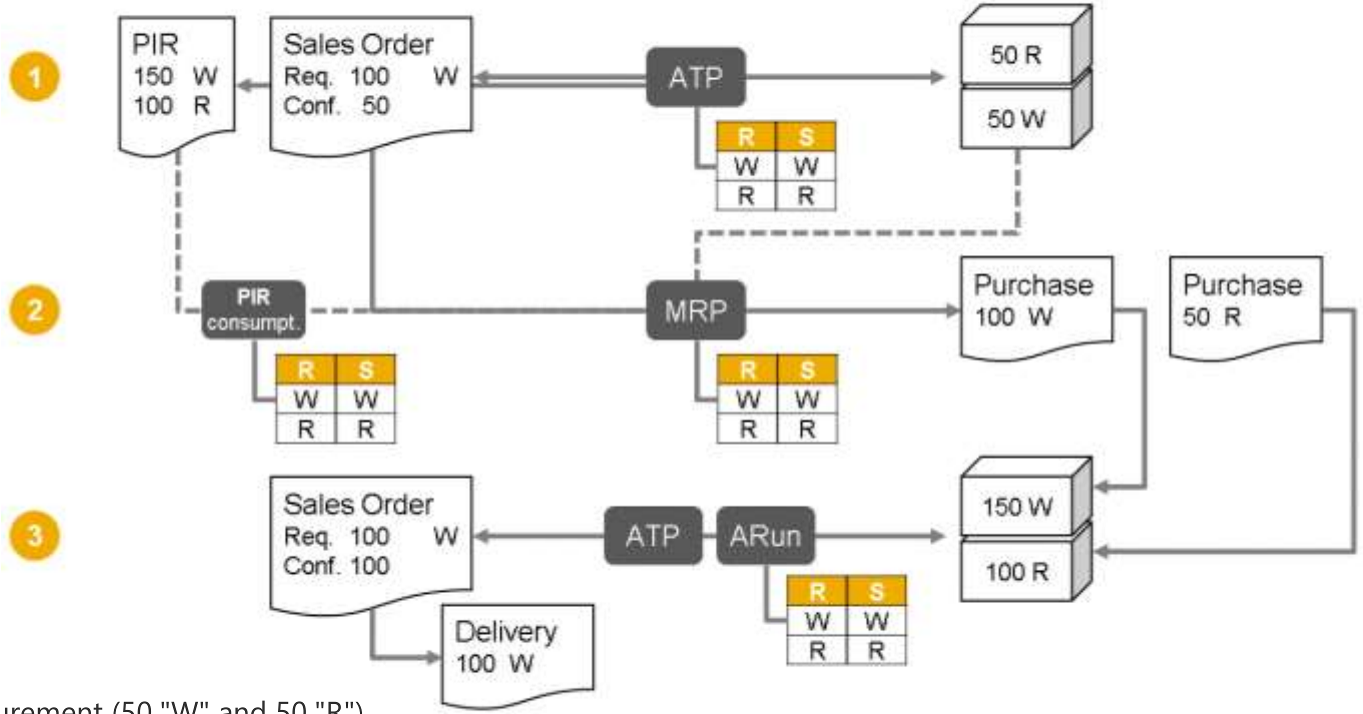


SEGMENTATION – EXAMPLE 2

Segmentation mapping in details

1 ATP (available to promise):

1. **Sales Order**: A customer orders 100 units, classified as requirement segment "W" (e.g., high-quality material).
2. **ATP Check**: The system finds 50 units of stock segment "W" and 50 units of "R" (e.g., regular quality) available.
3. **Segmentation Strategy (ATP)**: Based on the strategy, the sales order is partially confirmed for 50 units (matching "W" requirement with "W" stock).
4. **Planning Figures (PIR)**: The system also considers existing planning figures (Planned Independent Requirements):
    1. 150 units of segment "W"
    2. 100 units of segment "R"



2 Requirement Planning (MRP):

5. **Open Requirement:** MRP recognizes the remaining 50 units of "W" demand from the sales order.
6. **Segmentation Strategy (Procurement):** The strategy dictates purchasing stock segment "W" to fulfill "W" demand. MRP plans to procure 50 units (150 PIR - 100 already consumed in sales order).
7. **Consumption Logic:** MRP considers existing stock and planned consumption when calculating procurement needs.
8. **"R" Segment Planning:** MRP identifies a need for 50 additional units of "R" (100 PIR - 50 existing stock).

3 Stock Replenishment and Fulfillment:

9. **Stock Receipt:** New stock arrives, fulfilling the planned procurement (50 "W" and 50 "R").
10. **ATP Confirmation:** With sufficient stock, a new ATP check confirms the entire sales order for 100 units.
11. **Supply Assignment (ARun):** ARun allocates the full 100 units of "W" stock to the sales order.
12. **Delivery:** The complete order can now be delivered to the customer.

SEGMENTATION – EXAMPLE 3

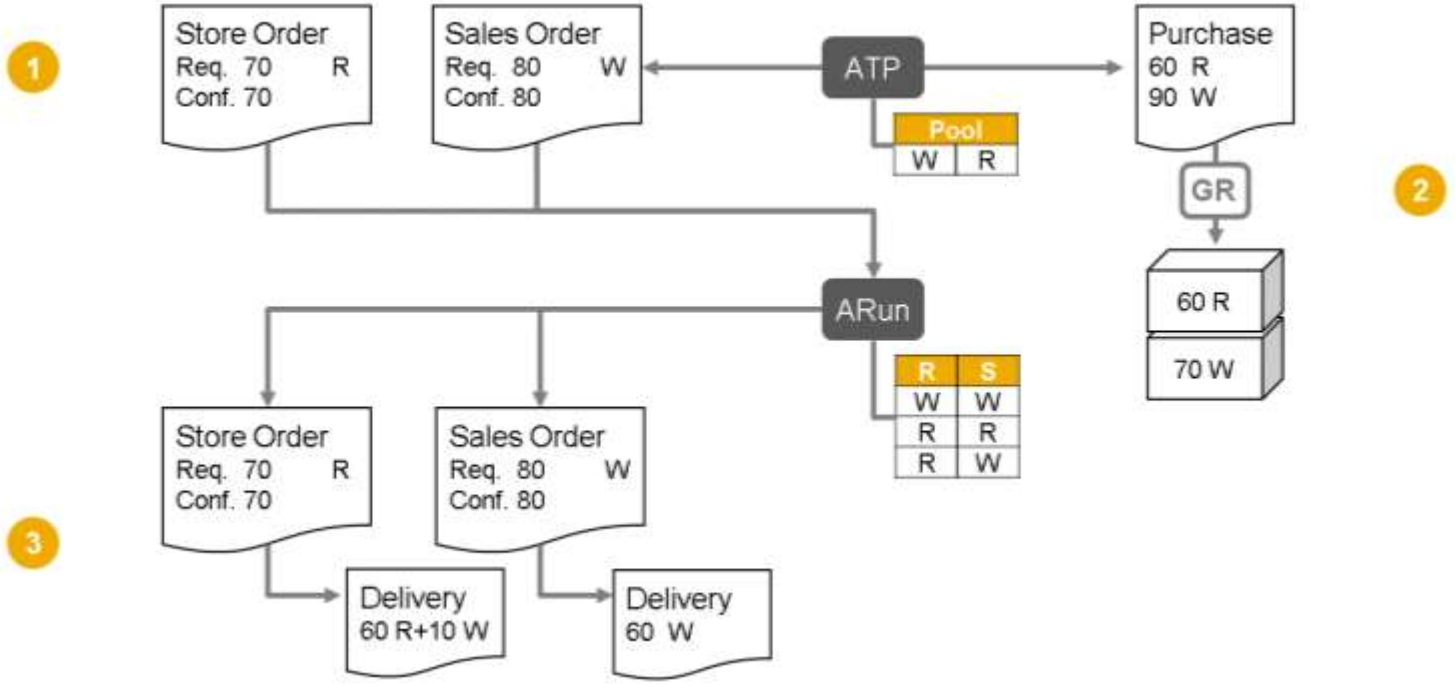
Segmentation mapping in details

1 Scenario:

1. **Sales Order & Store Order:**
   1. A sales order for 100 units (segment W) is created.
   2. A store order for 70 units (segment R) also exists.
2. **Future Stock Check (ATP):**
   1. The system finds a future vendor purchase order with 60 units (segment R) and 90 units (segment W) available.
3. **Segmentation Strategy (Pooling):**
   1. Pooling allows both W and R stock to fulfill W requirements.
   2. Based on pooling, both the sales order (80 units) and store order (70 units) are confirmed.

2 Discrepancy and ARun:

1. **Goods Receipt:** Only 70 units of segment W are received instead of the expected 90.
2. **ARun Allocation (No Pooling):**
   1. ARun prioritizes matching segments (W with W and R with R) during allocation.
   2. Since pooling isn't used here, ARun might process orders chronologically.



3 Potential Outcome:

1. **Store Order Fulfillment (Priority):**
   1. If the store order is processed first, it might receive all available 50 units of R stock.
2. **Partial Sales Order Fulfillment:**
   1. Depending on ARun configuration, it could allocate some W stock to the store order (reducing available W for the sales order).
   2. With only 20 W stock remaining, the sales order might only be partially fulfilled (up to 20 units).

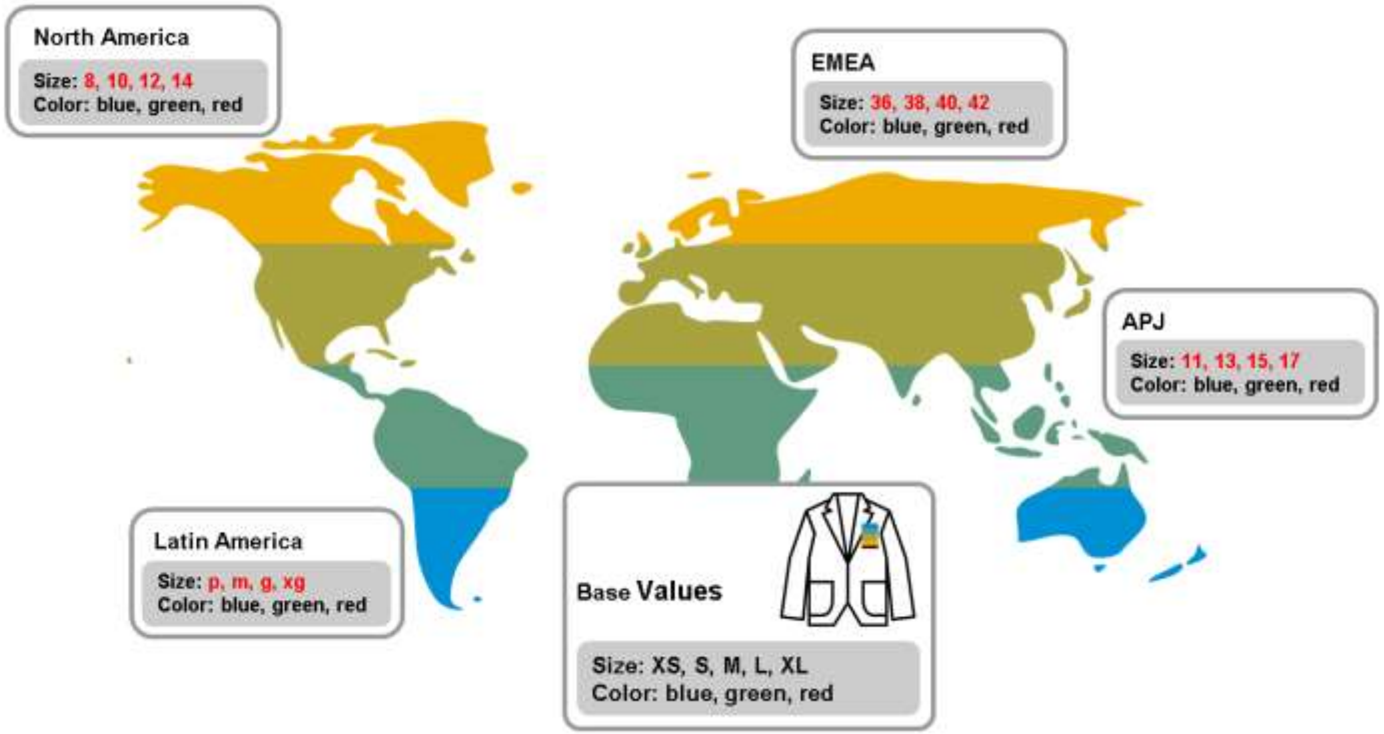
09. Material dimensions conversion

MATERIAL DIMENSIONS CONVERSION

Characteristic Value Conversion

- **Fashion around the world uses different sizing standards. For instance, a size 9 shoe in the UK might be a size 10 in the US. To avoid confusion, clothing and footwear often display sizes in multiple standards.**

- **This is where characteristic value conversion comes in.** This system ensures that fashion items have the correct size listed in all relevant standards. It's important to note that this conversion only applies to "variant creating characteristics," which are additional details (like size) that define specific versions (variants) of a base material (like a shoe design).



- **“Variant application” features is the SAP standard solution to restrain the sizes list which can be used for a country :**

MATERIAL DIMENSIONS CONVERSION

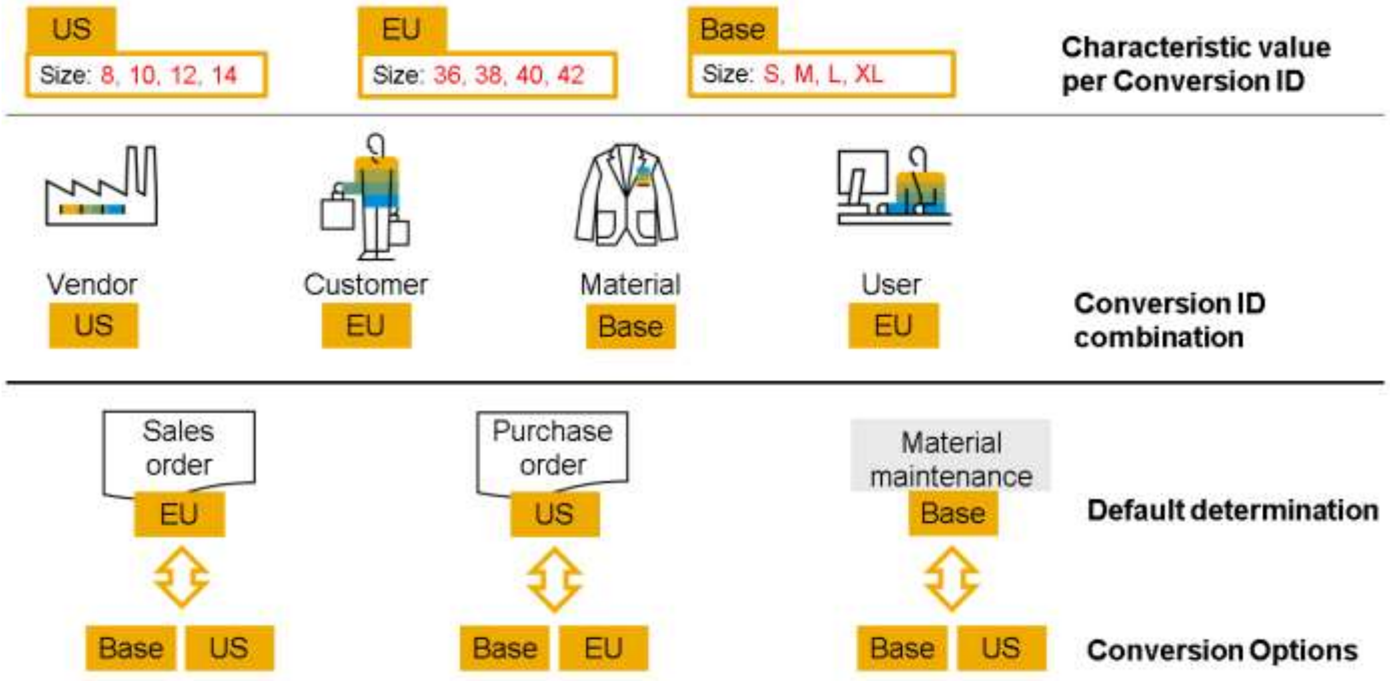
Behind the Scenes: How Characteristic Conversion Works

The Setup:

1. **Conversion Type Identifiers:** These identifiers link material masters, vendor masters, and customer masters. When a specific combination is used in a sales or purchase document, the system knows which conversion to apply.
2. **Conversion Logic:** This defines the conversion rules. It tells the system when to convert and how to convert individual values based on the chosen conversion type. You create and manage these rules in the system's customization settings.

In Action:

- **Sales and Purchase Documents:** When you use a material with a customer or vendor, the system can automatically convert the description based on your pre-defined logic.
- **Pushbutton Conversion:** You can also manually convert material descriptions in sales orders using the "Characteristic Value Conversion" button.
- **Multiple Characteristics:** Materials can have multiple size or color options. After conversion, the description will display all the converted values concatenated (joined together) for clarity.



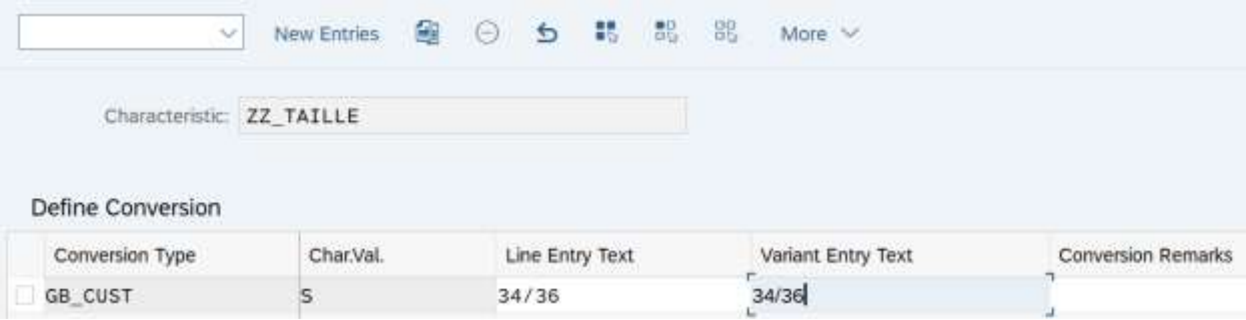
The operational declination into SAP

MATERIAL DIMENSIONS CONVERSION

Mockup for a purchase order

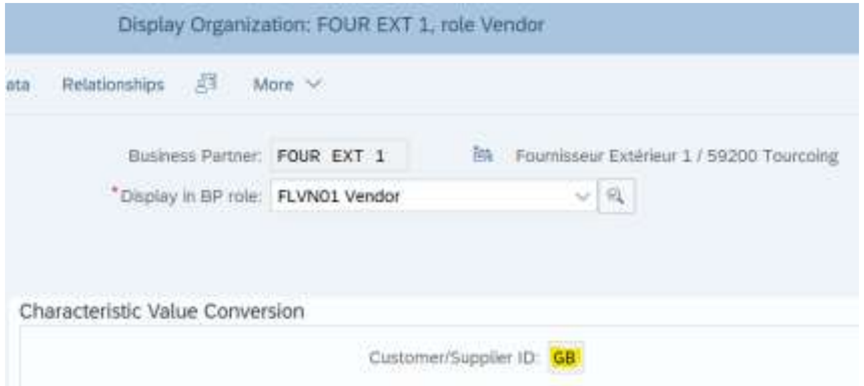
The characteristic :

- **Maintain a conversion between a size and a free text :**



The supplier data:

- **Link to the conversion type :**



The document impact :

- **The conversion appears for the material using this variant into the purchase order :**

Questions

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